US Airline Sector Financial Analysis

An In-depth Look at Financial Metrics and Trends

Riccardo Bronzini, Noberto Curitomai, Robert DeLintt & Ronak Shah

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Welcome

This quarto book explores the financial performance of selected airlines using various financial analysis techniques including time series, cross-sectional, and panel data analysis.

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1 Introduction

This report provides a comprehensive financial analysis of three major airlines: United Airlines (UAL), JetBlue (JBLU), and SkyWest (SKW). The analysis employs various financial techniques, including time series analysis, cross-sectional analysis, and panel data analysis, to evaluate the financial performance and health of these companies over time.

1.1 Data Collection

We collected data using Financial Modeling Prep (FMP) API. You can get your free API key by signing up at https://financialmodelingprep.com/developer/docs/pricing/

2 References

This report leverages a variety of data sources and analytical tools to provide a comprehensive financial analysis of United Airlines (UAL), JetBlue (JBLU), and SkyWest (SKW). The primary data source for financial statements and market data is the Financial Modeling Prep (FMP) API, which offers extensive access to historical and current financial information for publicly traded companies.

- Financial Modeling Prep (FMP) API: https://financialmodelingprep.com/developer/docs/
- Tidyquant R Package: https://business-science.github.io/tidyquant/
- Tidyverse R Package: https://www.tidyverse.org/
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- Yahoo Finance. https://tinyurl.com/26sdyzky
- Simply Wall. https://simplywall.st/stocks/us/transportation/nasdaq-ual/united-airlines-holdings/health
- Jet blue market share : https://www.transtats.bts.gov/
- NEA Cancelled . https://www.reuters.com/business/american-airlines-sues-jetblue-scraps-partnership-talks-2025-04-29/
- Jetblue recovery pan : https://www.travelweekly.com/Travel-News/Airline-News/JetBlue-struggles-to-regain-profitability-as-demand-declines
- Jet blue potential earnings 2027: https://finance.yahoo.com/news/jetblue-reports-second-quarter-operating-110000180.html

3 Executive Summary

3.1 Introduction

The airline sector is a dynamic and highly competitive industry, exemplified by the diverse operational scales and market reach of its leading carriers. In global terms, United Airlines (UAL) stands among the top contenders, carrying nearly 174 million passengers in 2024, positioning it just behind American Airlines and Ryanair and ahead of Delta Air Lines and major Asian carriers. Domestically, UAL holds one of the largest shares of the U.S. market, closely competing with Delta and American Airlines, each capturing just over 20% of the market. JetBlue Airways (JBLU) and SkyWest (SKYW), while significantly smaller than UAL, demonstrate the sector's diversity: JetBlue carves out a notable niche with roughly 5% market share focused on hybrid low-cost service, whereas SkyWest operates with a regional business model and holds about a 2% share, supporting major airlines through contract flying and serving less densely populated routes.

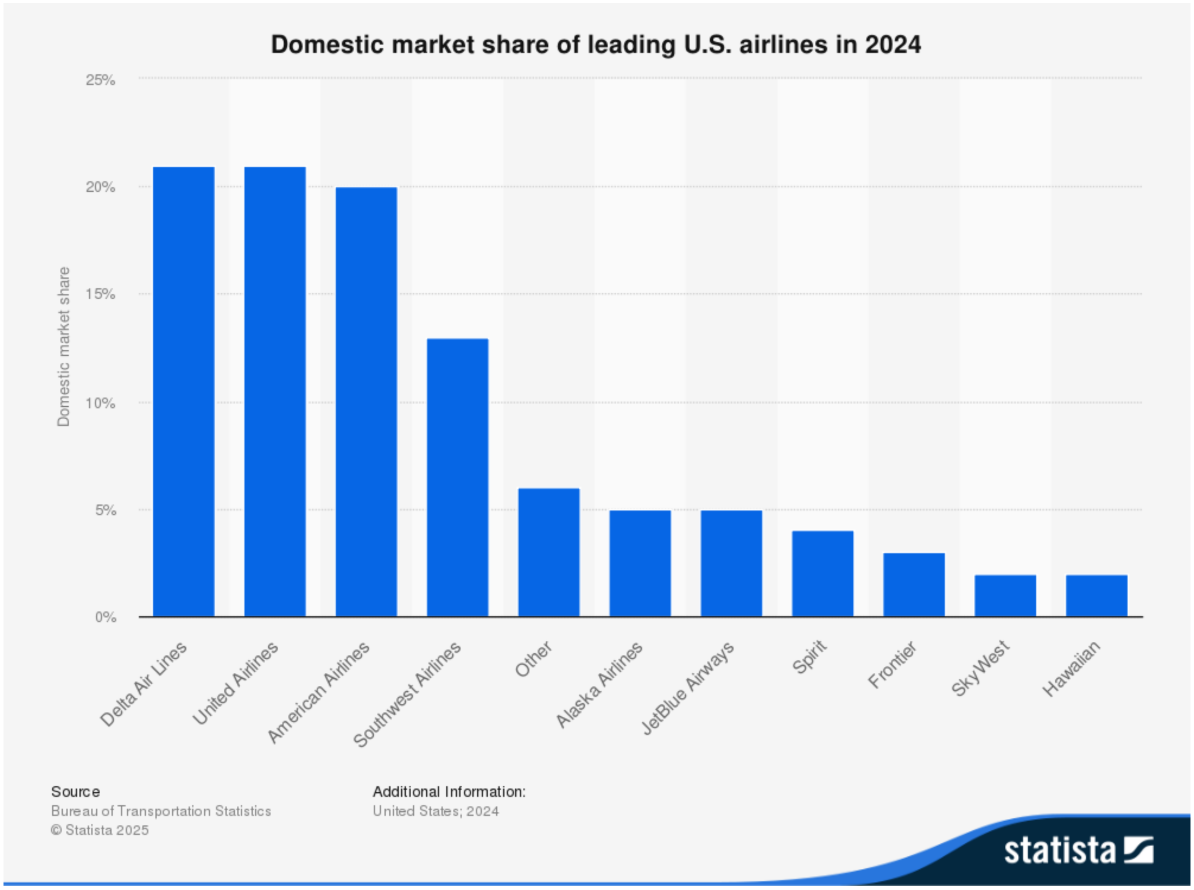


Figure 3.1: Leading airlines in the U.S. domestic market share (2024)

These contrasts highlight the broad spectrum of business strategies—from global giants like UAL with extensive international and domestic networks, to regionally specialized carriers like SKYW, and innovative low-cost competitors such as JBLU. Together, they illustrate how scale, operational focus, and market segmentation define competition and opportunity within the airline industry.

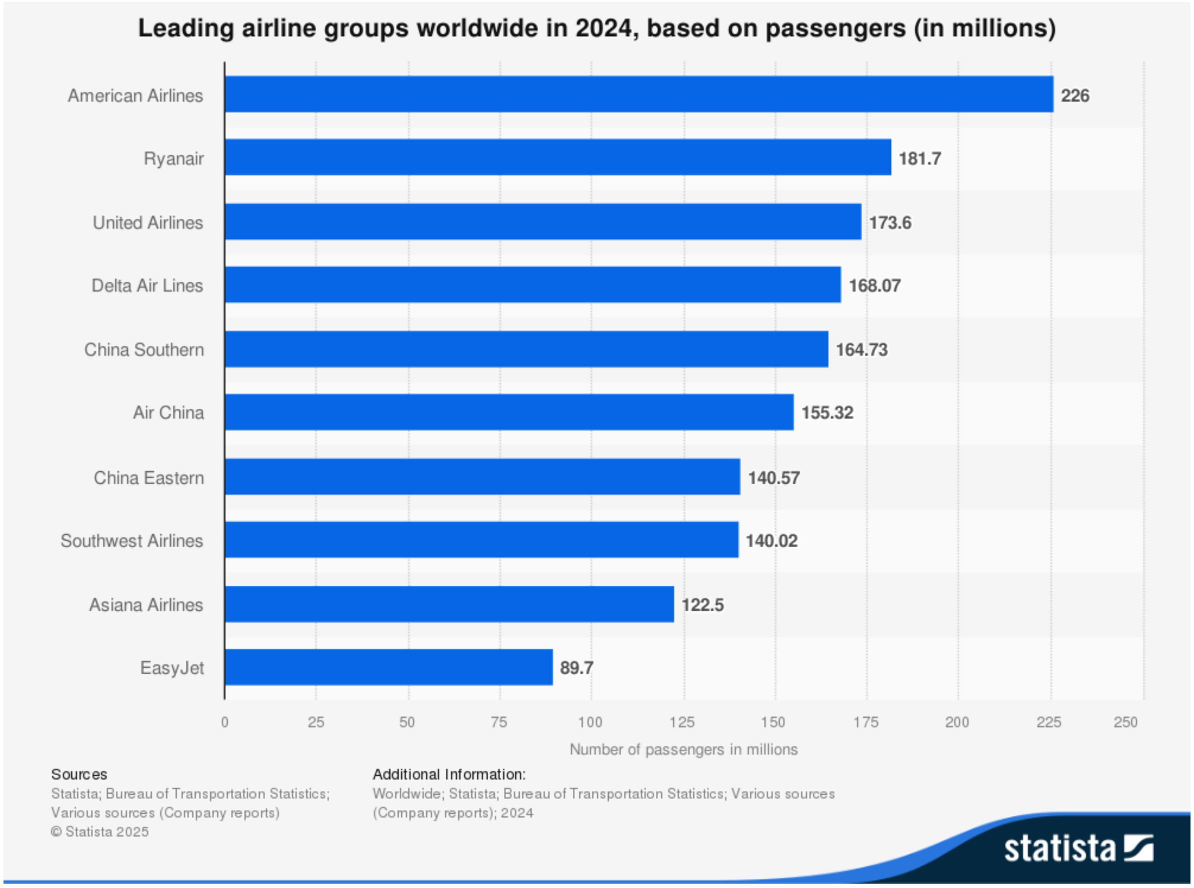


Figure 3.2: Leading airlines worldwide based on total number of passengers (2024)

3.2 Key Findings

The industry-wide data illustrates a definitive trajectory from the severe operational and financial downturn of 2020 towards a sustained, albeit uneven, recovery. Revenue across all three carriers declined significantly during the pandemic's initial phase, resulting in substantial net losses. Nevertheless, the subsequent years demonstrate a robust rebound in top-line growth, with United Airlines standing out for scale. Profitability has shown a more gradual recovery, hampered by fluctuating fuel and labor costs. The analysis underscores that, although revenue has largely normalized, the quality of earnings and the resilience of balance sheets remain critical differentiators among competitors.

The primary insight from this comparative analysis is that SkyWest (SKYW) has a resilient, strategically advantageous financial profile relative to its peers. While United Airlines' recovery in operational scale is impressive, SkyWest's strength is evident in its stable financial structure.

This is supported by a Net Debt-to-Equity ratio of approximately 102% in 2024, substantially lower than United Airlines' ratio, which ranged from about 85% to 177% during the same period, depending on the report and period considered. These ratios confirm that SkyWest's balance sheet remains healthier and less leveraged than its larger competitor, providing a solid basis for its long-term financial sustainability. Additionally, SkyWest has consistently generated positive free cash flow annually since 2022, a milestone that JetBlue has not achieved. This combination of low leverage and dependable internal cash generation positions SkyWest exceptionally well to navigate forthcoming market uncertainties and to capitalize on emerging opportunities, without being hindered by financial distress.

The following table offers a high-level summary of each airline's performance profile based on the detailed analysis within this report.

Table 3.1: High-level summary of each airline's performance

Performance Category	United Airline (UAL)	Jet Blue (JBLU)	SkyWest (SKYW)
Financial Health	Exhibited significant deleveraging since 2021, though the balance sheet remains highly leveraged. Liquidity is strong.	Leverage has increased steadily, reflecting persistent net losses and strategic investments, posing a risk to financial stability.	Maintained a consistently conservative and strong balance sheet with the lowest leverage, providing significant financial flexibility.
Profitability	Achieved a robust revenue recovery and returned to strong profitability by 2023, with solid operating and net margins in 2024.	Struggled to achieve consistent profitability, posting net losses in four of the last five years and demonstrating weak margin performance.	Demonstrated stable, positive operating margins throughout the period, with consistent net profitability since 2023.
Operational Efficiency	Generated powerful operating cash flows post-2021, though free cash flow has been volatile due to high capital expenditures.	Cash flow from operations has been inconsistent and often failed to cover net losses, resulting in consistently negative free cash flow.	Produced remarkably stable and positive operating and free cash flows, showcasing a highly efficient and resilient business model.
Stock Recommendation	Hold	Sell	Buy & Hold

3.3 Conclusion

In conclusion, the U.S. airline sector presents a landscape of varied financial fortitude. United Airlines has successfully leveraged its scale to drive a powerful earnings recovery. JetBlue faces significant headwinds in its pursuit of sustainable profitability and balance sheet repair. SkyWest, with its distinct regional operating model, has emerged from the turbulent five-year period with the most durable and well-positioned financial structure, setting the stage for a stable long-term outlook.

Part I

United Airlines (UAL)

4 United Airlines (UAL) Financial Analysis

As a premier global legacy carrier, United Airlines' financial performance serves as a crucial barometer for the health of the entire airline industry. Its vast network and exposure to international and business travel make its recovery from the 2020 downturn a key case study in sector resilience. This section performs a time-series analysis of UAL's profitability, financial health, and cash flow sustainability from 2020 through the end of fiscal year 2024.

4.1 Market Capitalization Recovery

United's market capitalization trajectory mirrors the broader industry's rollercoaster ride through the pandemic. The precipitous drop in early 2020 reflects the immediate shock to air travel demand, while the subsequent recovery highlights investor confidence in UAL's strategic initiatives and the overall rebound of the airline sector.

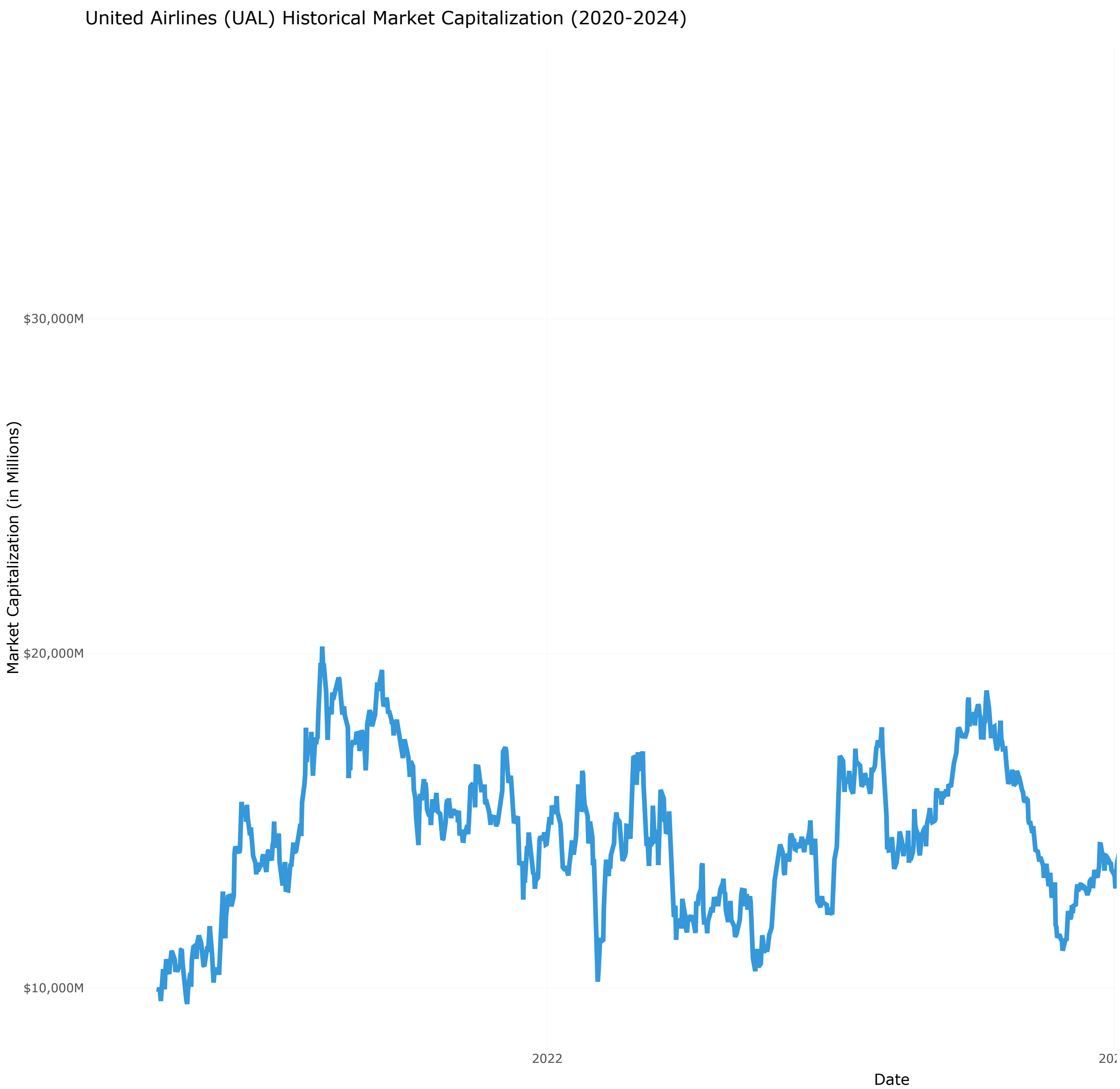


Figure 4.1: United Airlines (UAL) Historical Market Capitalization (2020-2024)

4.2 Income Sustainability and Recovery

4.2.1 Profitability Analysis

United's income statement reflects a dramatic V-shaped recovery. After a staggering loss in 2020, the airline saw revenues climb aggressively, surpassing pre-pandemic levels by 2023. This top-line momentum translated into a powerful return to profitability.

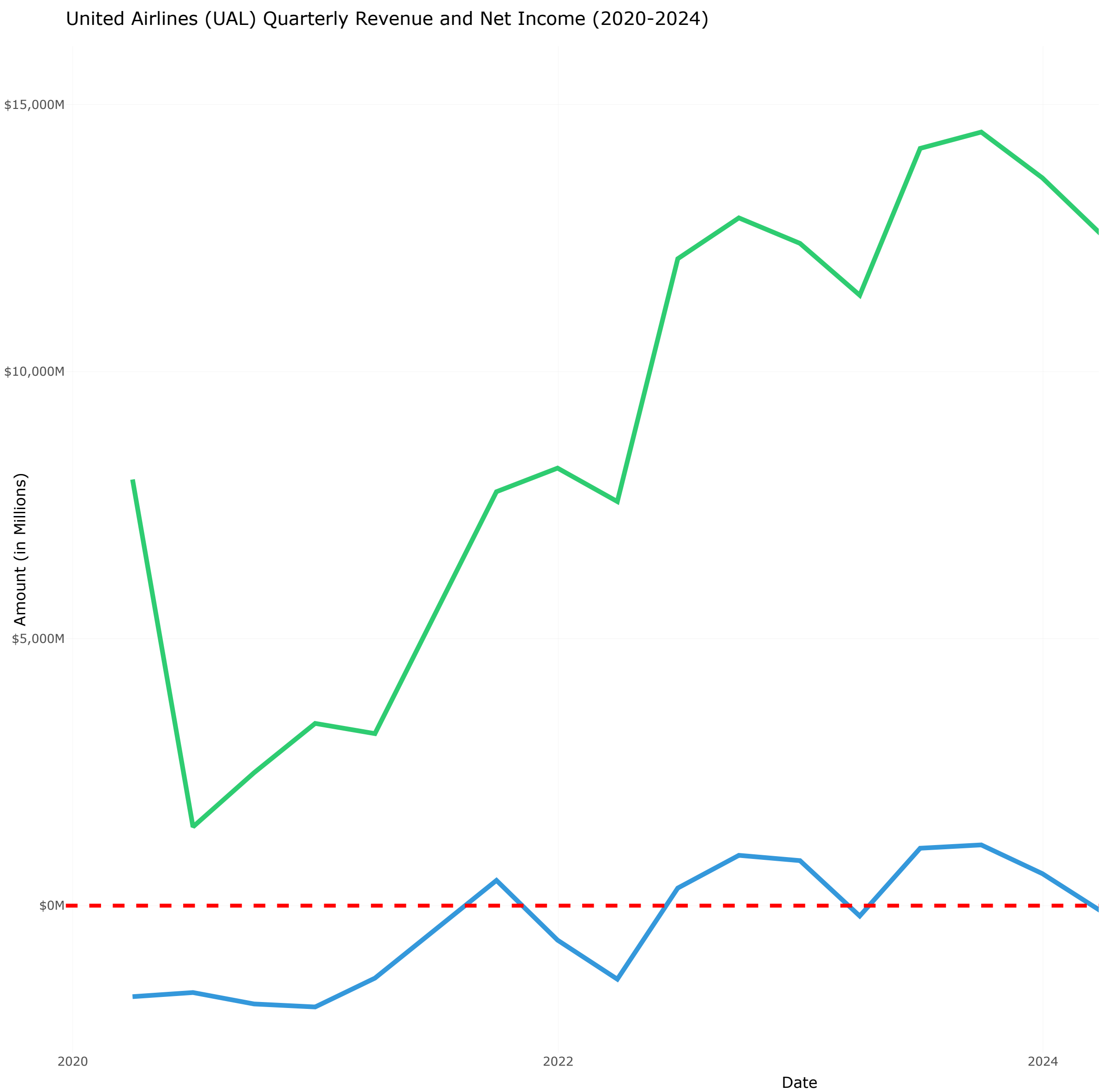


Figure 4.2: United Airlines (UAL) Quarterly Revenue and Net Income (2020-2024)

4.2.2 Margin Analysis

The operating margin collapse to -62.6% in 2020 quantifies the devastating impact of the pandemic on UAL's core operations. The recovery was swift; by 2022, UAL had achieved a strong 11.1% operating margin and positive net income. The return to double-digit operating margins in 2024 underscores the success of its strategy to focus on premium, international, and business travel, which command higher yields and have seen robust post-pandemic demand.

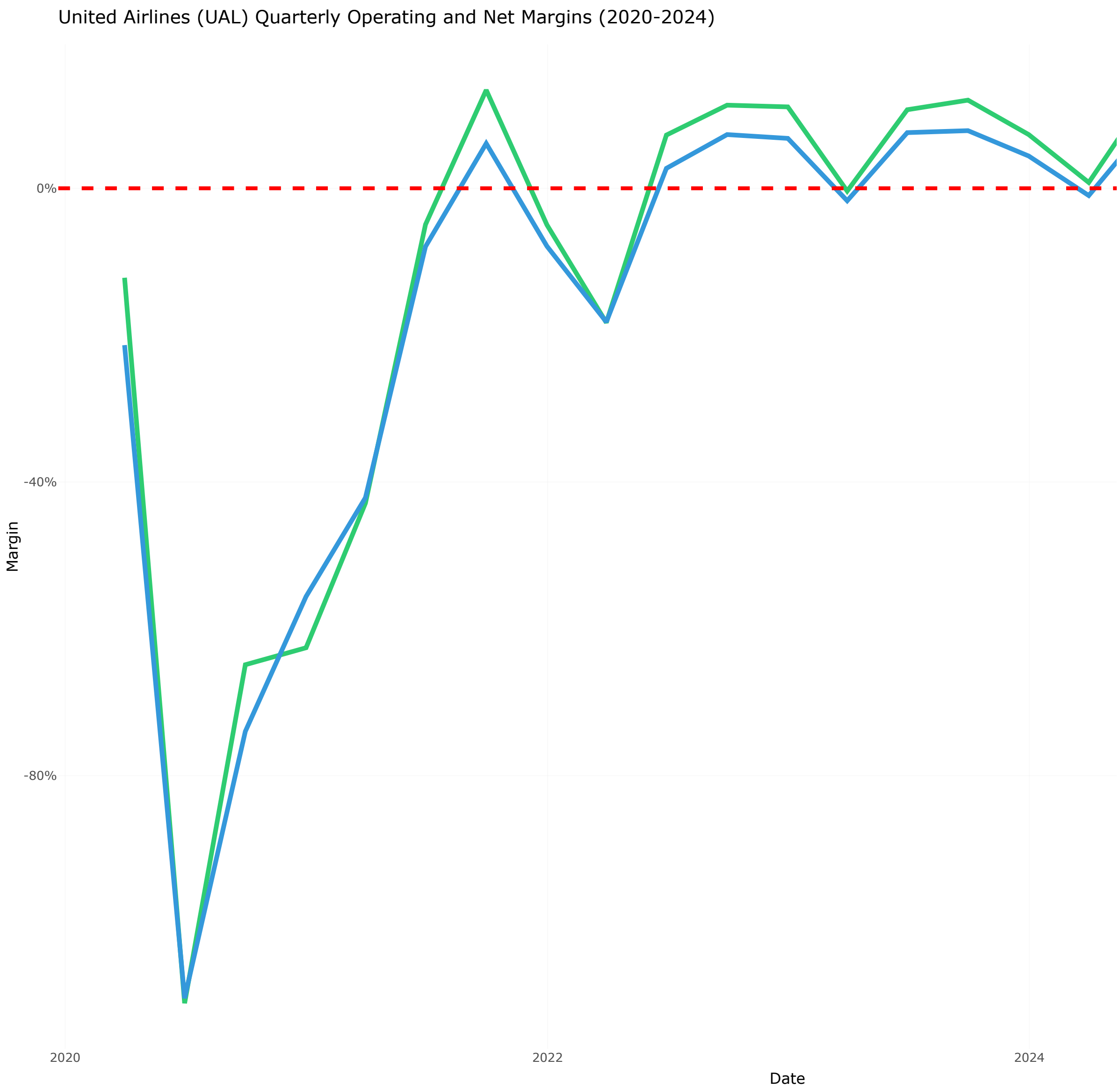


Figure 4.3: United Airlines (UAL) Quarterly Operating and Net Margins (2020-2024)

4.3 Balance Sheet Health and Leverage

UAL's balance sheet underwent significant stress and subsequent repair during this period. The company took on substantial debt to navigate the pandemic, but has since focused on de-leveraging.

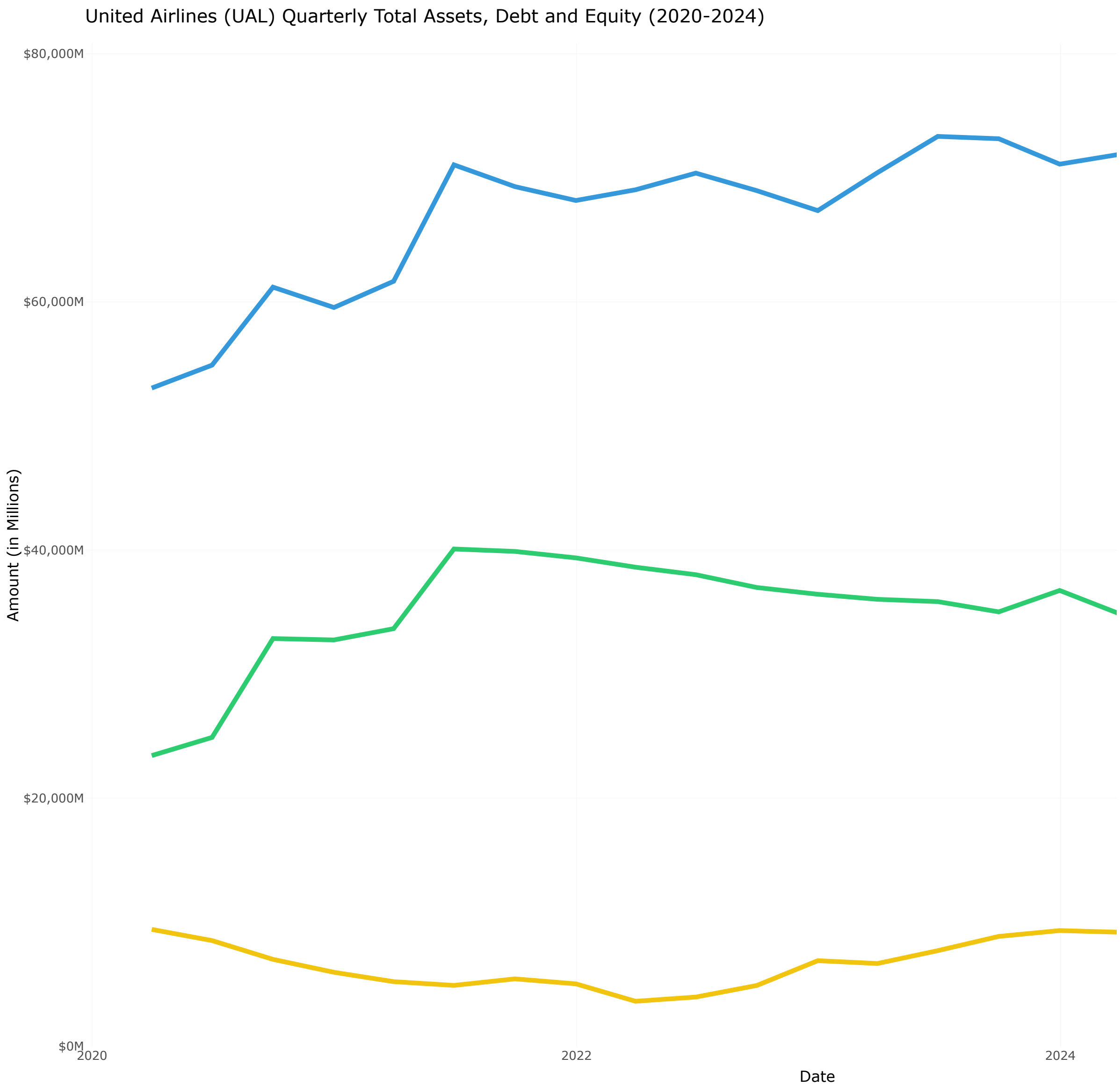


Figure 4.4: United Airlines (UAL) Quarterly Total Assets, Debt and Equity (2020-2024)

4.3.1 Debt-to-Equity Ratio Trend

The evolution of UAL's capital structure is stark. The Debt-to-Equity ratio (Total Liabilities / Total Equity) peaked in 2022 at over 18, indicating extreme financial risk. However, driven by retained earnings, the equity base has more than doubled from its 2021 low, and the Debt-to-Equity ratio has been systematically reduced to a more manageable, though still high, 4.7 by year-start 2025. This trend of strengthening the balance sheet is a critical component of its long-term strategy.

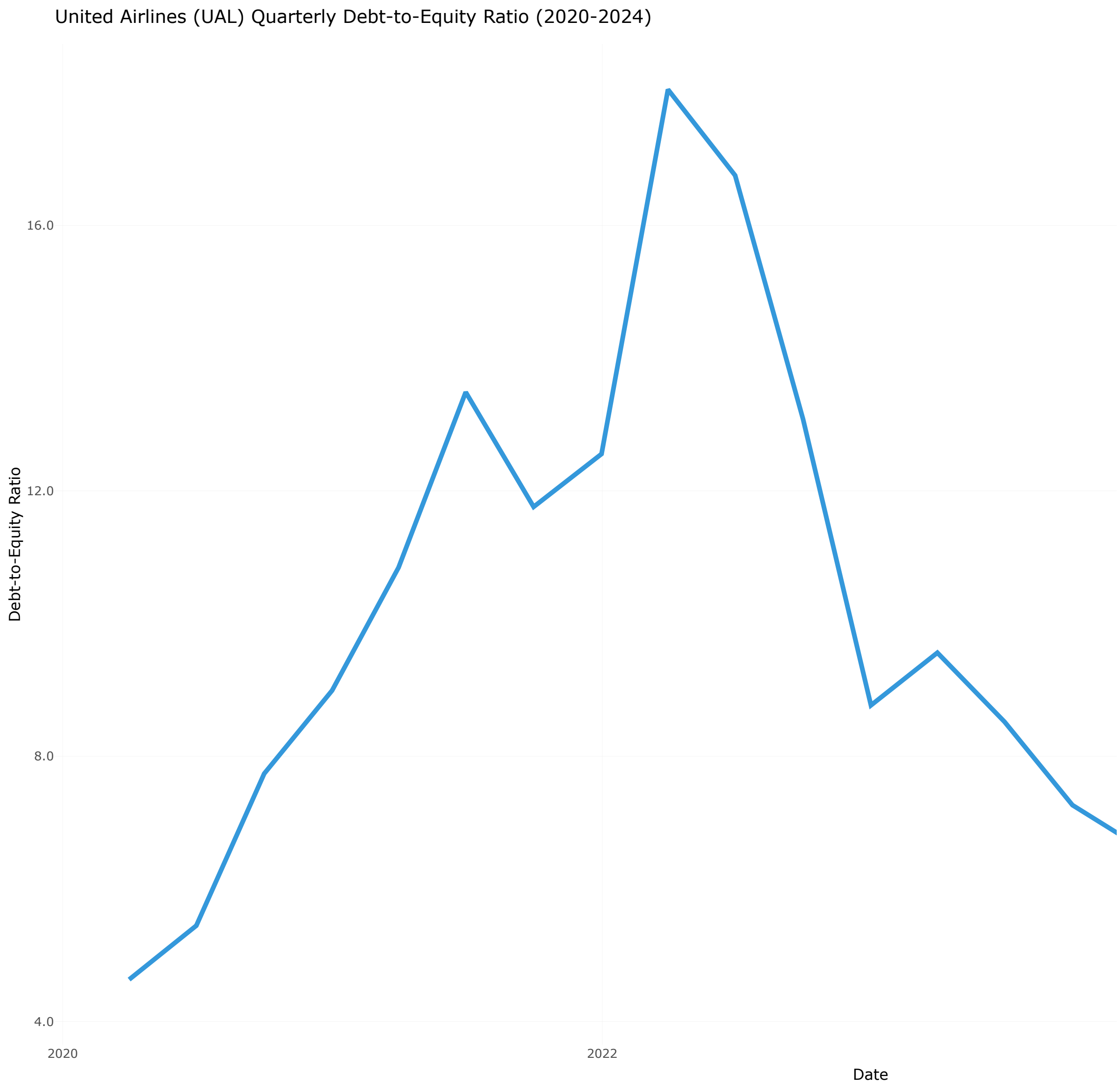


Figure 4.5: United Airlines (UAL) Quarterly Debt-to-Equity Ratio (2020-2024)

4.4 Cash Flow Quality and Sustainability

A key measure of an airline's health is its ability to generate cash internally. The comparison between Net Income and Cash from Operating Activities (CFO) reveals the quality of UAL's earnings.

The data shows a generally positive relationship between earnings and cash flow, particularly in 2022 and 2024 where CFO exceeded net income, a sign of high-quality earnings. However, the negative CFO in 2023, despite positive net income, suggests a significant cash drain from working capital, likely related to the timing of accrued liabilities or a build-up in receivables.

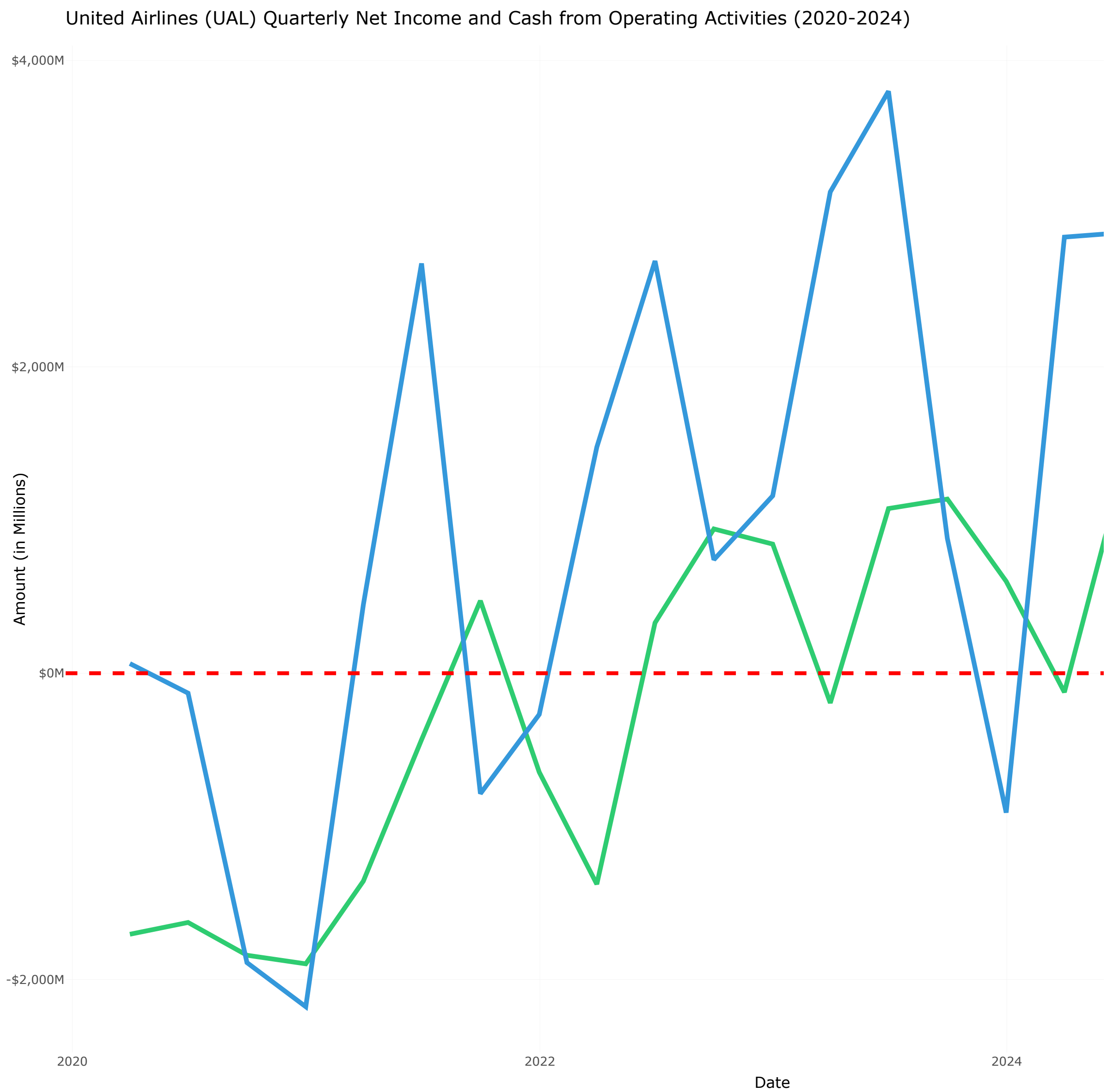


Figure 4.6: United Airlines (UAL) Quarterly Net Income and Cash from Operating Activities (2020-2024)

4.4.1 Free Cash Flow Trend

The free cash flow (FCF) trend further illustrates the capital-intensive nature of UAL's business. The negative FCF in most quarters underscores the airline's heavy investment in fleet modernization and expansion, which is critical for maintaining competitive advantage but also places pressure on liquidity. The consistent negative FCF (except for 2024) highlights its intense capital expenditure cycle, making sustained operational cash generation essential to fund its growth ambitions.

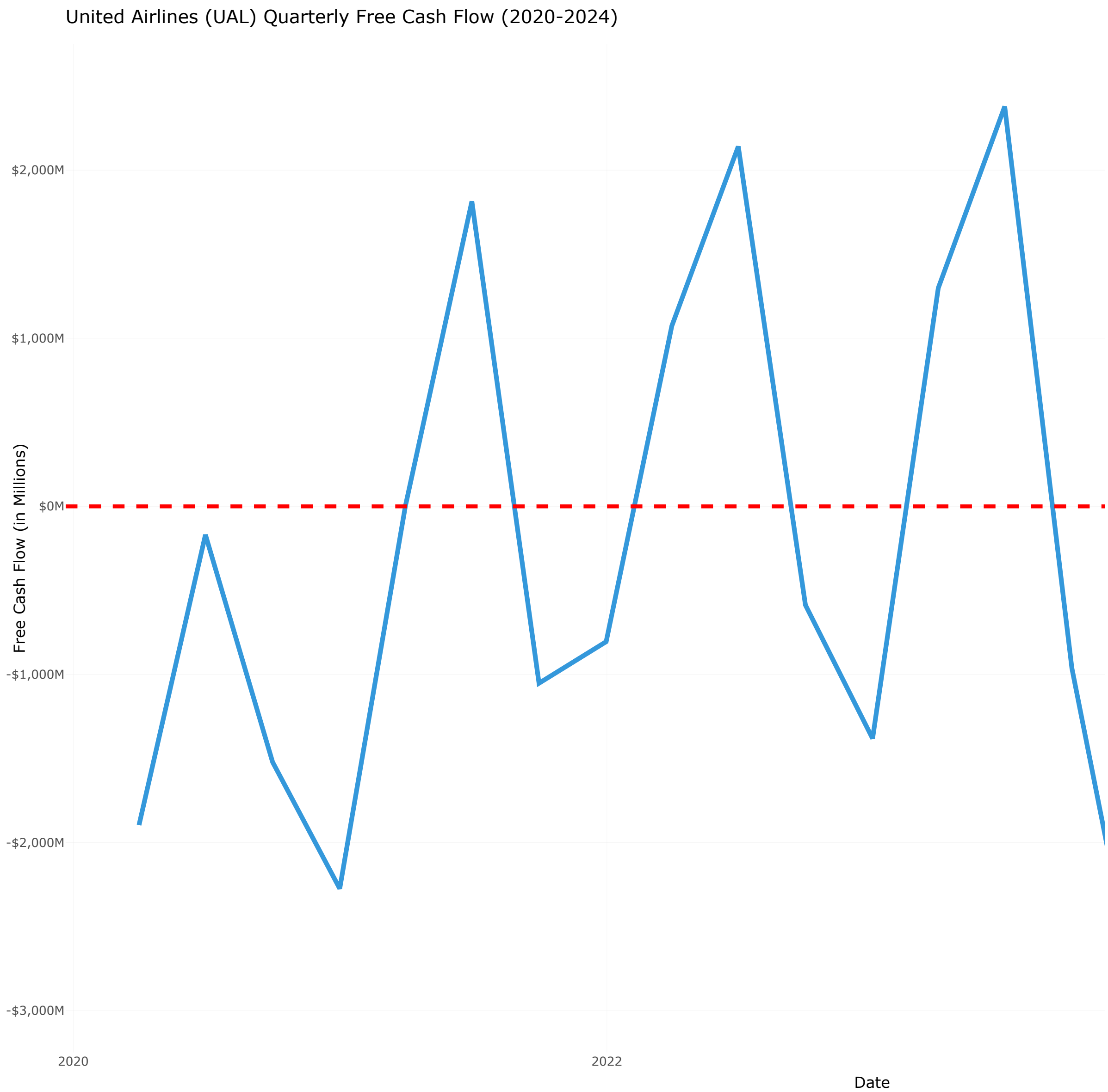


Figure 4.7: United Airlines (UAL) Quarterly Free Cash Flow (2020-2024)

4.5 Efficiency and Performance Ratios

4.5.1 Return on Assets (ROA)

UAL's Return on Assets (ROA) trajectory highlights the airline's efficiency in utilizing its asset base to generate profits. The negative ROA during the pandemic years reflects the severe operational challenges faced, while the positive rebound in 2022 and beyond indicates improved asset utilization as travel demand recovered.

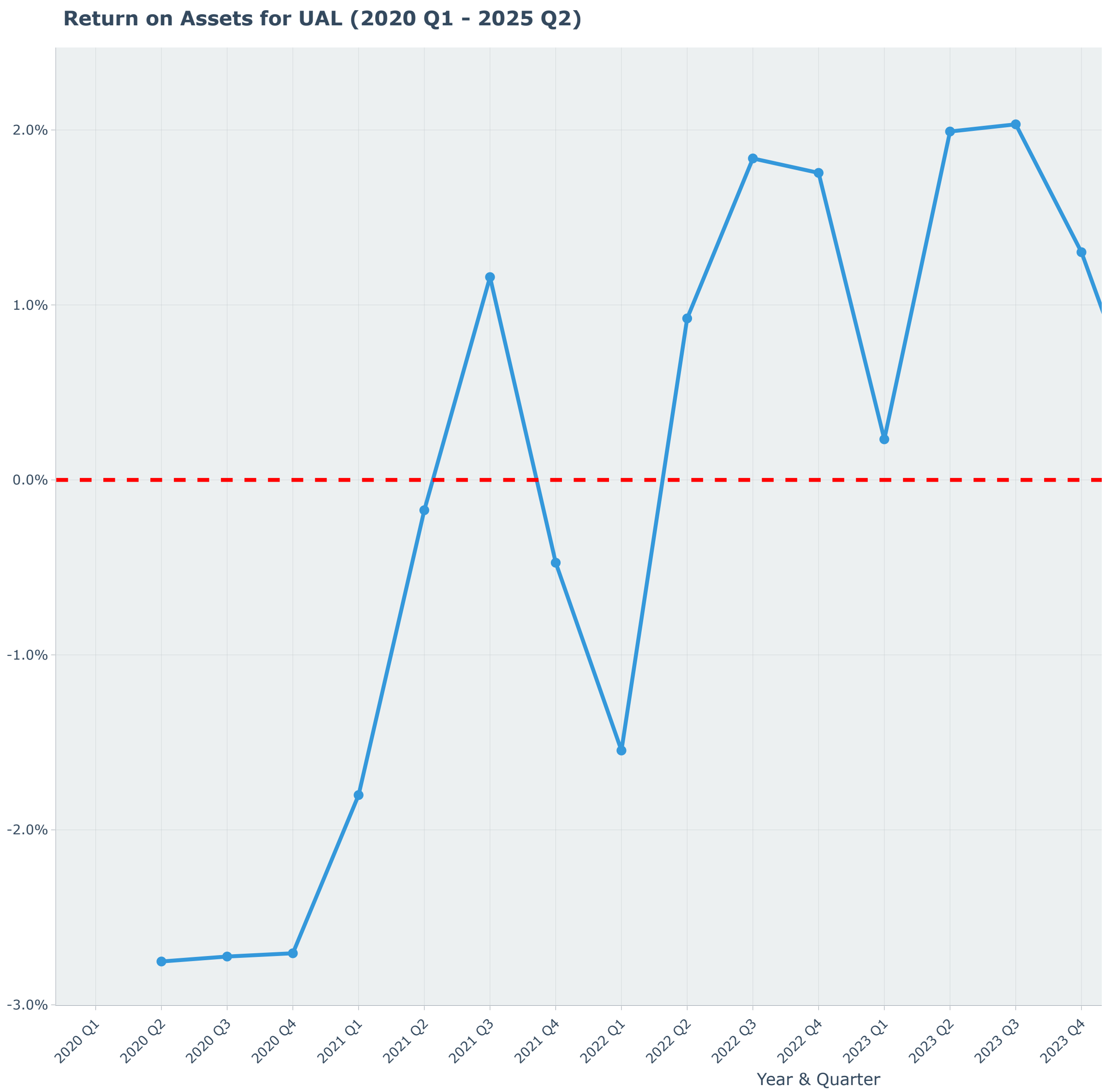


Figure 4.8: United Airlines (UAL) Quarterly Return on Assets (ROA) (2020-2024)

4.5.2 ROA = Total Asset Turnover × Profit Margin

ROA decomposition illustrates how UAL's asset efficiency and profitability jointly influence its overall return on assets. The interplay between these two components highlights the airline's strategic focus on maximizing both revenue generation and cost management to enhance asset returns.

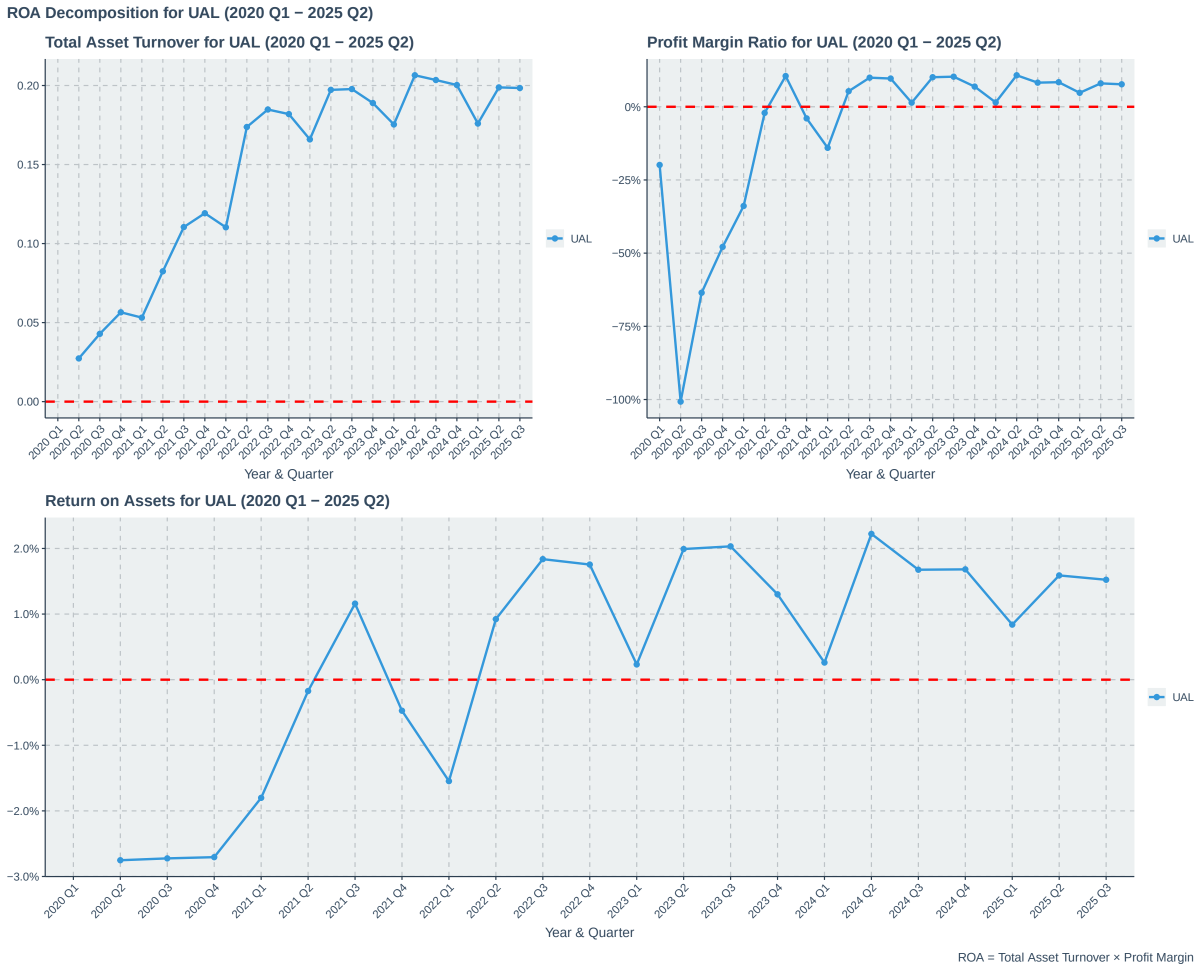


Figure 4.9: United Airlines (UAL) Quarterly ROA Decomposition (2020-2024)

4.5.3 Return on Equity (ROE)

UAL's Return on Equity (ROE) pattern closely follows that of ROA, underscoring the airline's ability to generate shareholder returns from its equity base. The significant dip during the pandemic years is indicative of the financial strain experienced, while the recovery in subsequent years reflects improved profitability and effective equity utilization.

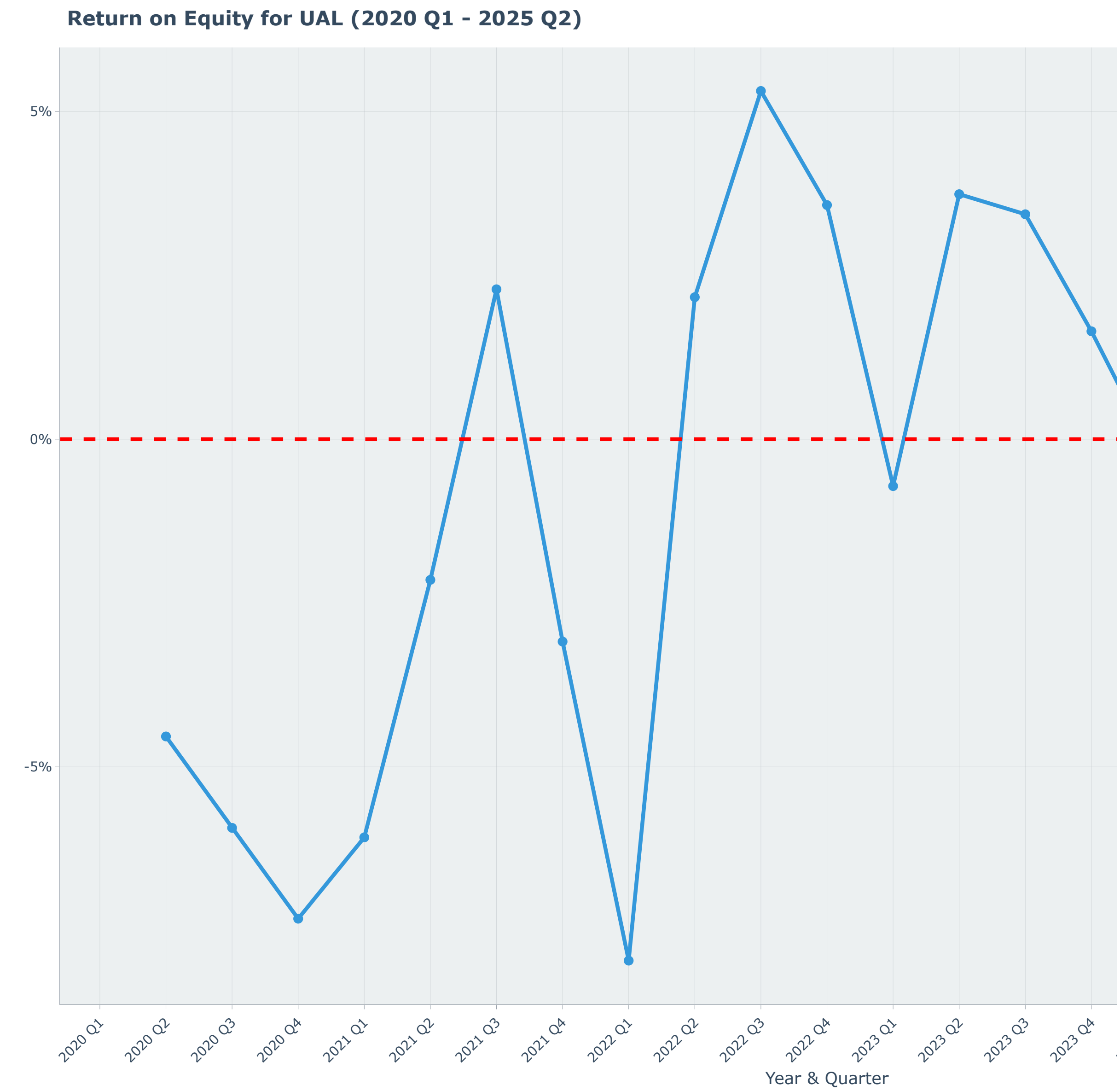


Figure 4.10: United Airlines (UAL) Quarterly Return on Equity (ROE) (2020-2024)

4.5.4 ROE = ROA × Capital Structure Leverage × Common Earnings Leverage

Decomposing ROE into its constituent parts provides a nuanced understanding of how UAL generates returns for its shareholders. The interaction between operational efficiency (ROA), financial leverage (Capital Structure Leverage), and earnings quality (Common Earnings Leverage) reveals the multifaceted approach UAL employs to enhance shareholder value.

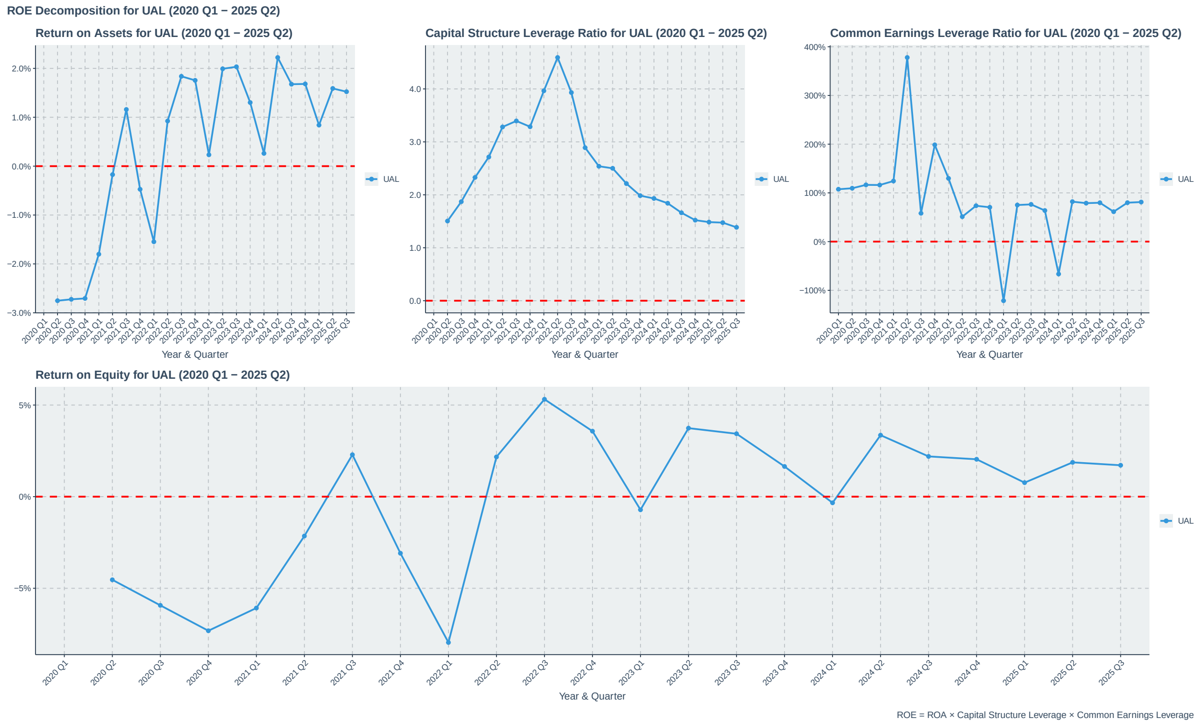


Figure 4.11: United Airlines (UAL) Quarterly ROE Decomposition (2020-2024)

4.6 Summary

In summary, United Airlines has demonstrated a robust recovery from the pandemic-induced downturn, marked by a strong rebound in revenue and a return to profitability. The airline's strategic focus on premium travel segments has paid off, enabling it to achieve healthy operating margins. However, the balance sheet remains highly leveraged, and the capital-intensive nature of the business continues to pressure free cash flow. Moving forward, UAL's ability to sustain operational cash generation while managing its debt levels will be critical to its long-term financial health and competitive positioning in the evolving airline industry.

Part II

Jet Blue (JBLU)

5 JetBlue (JBLU) Financial Analysis

JetBlue Airways occupies a competitive space between legacy carriers and ultra-low-cost operators. Analyzing its financial statements is crucial for understanding the strategic challenges and opportunities for airlines with this hybrid model. This section provides a time-series analysis of JetBlue's key financial metrics, tracing its performance against the backdrop of an evolving industry.

5.1 Market Capitalization

JetBlue's market capitalization trajectory from 2020 to 2024 reflects the broader industry's volatility and recovery. The initial sharp decline in early 2020 corresponds with the onset of the COVID-19 pandemic, which severely impacted air travel demand. However, unlike some competitors, JetBlue's market cap did not recover to pre-pandemic levels by 2024, indicating ongoing challenges in regaining investor confidence amid competitive pressures and operational hurdles.

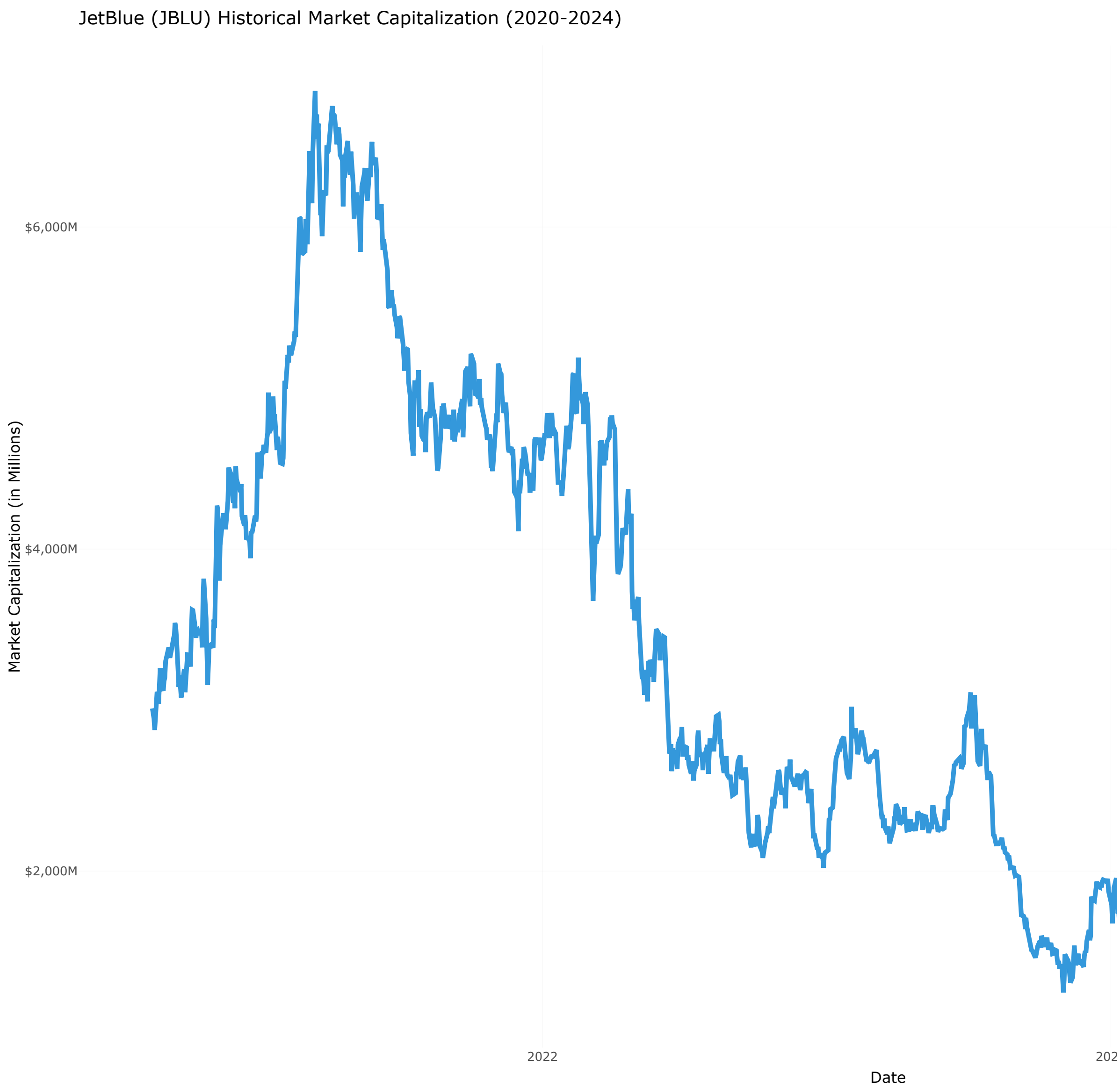


Figure 5.1: JetBlue (JBLU) Historical Market Capitalization (2020-2024)

5.2 Income Statement Overview

5.2.1 Profitability Analysis

JetBlue's path to profitability has been significantly more challenging than that of its larger peers. While revenue has recovered, consistent bottom-line performance remains elusive.

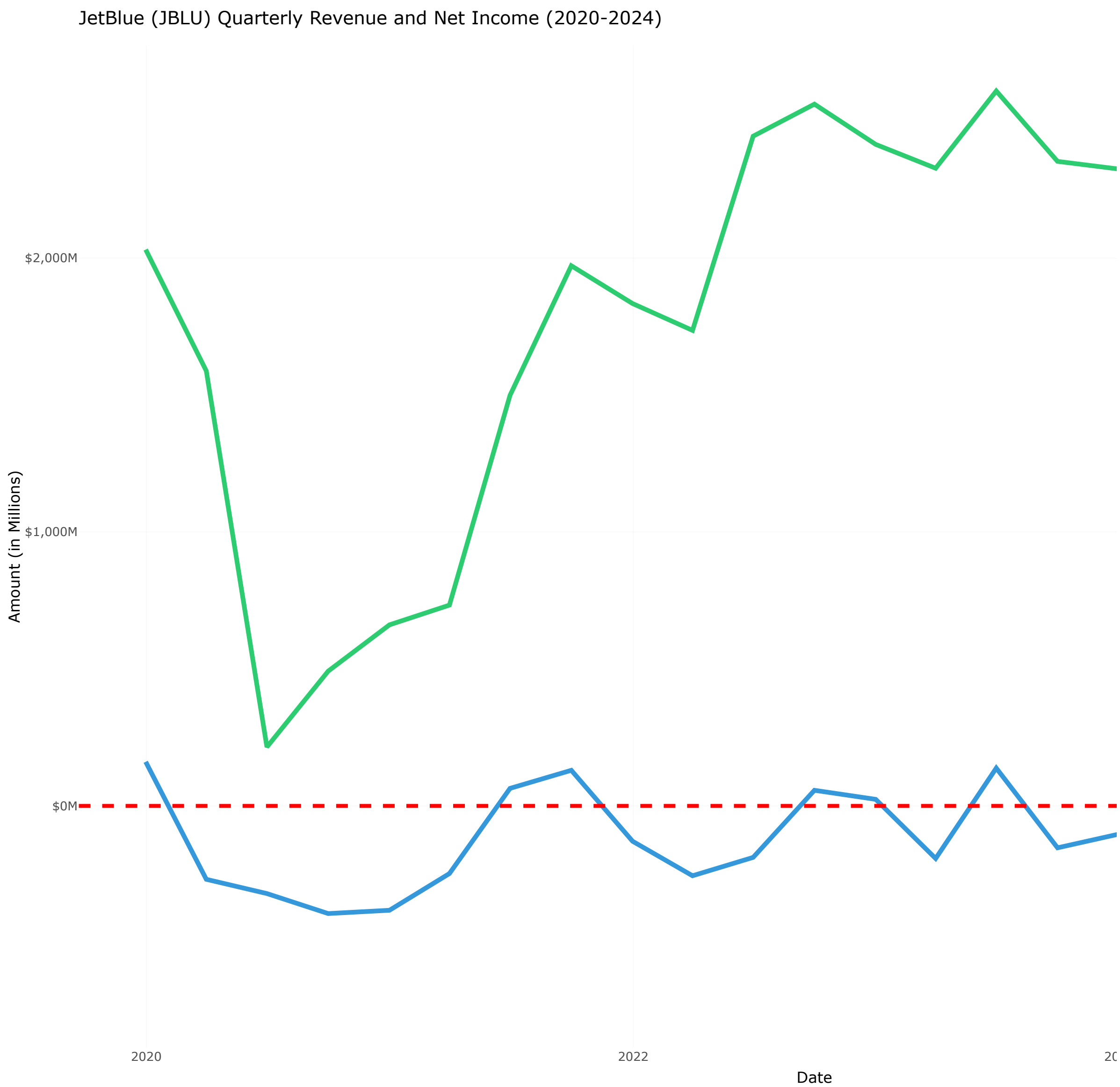


Figure 5.2: JetBlue (JBLU) Quarterly Revenue and Net Income (2020-2024)

5.3 Margin Analysis

JetBlue's recovery trajectory has been fraught with volatility. After a brief return to a small operating and net profit in 2022, the airline slipped back into losses in 2023 and continued to post a net loss in 2024. This persistent margin weakness suggests structural cost pressures, potentially from an uncompetitive labor cost structure or an inefficient route network that faces intense competition from both legacy carriers on premium routes and ultra-low-cost carriers on leisure routes, leaving JetBlue caught in the middle.

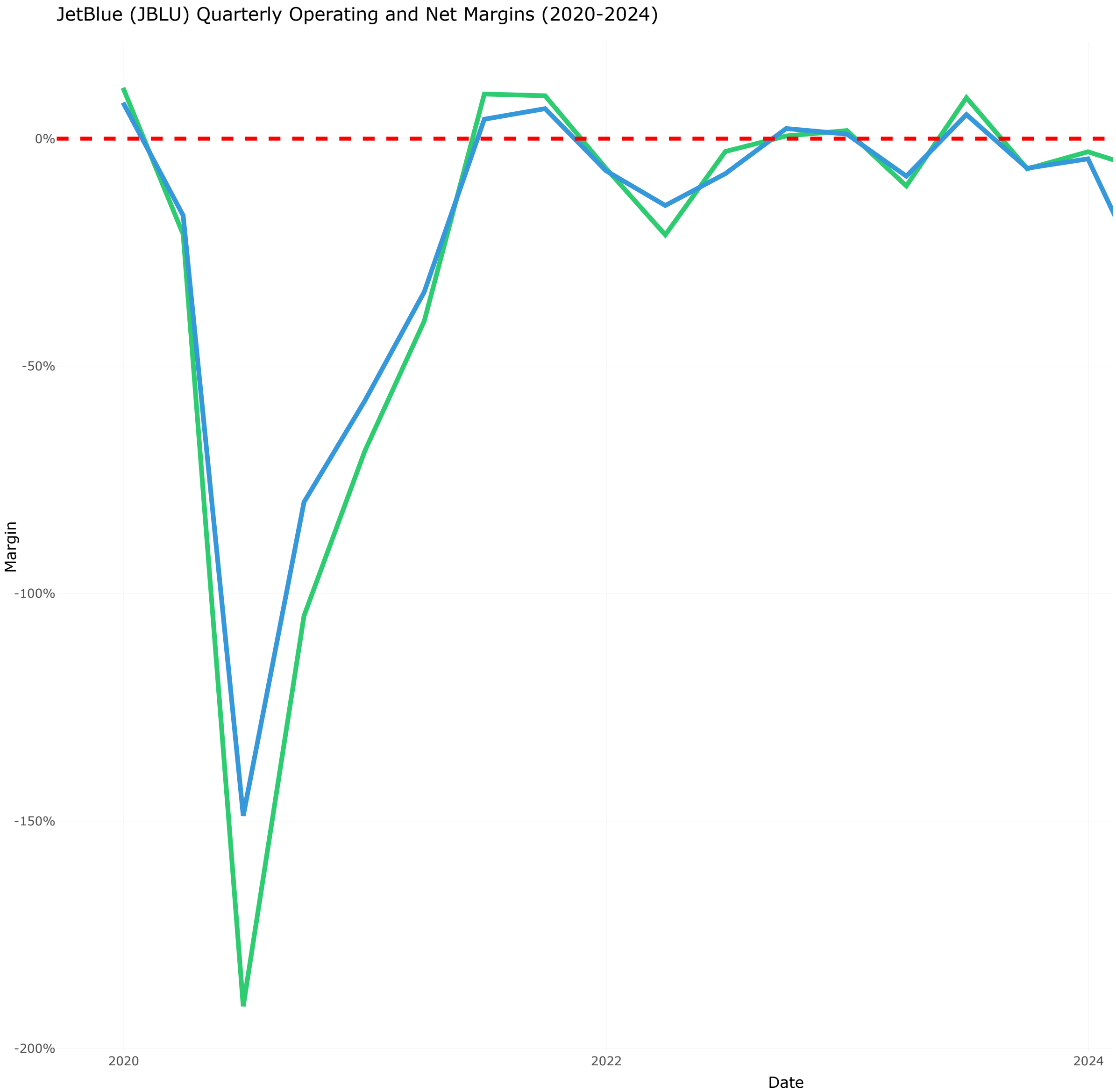


Figure 5.3: JetBlue (JBLU) Quarterly Operating and Net Margins (2020-2024)

5.4 Balance Sheet Health and Leverage

JetBlue's struggle with profitability is reflected in its deteriorating balance sheet health, marked by rising debt levels.

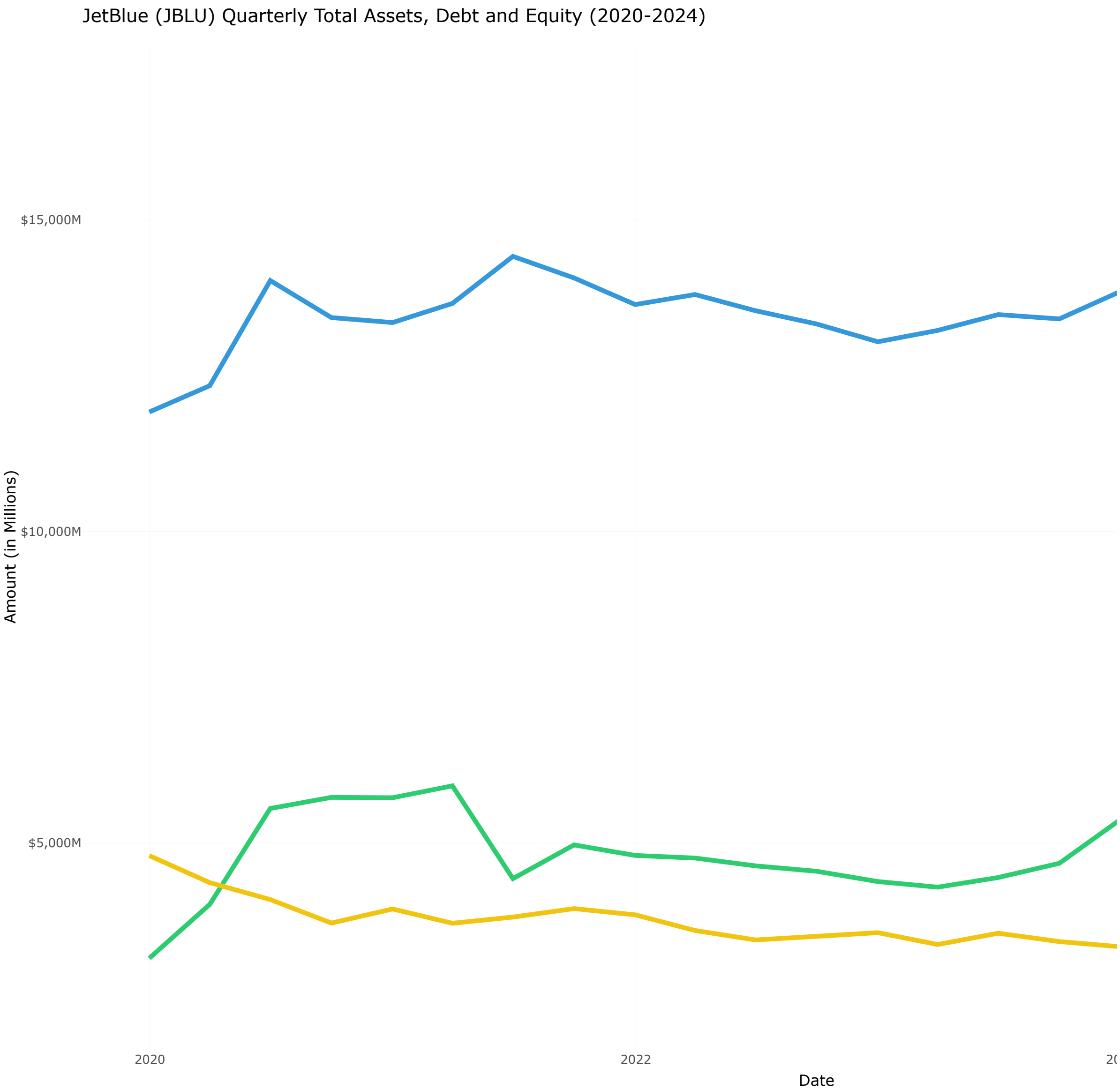


Figure 5.4: JetBlue (JBLU) Quarterly Total Assets, Debt and Equity (2020-2024)

5.4.1 Debt-to-Equity Ratio Trend

JetBlue's financial stability has weakened considerably over the five-year period. While the Net Debt to Equity ratio briefly improved in 2021, it has since escalated dramatically, reaching 5x by the end of 2024. This trend is a direct result of equity erosion from persistent net losses and an increase in net debt to fund operations and investments. Such high leverage poses a significant financial risk and constrains the company's strategic flexibility.

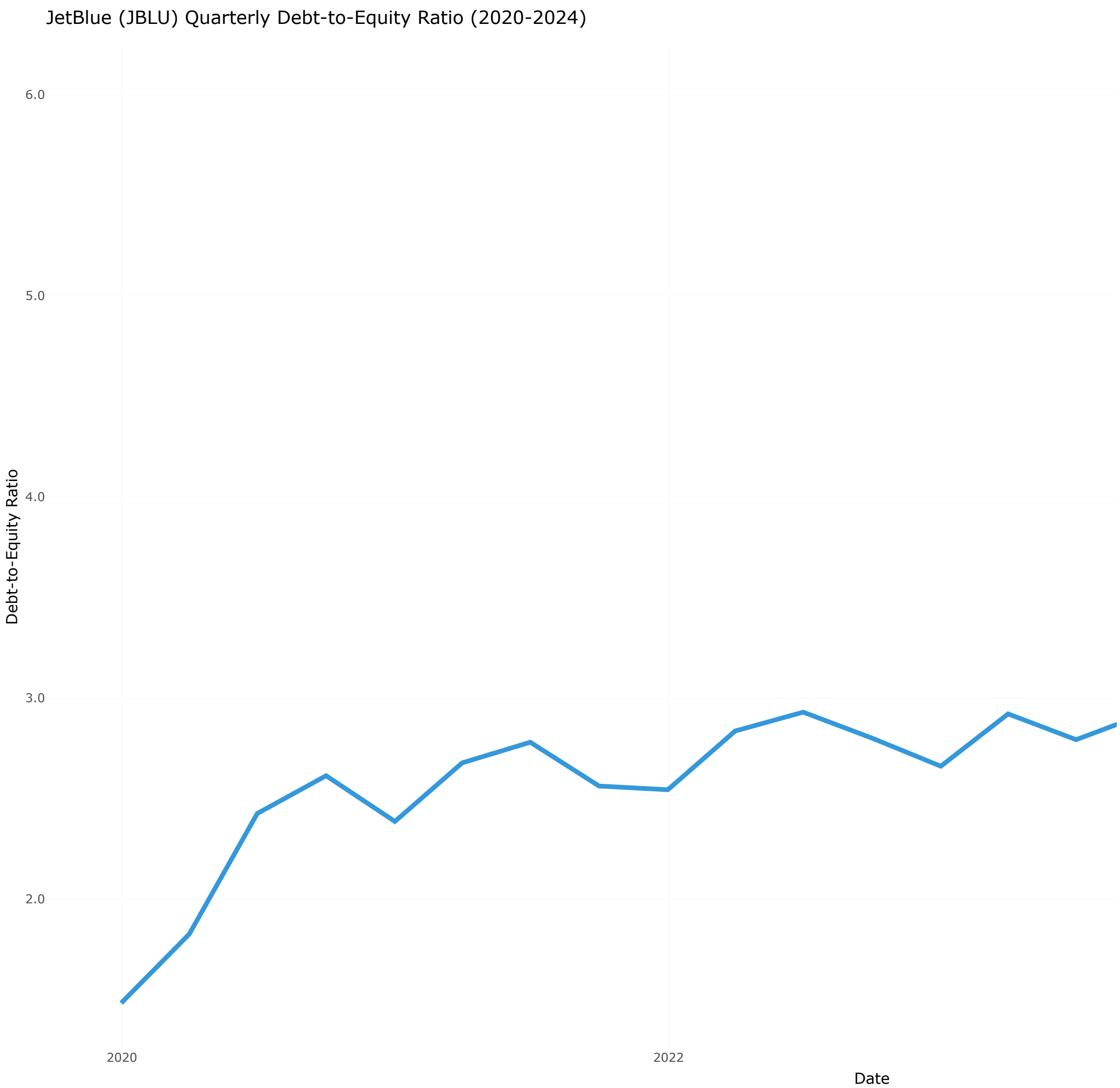


Figure 5.5: JetBlue (JBLU) Quarterly Debt-to-Equity Ratio (2020-2024)

5.5 Cash Flow Qjbluity and Sustainability

JetBlue's cash flow statement further highlights its operational challenges, showing a disconnect between reported earnings and actjblu cash generation.

The pattern is concerning: in years with net losses (2020, 2021, 2023, 2024), cash from operations was also negative, and often worse than the reported loss. This indicates that non-cash charges like depreciation were not sufficient to offset cash drains from operations.

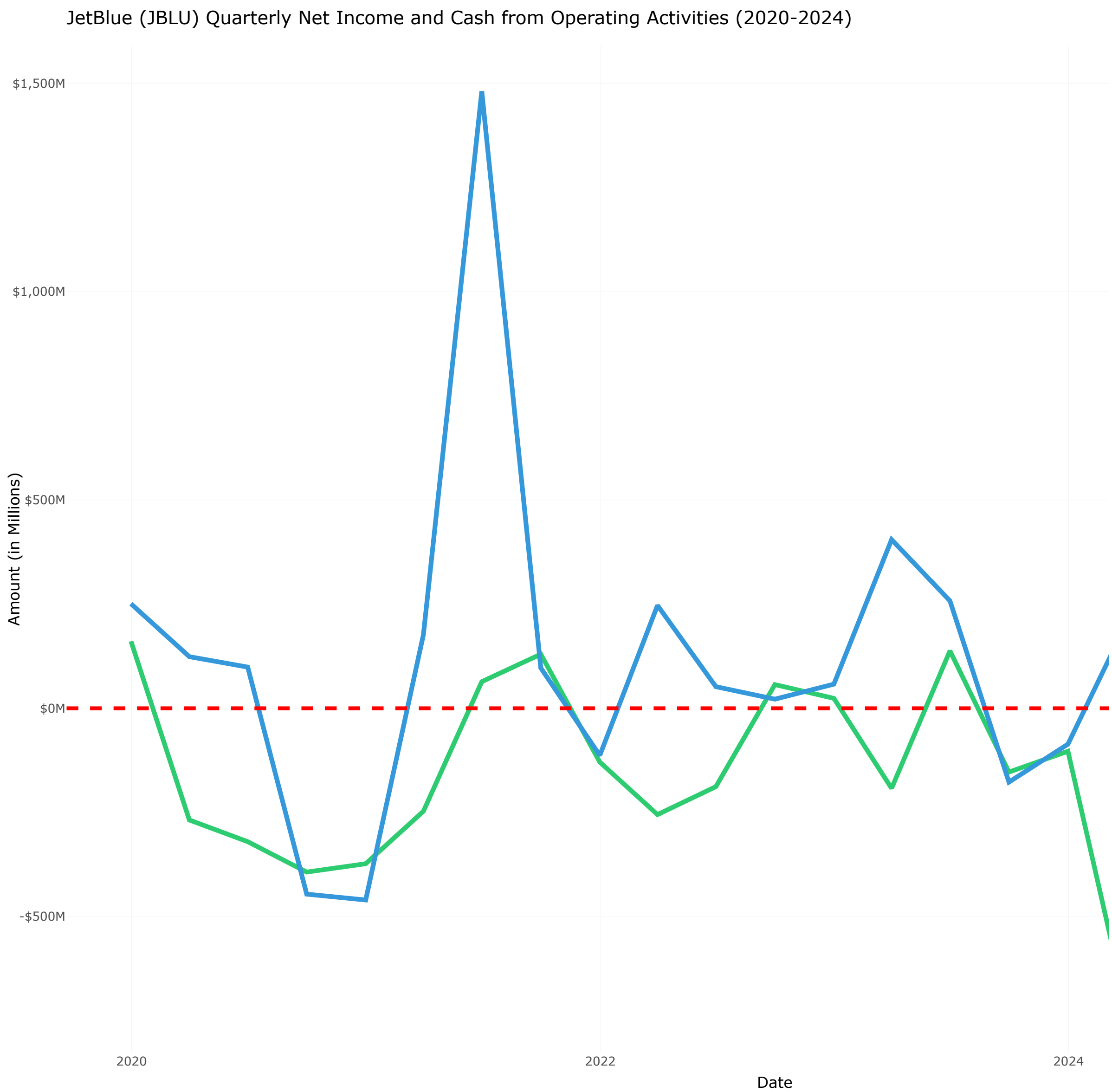


Figure 5.6: JetBlue (JBLU) Quarterly Net Income and Cash from Operating Activities (2020-2024)

5.5.1 Free Cash Flow Trend

Furthermore, JetBlue's free cash flow has been consistently and deeply negative over the periods. This inability to generate positive free cash flow underscores a critical lack of financial flexibility and a dependency on external financing to fund its capital expenditures.

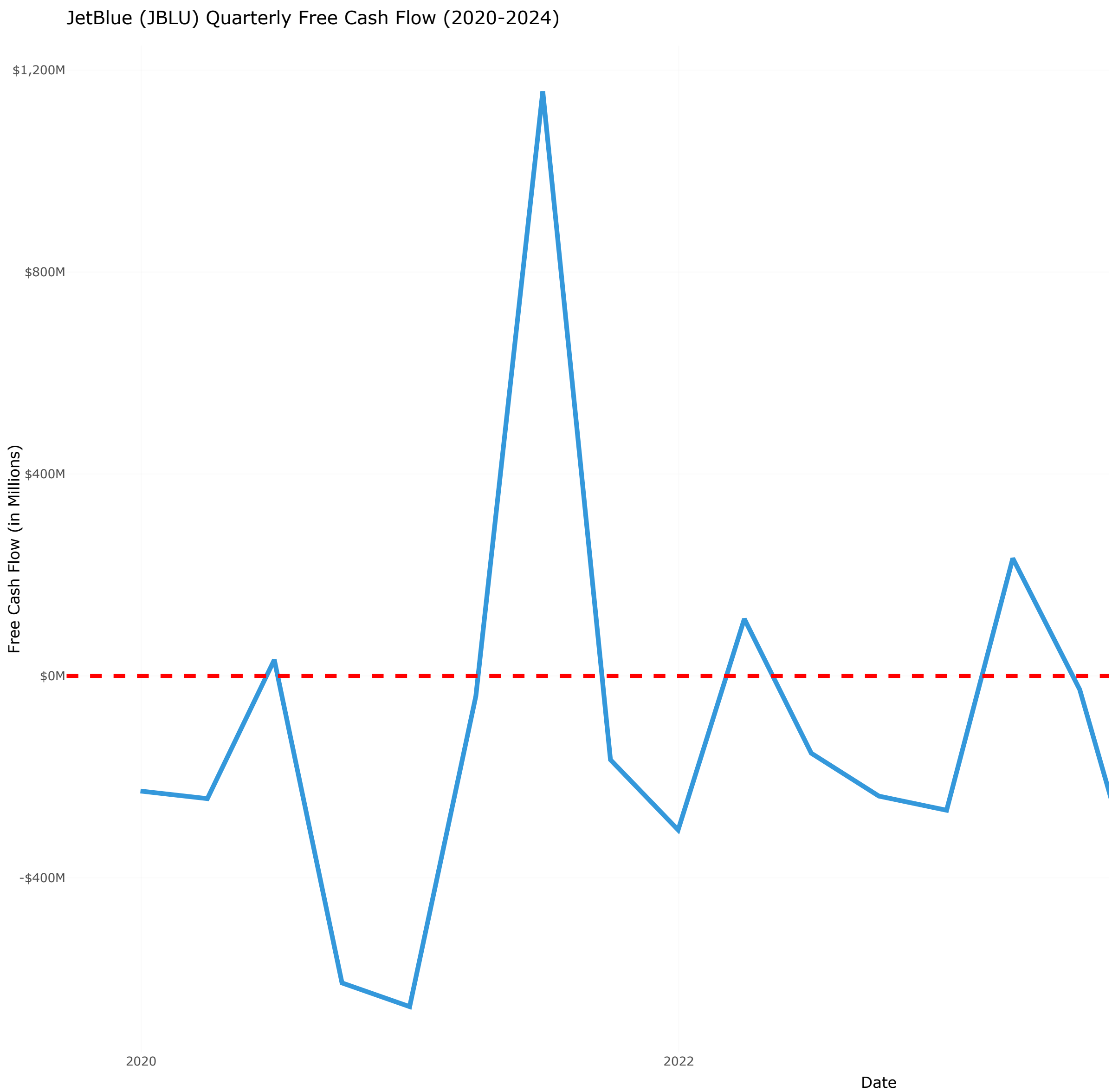


Figure 5.7: JetBlue (JBLU) Quarterly Free Cash Flow (2020-2024)

5.6 Efficiency and Performance Ratios

5.6.1 Return on Assets (ROA)

JBLU's Return on Assets (ROA) has been highly volatile from 2020 to 2024, reflecting the airline's struggle to generate consistent profits amid fluctuating demand and operational challenges. The ROA dipped into negative territory during the peak pandemic years, with only brief recoveries in between. This inconsistency highlights the difficulties JetBlue faces in efficiently utilizing its asset base to generate earnings.

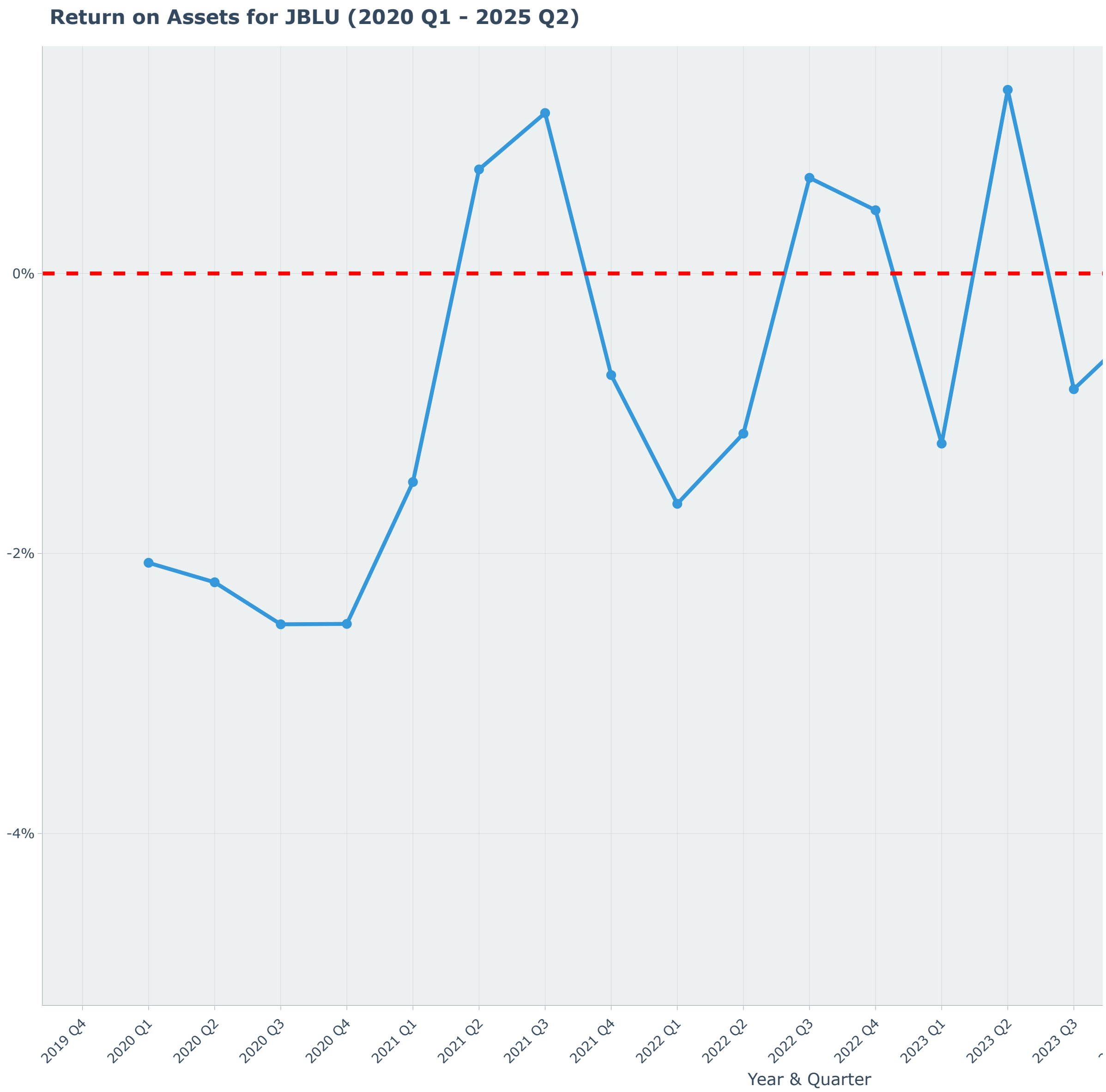


Figure 5.8: JetBlue (JBLU) Quarterly Return on Assets (ROA) (2020-2024)

5.6.2 ROA = Total Asset Turnover × Profit Margin

The decomposition of ROA into Total Asset Turnover and Profit Margin provides insights into the drivers behind JetBlue's asset efficiency. The airline's low and fluctuating profit margins have been a significant drag on ROA, despite relatively stable asset turnover ratios. This indicates that while JetBlue can generate revenue from its assets, its ability to convert that revenue into profit remains a critical challenge.

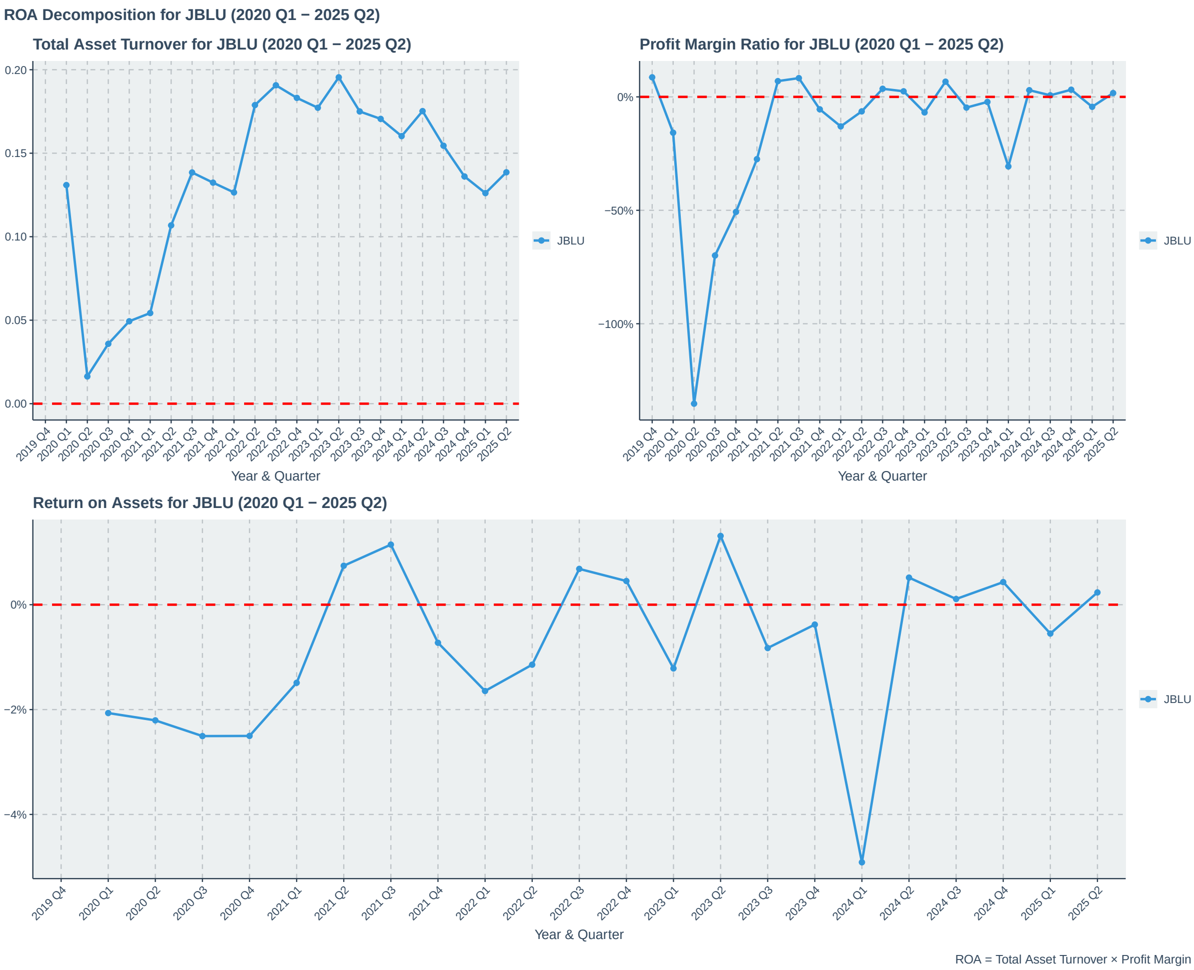


Figure 5.9: JetBlue (JBLU) Quarterly ROA Decomposition (2020-2024)

5.6.3 Return on Equity (ROE)

JBLU's Return on Equity (ROE) has mirrored its ROA trends, with significant fluctuations and periods of negative returns. The airline's ROE has been particularly affected by its equity erosion due to sustained losses, leading to a challenging environment for shareholders. The negative ROE in several quarters underscores the difficulties JetBlue faces in delivering value to its equity investors.

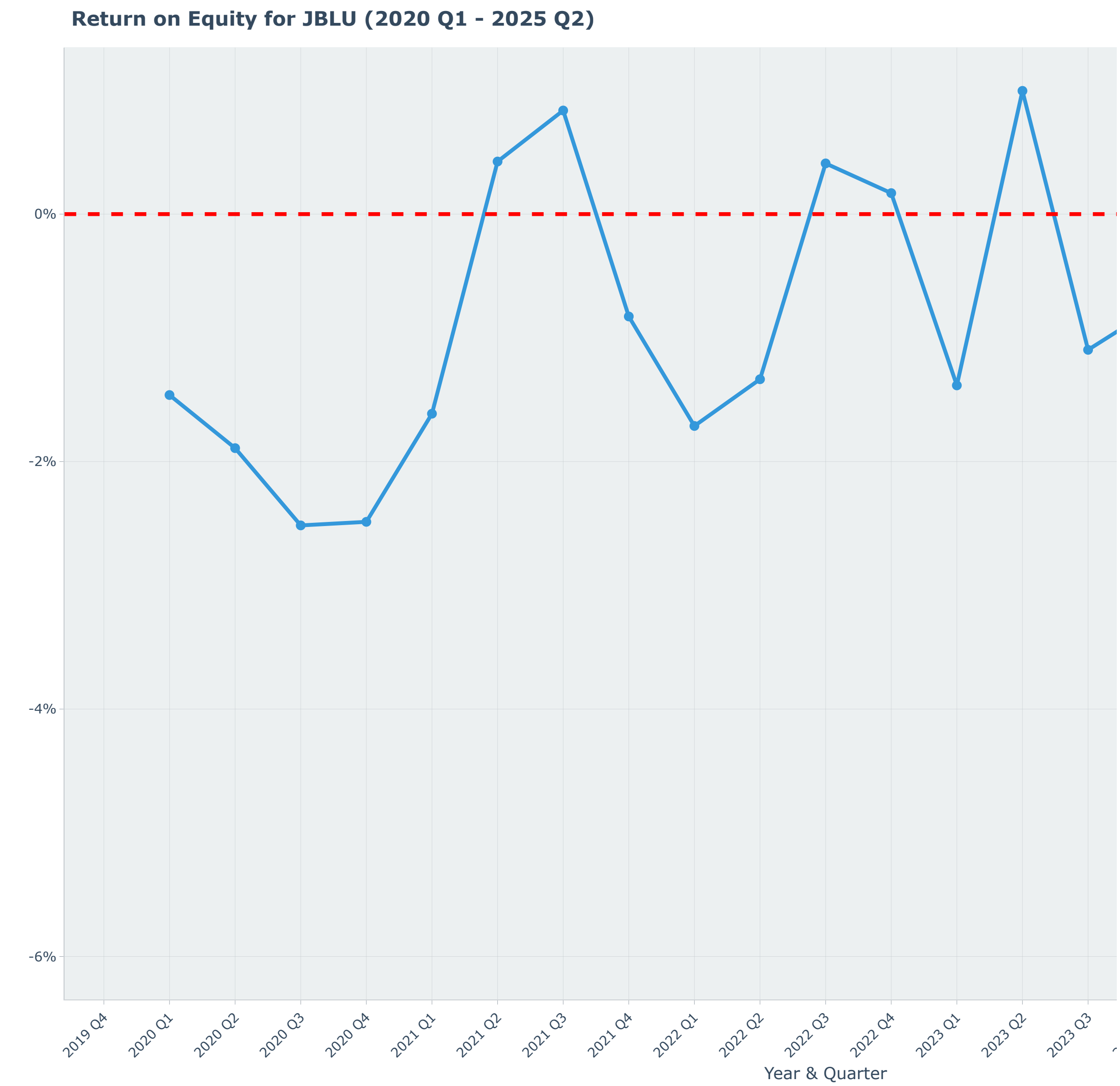


Figure 5.10: JetBlue (JBLU) Quarterly Return on Equity (ROE) (2020-2024)

5.6.4 ROE = ROA × Capital Structure Leverage × Common Earnings Leverage

The decomposition of ROE into its constituent components reveals the multifaceted challenges JetBlue faces in delivering shareholder value. The airline's low ROA, combined with high leverage ratios, has amplified the negative impact on ROE. This analysis underscores the critical need for JetBlue to improve its operational efficiency and profitability while managing its capital structure prudently to enhance returns for equity investors.

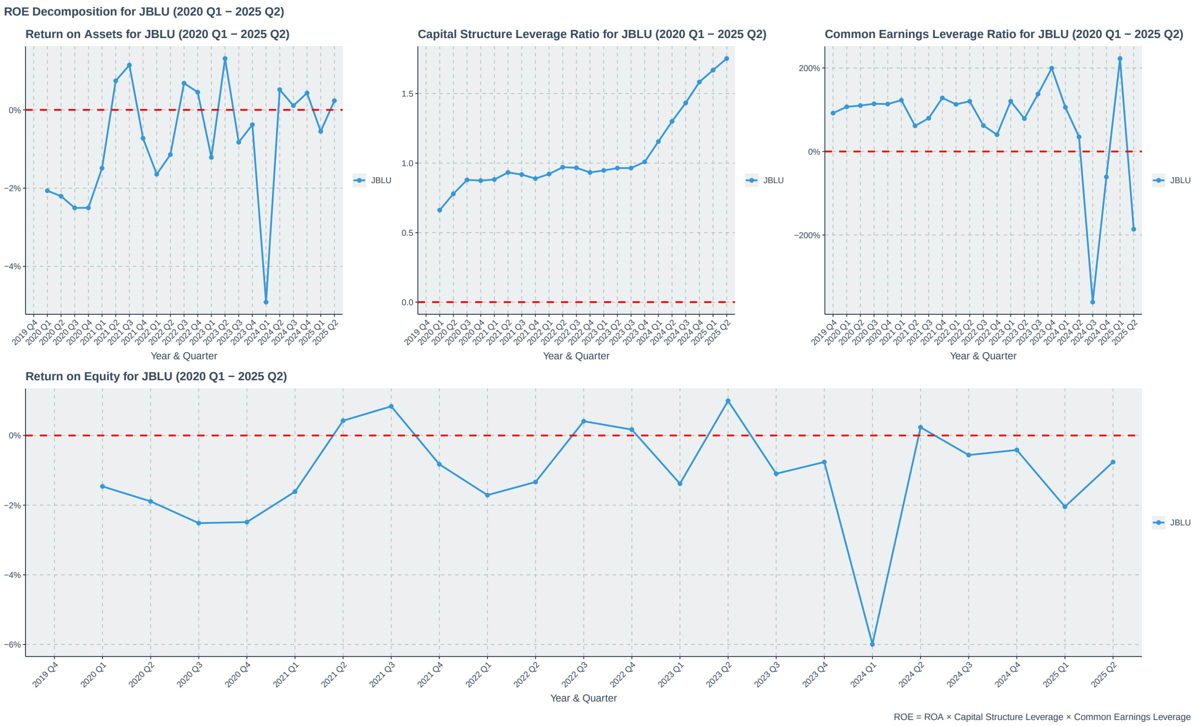


Figure 5.11: JetBlue (JBLU) Quarterly ROE Decomposition (2020-2024)

5.7 Summary

In summary, JetBlue's financial analysis from 2020 to 2024 reveals a company grappling with the dual challenges of recovering from a severe industry downturn while trying to establish a sustainable and profitable business model. The airline's inability to consistently generate profits, coupled with a deteriorating balance sheet and negative cash flows, raises significant concerns about its long-term viability without substantial strategic changes. JetBlue's hybrid model, while offering some competitive advantages, appears to be a liability in a market increasingly polarized between low-cost and full-service carriers. Addressing these financial and operational challenges will be critical for JetBlue to regain its footing in the competitive U.S. airline landscape.

Part III

SkyWest (SKYW)

6 SkyWest (SKYW) Financial Analysis

SkyWest, Inc. operates under a unique and resilient business model as a regional carrier, providing flight services under contract for major airline partners like SkyWest. This structure insulates it from certain risks, such as direct fuel price and ticketing volatility, that mainline carriers face. Its financial performance, therefore, offers a distinct and valuable perspective on the U.S. airline sector. This section will analyze SkyWest's financial statements from 2020 through the end of fiscal year 2024.

6.1 Market Capitalization Trend

SkyWest's market capitalization trajectory from 2020 to 2024 reflects its resilience and strategic positioning in the airline industry. The company's market cap experienced a significant dip during the initial phase of the COVID-19 pandemic in early 2020, mirroring the broader industry downturn. However, unlike many mainline carriers, SkyWest's recovery was relatively swift and steady, underscoring the strength of its regional carrier model and its contracts with major airlines.

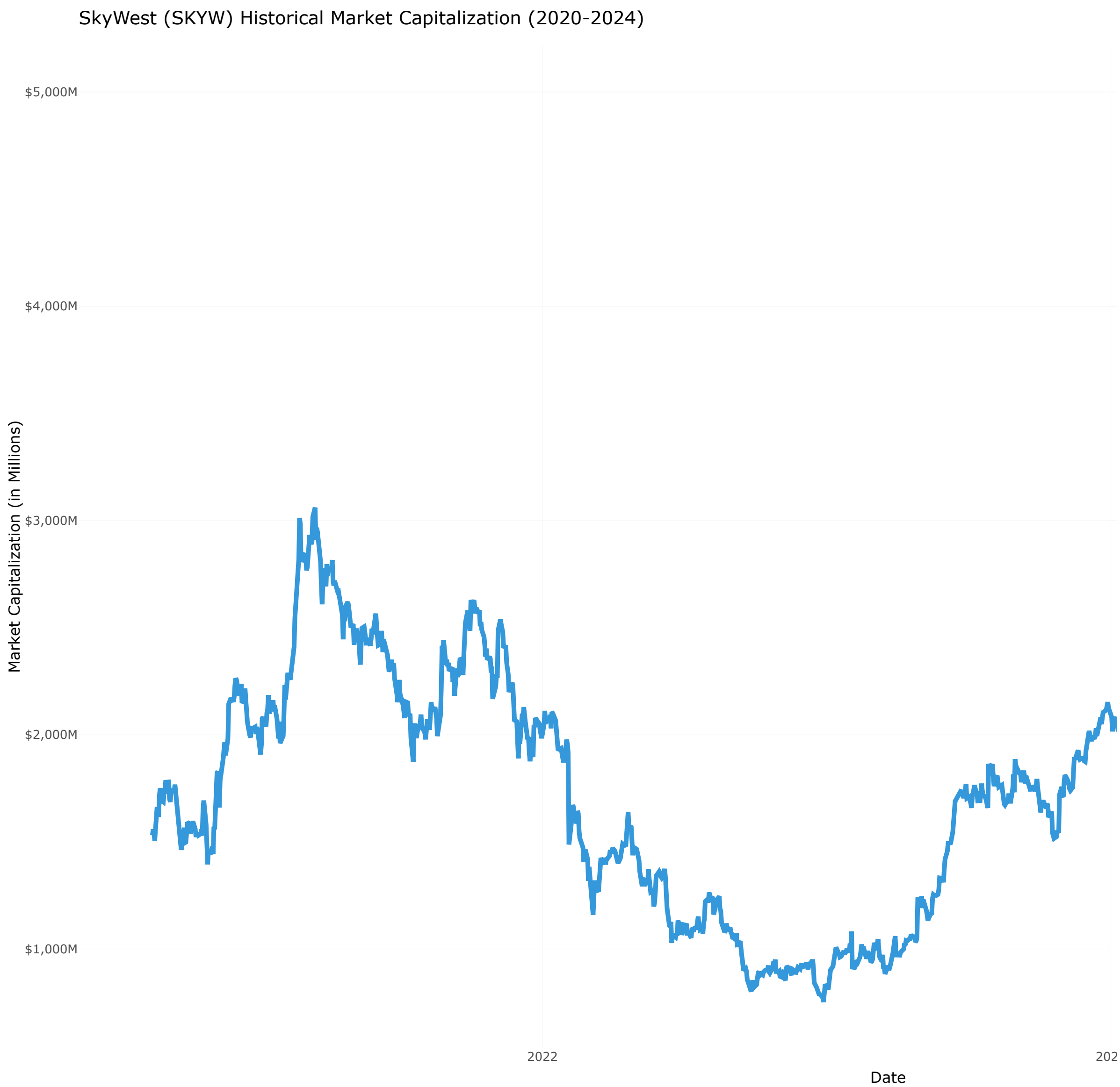


Figure 6.1: SkyWest (SKYW) Historical Market Capitalization (2020-2024)

6.2 Income Statement and Profitability

6.2.1 Profitability Analysis

SkyWest's capacity-purchase business model provides a foundation for more stable and predictable revenue streams compared to its mainline counterparts.

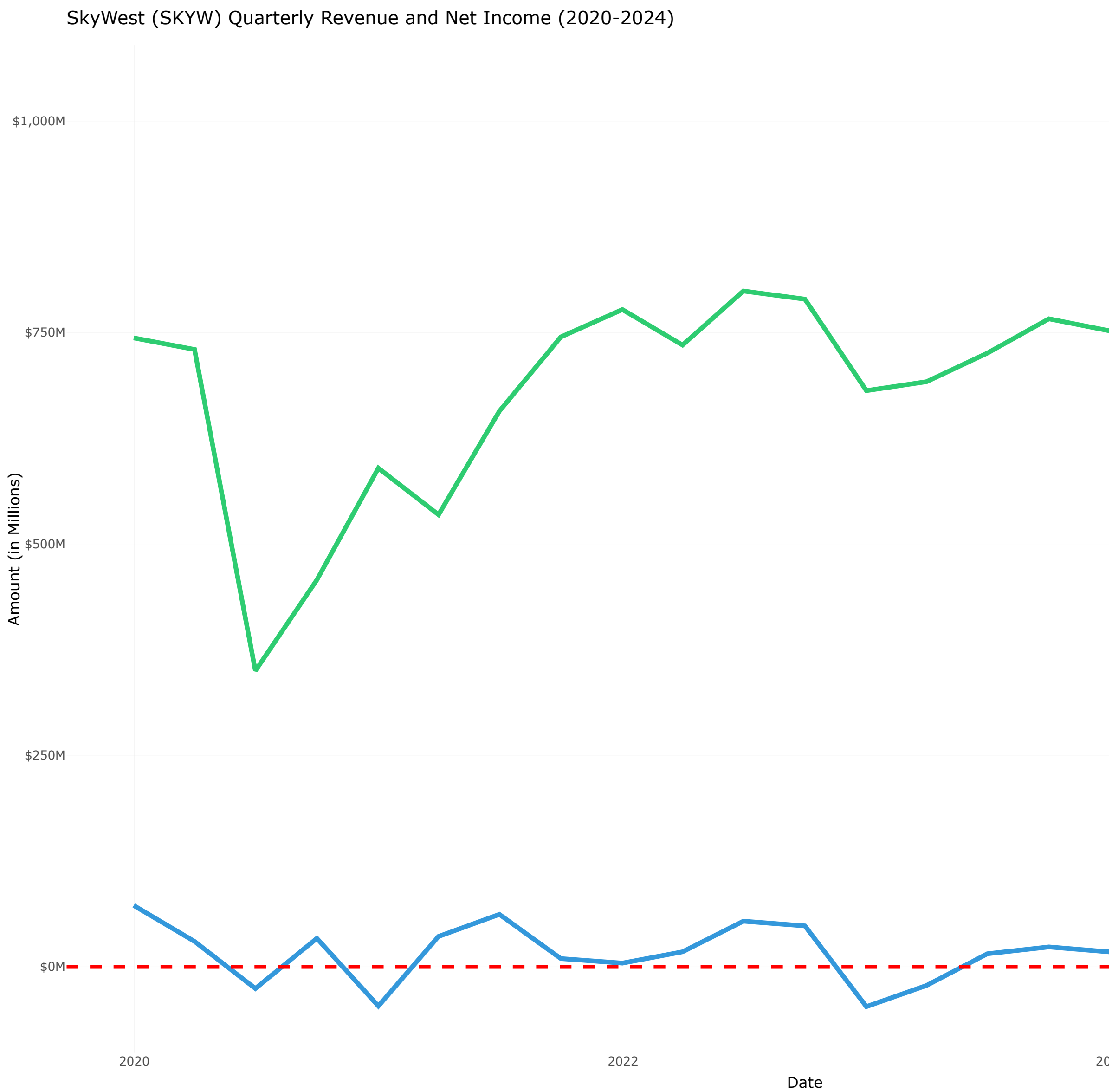


Figure 6.2: SkyWest (SKYW) Quarterly Revenue and Net Income (2020-2024)

6.2.2 Margin Analysis

SkyWest's profitability demonstrates remarkable consistency despite industry-wide turmoil. The stability of its results stems from its capacity purchase agreements with major carriers. These fixed-fee and cost-plus contracts largely insulate SkyWest from passenger demand risk and fuel price volatility, which are the primary sources of margin volatility for mainline carriers.

While it posted modest losses in 2020 and 2022, it maintained positive operating income in other years, culminating in a very strong 15% operating margin in 2024.

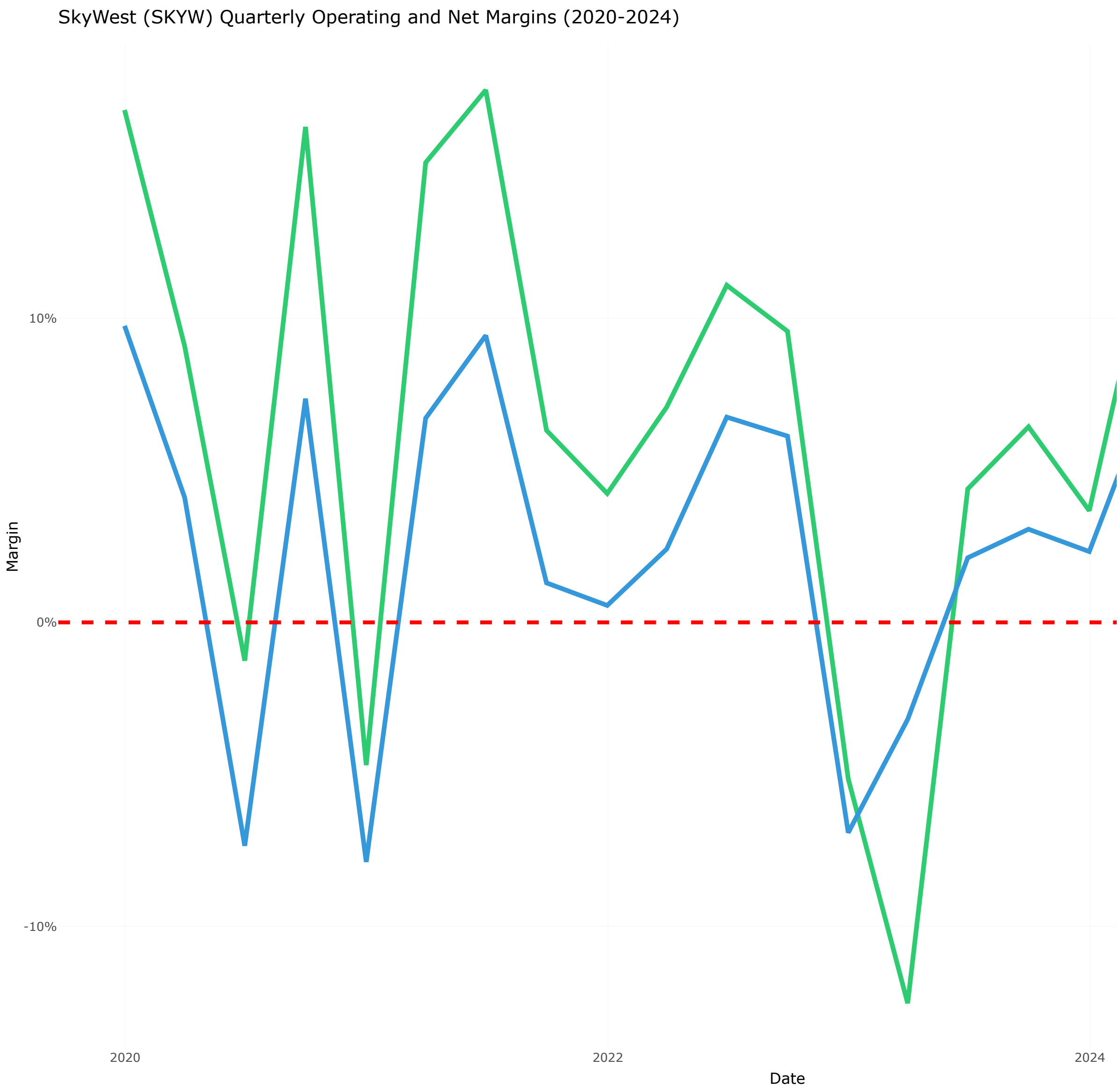


Figure 6.3: SkyWest (SKYW) Quarterly Operating and Net Margins (2020-2024)

6.3 Balance Sheet Health and Leverage

A core strength of SkyWest is its conservative financial management, resulting in a robust and low-leverage balance sheet.

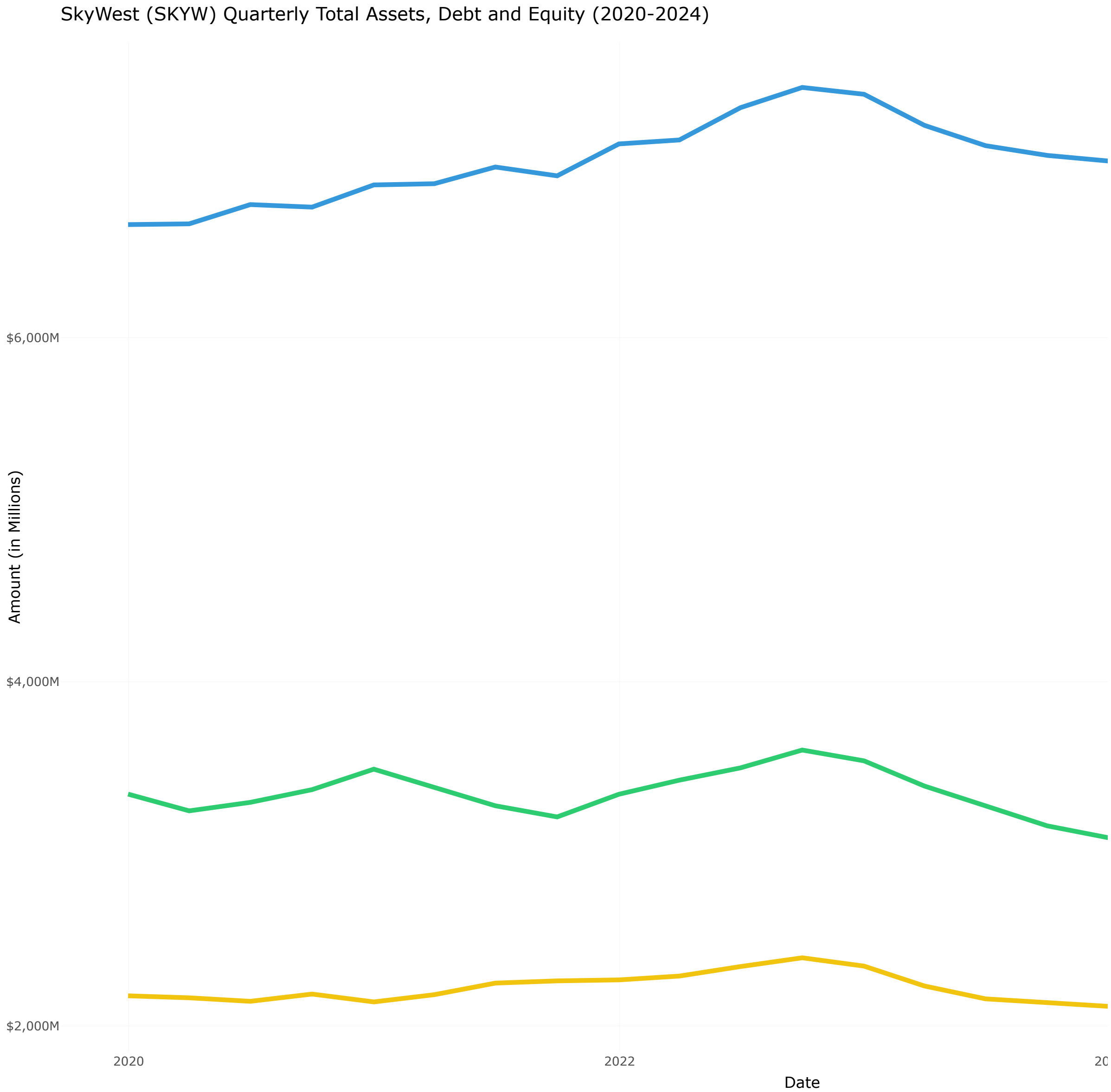


Figure 6.4: SkyWest (SKYW) Quarterly Total Assets, Debt and Equity (2020-2024)

6.3.1 Debt-to-Equity Ratio Trend

SkyWest's financial structure is exceptionally strong for an airline. Over the five-year period, its Net Debt to Equity ratio has steadily decreased from 2.3x to a very healthy 1.7x by the end of 2024. This consistent deleveraging, even through challenging years, provides SkyWest with significant financial resilience and a lower risk profile.

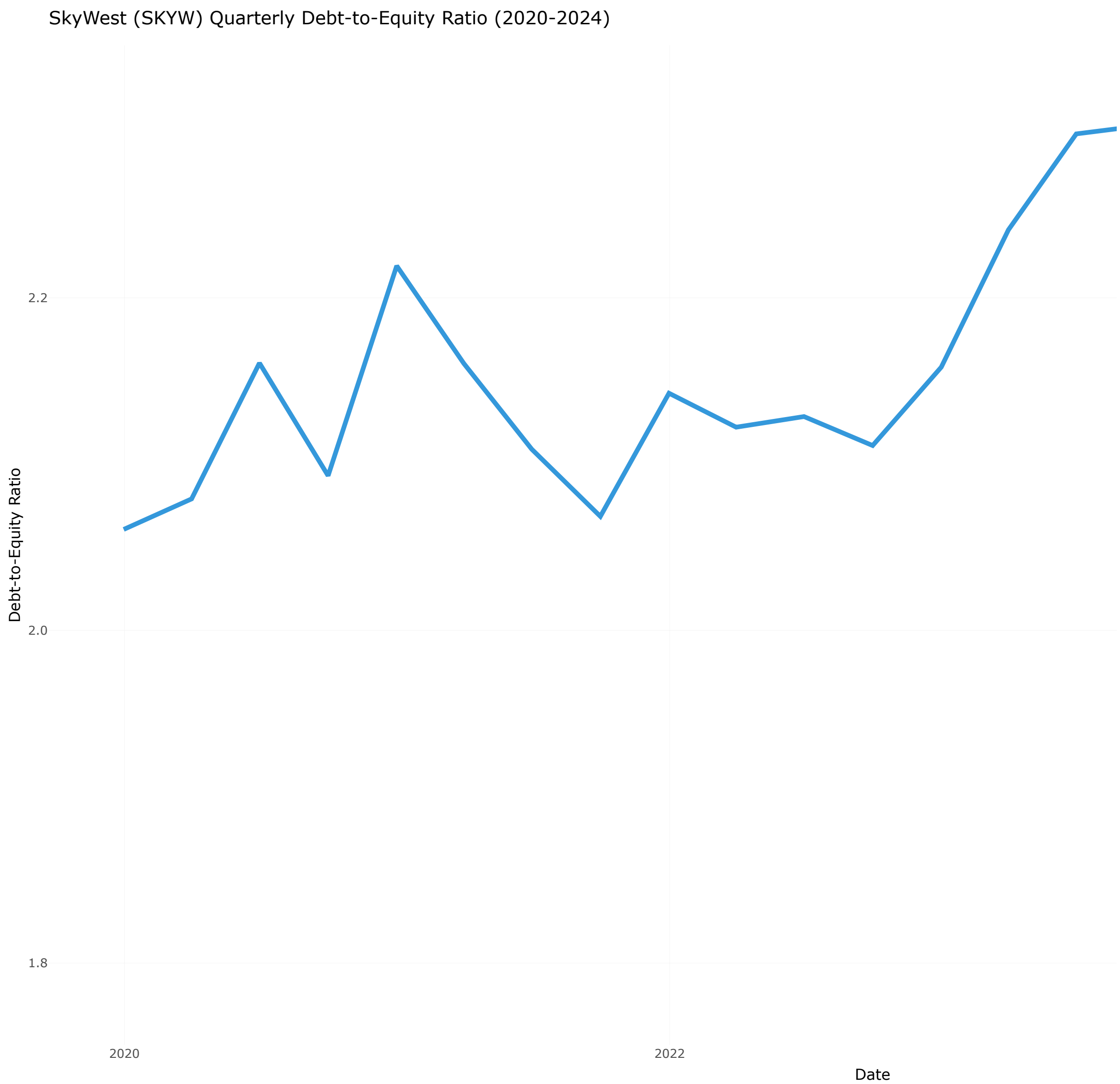


Figure 6.5: SkyWest (SKYW) Quarterly Debt-to-Equity Ratio (2020-2024)

6.4 Cash Flow Qskywity and Sustainability

SkyWest's operational efficiency is best illustrated by its consistent and strong cash flow generation.

The analysis reveals a powerful and consistent ability to convert earnings (and even losses) into positive operating cash flow. In every single year, Cash from Operating Activities was significantly positive and substantially exceeded net income. This indicates very high-quality earnings and efficient working capital management. This operational strength translates directly to financial health.

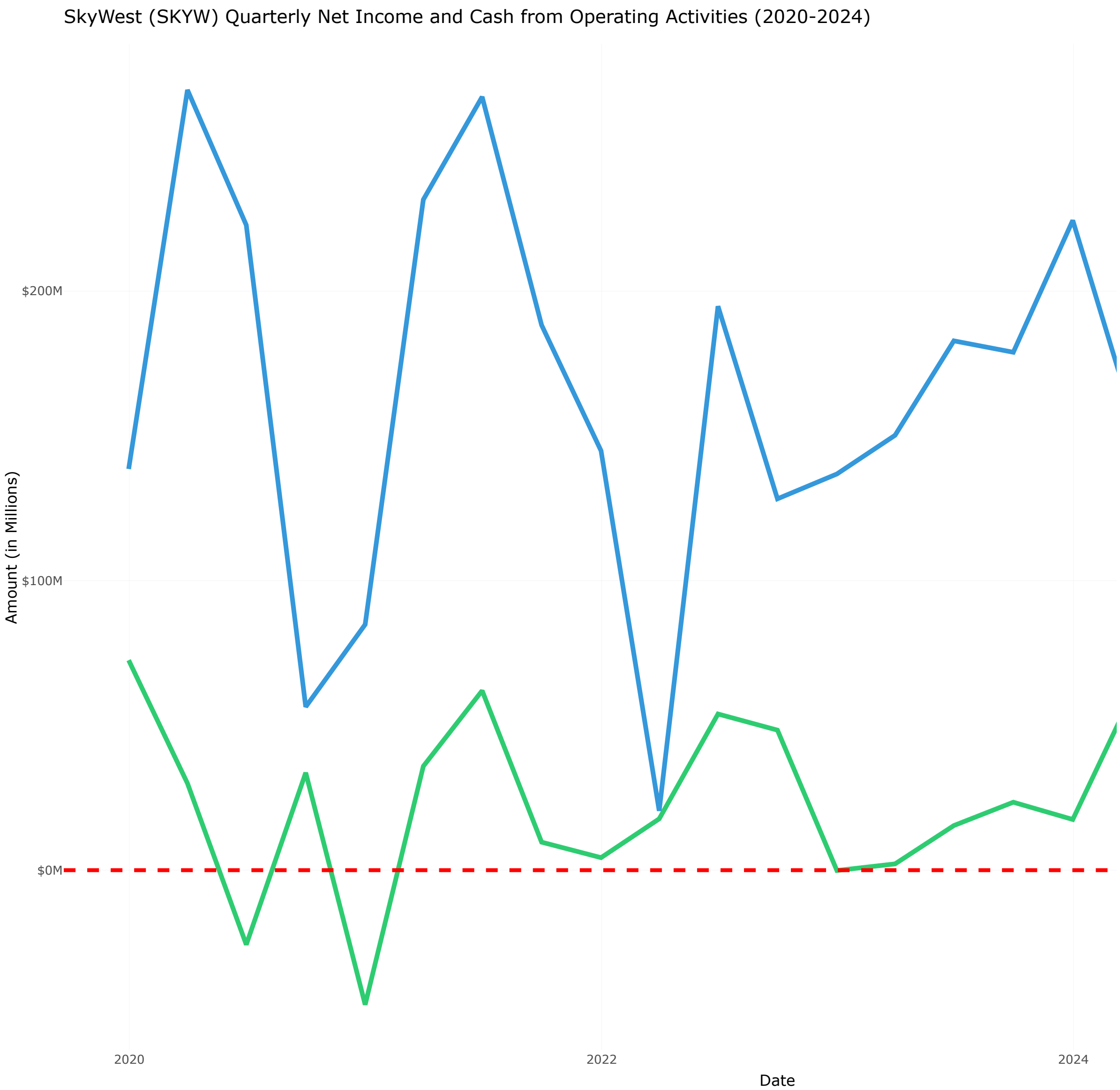


Figure 6.6: SkyWest (SKYW) Quarterly Net Income and Cash from Operating Activities (2020-2024)

6.4.1 Free Cash Flow Trend

SkyWest's return to positive free cash flow since 2022 demonstrates an ability to fund capital needs internally, a critical hallmark of a self-sustaining and healthy enterprise.

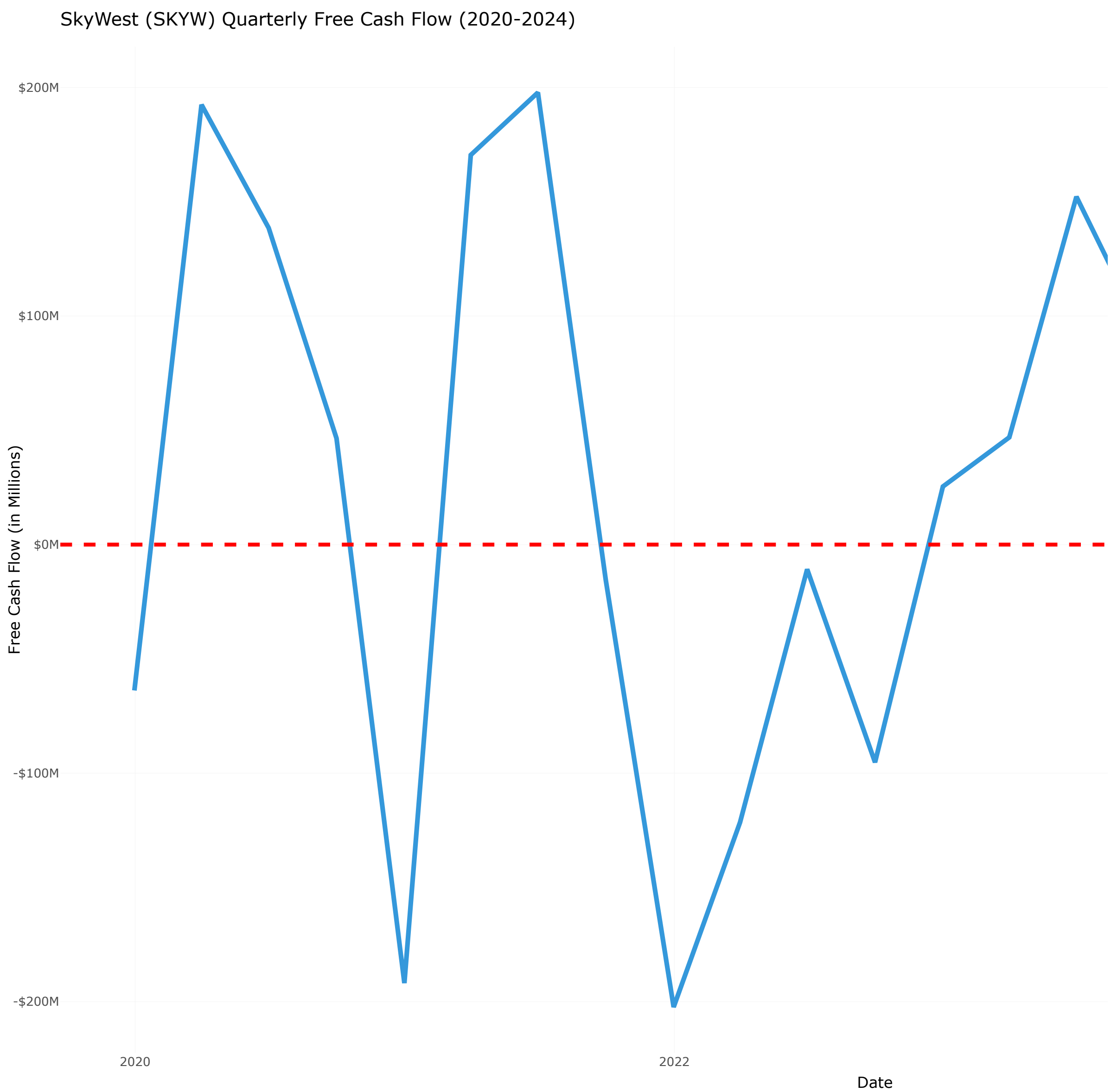


Figure 6.7: SkyWest (SKYW) Quarterly Free Cash Flow (2020-2024)

6.5 Efficiency and Performance Ratios

6.5.1 Return on Assets (ROA)

SKYW's Return on Assets (ROA) has shown a positive trend from 2020 to 2024, reflecting the company's efficient use of its asset base to generate profits. The ROA metric indicates how effectively SkyWest is utilizing its assets to produce earnings, which is particularly important in the capital-intensive airline industry. The steady improvement in ROA over the years suggests that SkyWest has been successful in optimizing its operations and asset management, leading to enhanced profitability and financial health.

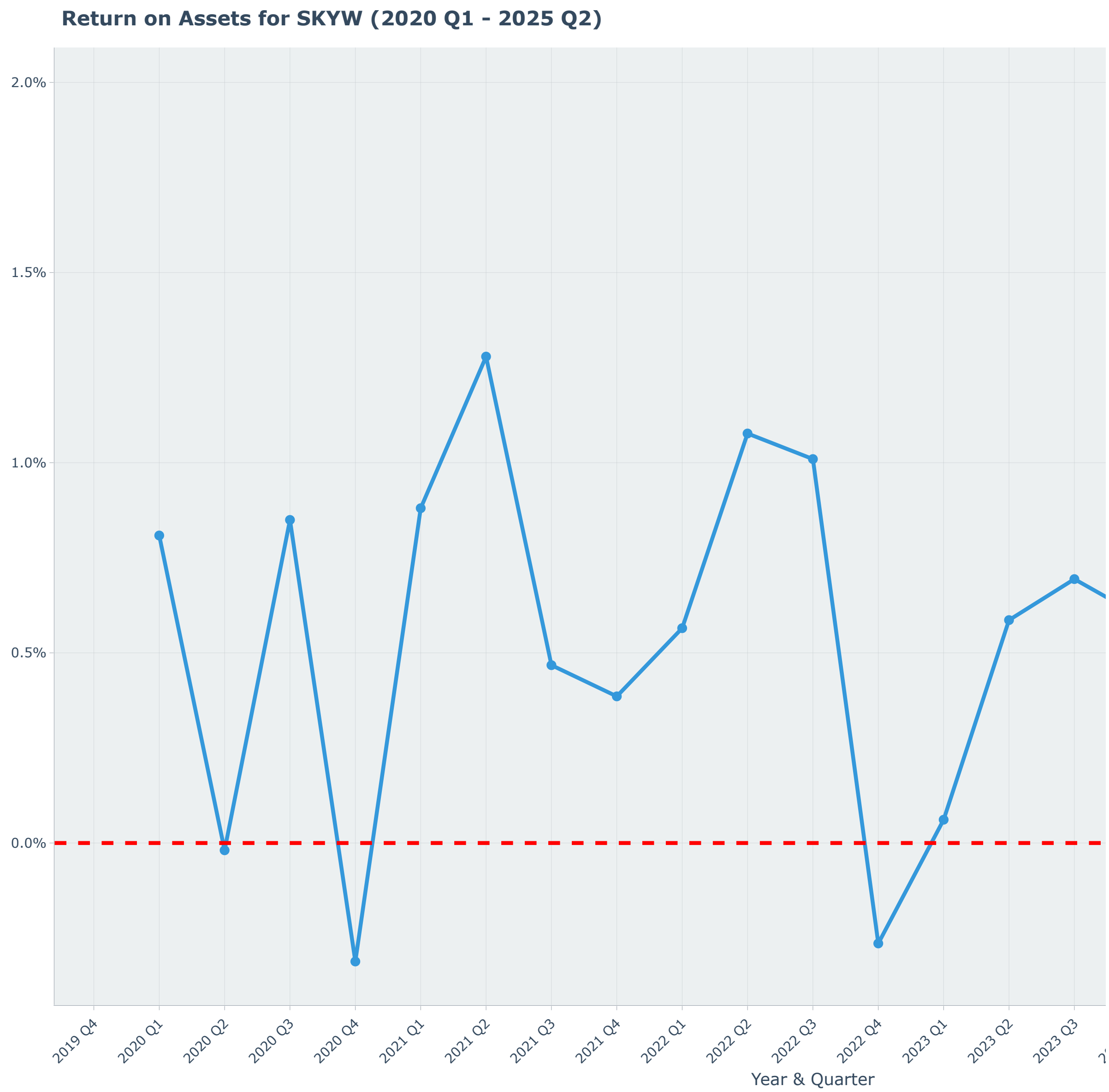


Figure 6.8: SkyWest (SKYW) Quarterly Return on Assets (ROA) (2020-2024)

6.5.2 ROA = Total Asset Turnover × Profit Margin

ROA decomposition provides valuable insights into the drivers of SkyWest's asset efficiency. By breaking down ROA into Total Asset Turnover and Profit Margin, we can better understand how effectively the company utilizes its assets to generate revenue and how efficiently it converts that revenue into profit. This analysis highlights the dual importance of operational efficiency and profitability in enhancing SkyWest's overall return on assets.

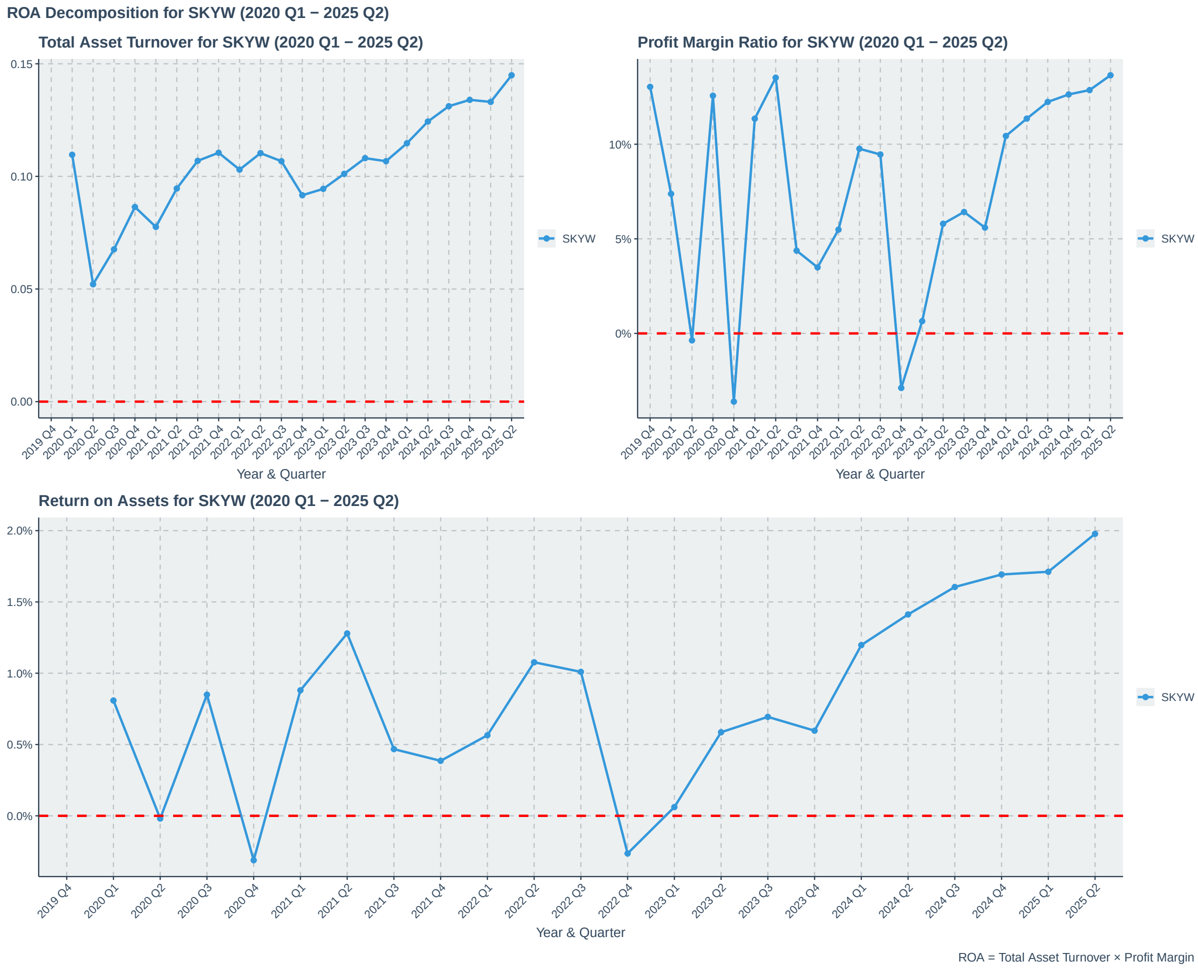


Figure 6.9: SkyWest (SKYW) Quarterly ROA Decomposition (2020-2024)

6.5.3 Return on Equity (ROE)

SKYW's Return on Equity (ROE) has also demonstrated a positive trajectory from 2020 to 2024, highlighting the company's ability to generate profits from its shareholders' equity. ROE is a critical measure of financial performance, indicating how effectively SkyWest is using the capital invested by its shareholders to produce earnings. The upward trend in ROE suggests that SkyWest has been successful in enhancing shareholder value through efficient management and profitable operations, even in the face of industry challenges.

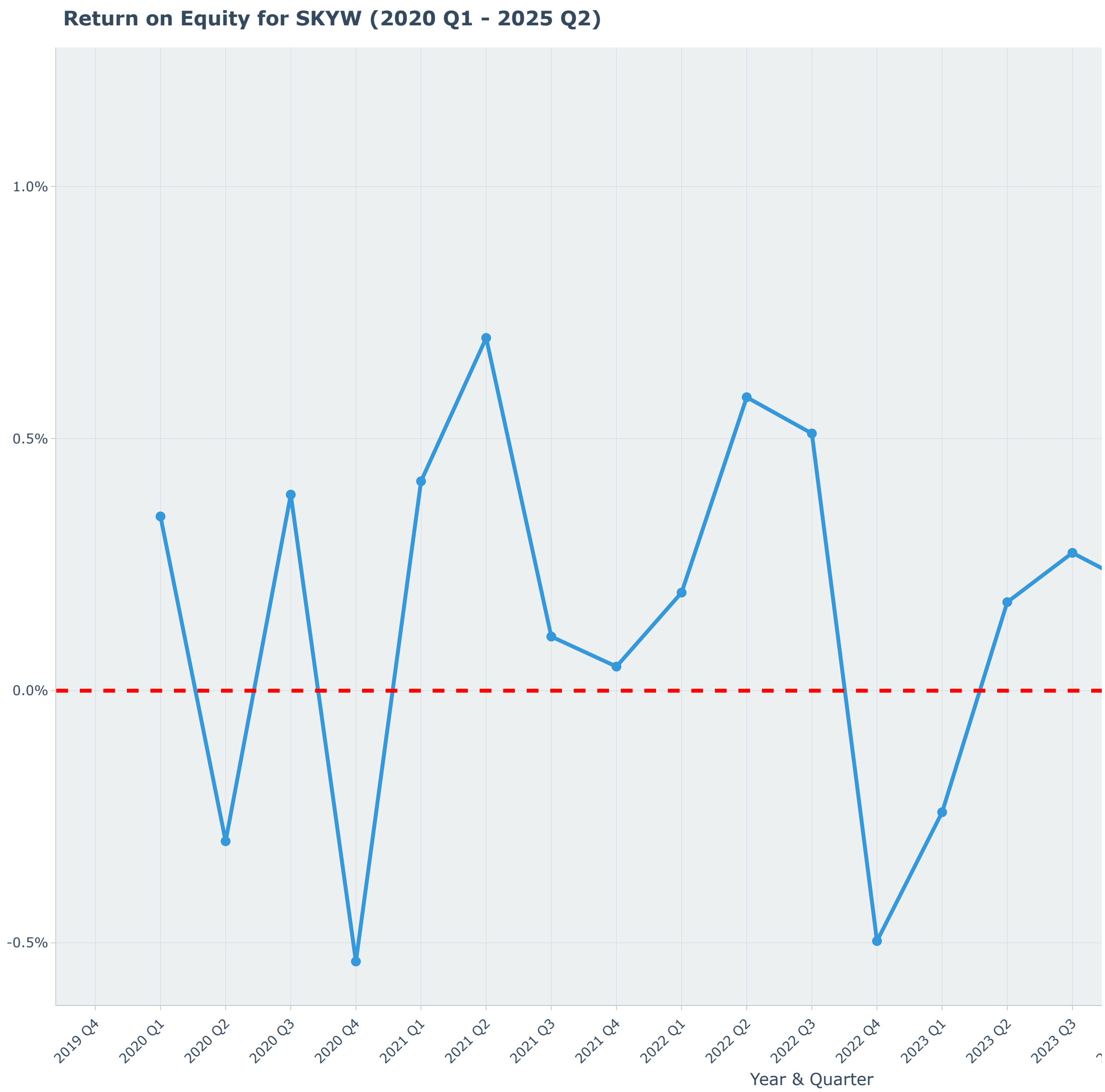


Figure 6.10: SkyWest (SKYW) Quarterly Return on Equity (ROE) (2020-2024)

6.5.4 ROE = ROA × Capital Structure Leverage × Common Earnings Leverage

Decomposing ROE into its components provides valuable insights into the drivers of SkyWest's shareholder returns. The analysis reveals how the company's operational efficiency (ROA), financial leverage (Capital Structure Leverage), and earnings quality (Common Earnings Leverage) collectively contribute to its overall return on equity. This decomposition highlights the multifaceted nature of SkyWest's financial performance and underscores the importance of each component in enhancing shareholder value.

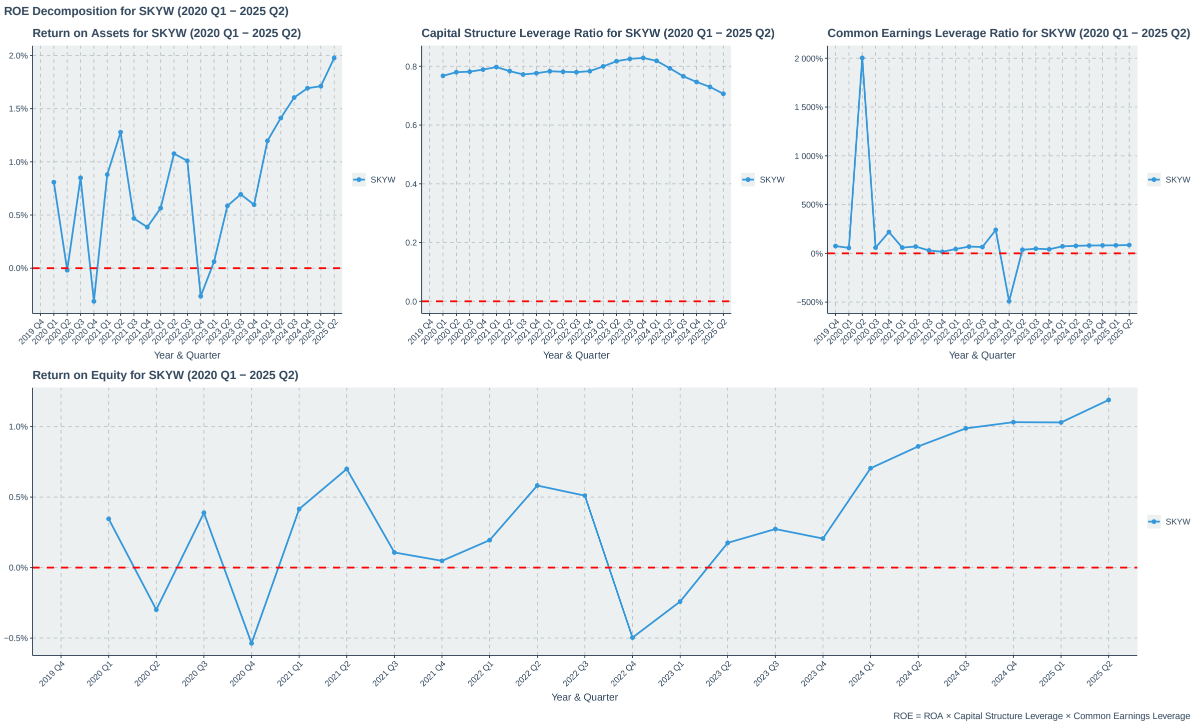


Figure 6.11: SkyWest (SKYW) Quarterly ROE Decomposition (2020-2024)

6.6 Summary

In summary, SkyWest's financial analysis from 2020 to 2024 reveals a company that has not only weathered the unprecedented challenges of the pandemic but has emerged stronger and more resilient. Its unique business model as a regional carrier, combined with prudent financial management, has resulted in a robust balance sheet, consistent profitability, and strong cash flow generation. SkyWest's low leverage, stable margins, and ability to generate free cash flow position it well for future growth and stability in an industry that remains volatile and competitive. This analysis underscores SkyWest as a standout performer in the airline sector, demonstrating that strategic focus and operational efficiency can yield significant advantages even in challenging times.

Part IV

Comparative Analysis

7 Comparative Financial Analysis

8 Introduction

Here we compare financial performance of United Airlines (UAL), JetBlue (JBLU), and SkyWest (SKW). This report provides a detailed comparative financial analysis of three distinct players in the U.S. airline industry: legacy carrier United Airlines (UAL), low-cost carrier JetBlue (JBLU), and regional operator SkyWest (SKW). Utilizing financial data from the beginning of 2020 through the end of fiscal year 2024, this study examines the post-pandemic recovery, financial health, profitability, and operational efficiency of each company. The strategic importance of this analysis lies in understanding the divergent recovery paths and competitive positioning that have emerged in a sector profoundly reshaped by recent global events.

8.1 Leverage Ratios

The leverage ratios analyzed include Debt-to-Asset and Debt-to-Equity ratios.

The Debt-to-Asset ratio measures the proportion of a company's assets that are financed through debt, indicating the level of financial risk. A higher ratio suggests greater reliance on debt financing, which can increase vulnerability to economic downturns.

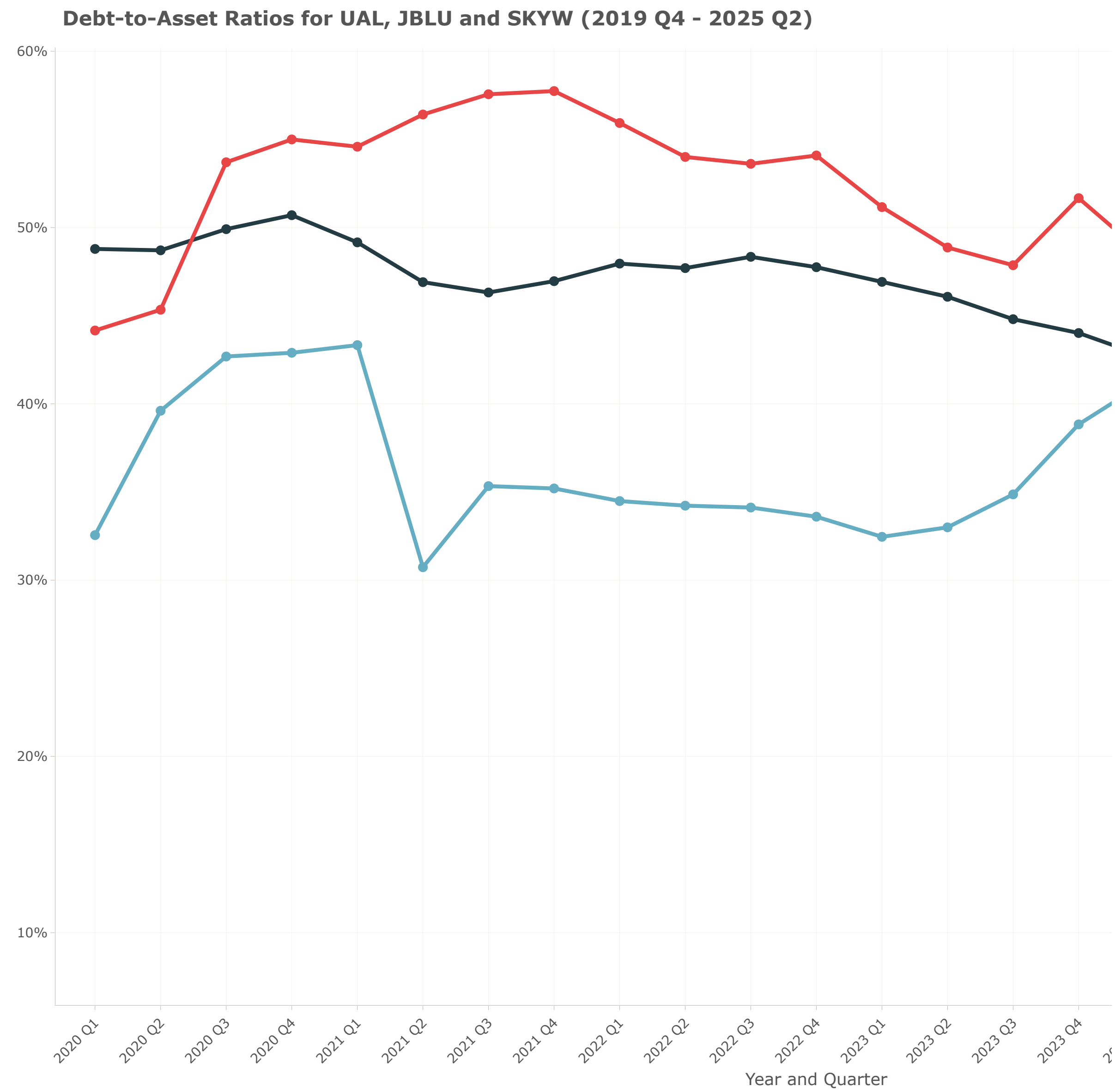
The Debt-to-Equity ratio compares a company's total debt to its shareholders' equity, providing insights into the company's capital structure and financial leverage. A higher Debt-to-Equity ratio indicates that a company is using more debt relative to equity to finance its operations, which can amplify returns but also increases financial risk.

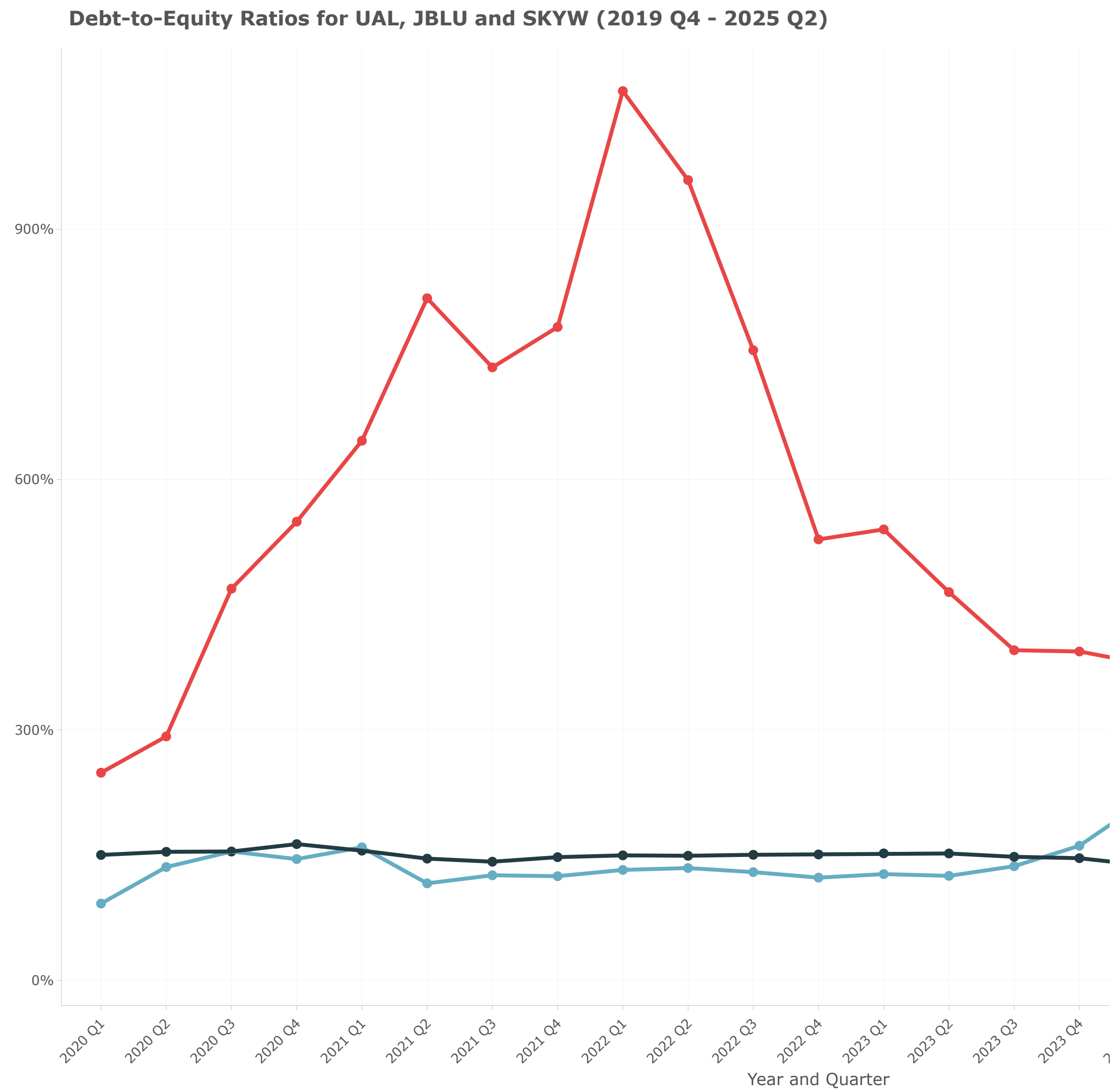
In the charts below, we analyze the Debt-to-Asset and Debt-to-Equity ratios for United Airlines (UAL), JetBlue (JBLU), and SkyWest (SKW) from the fourth quarter of 2019 to the second quarter of 2025. We observe how these airlines have managed their debt levels in response to industry challenges, particularly in the context of the COVID-19 pandemic and its aftermath.

SkyWest (SKW) consistently maintains lower leverage ratios compared to UAL and JBLU, indicating a more conservative approach to debt financing.

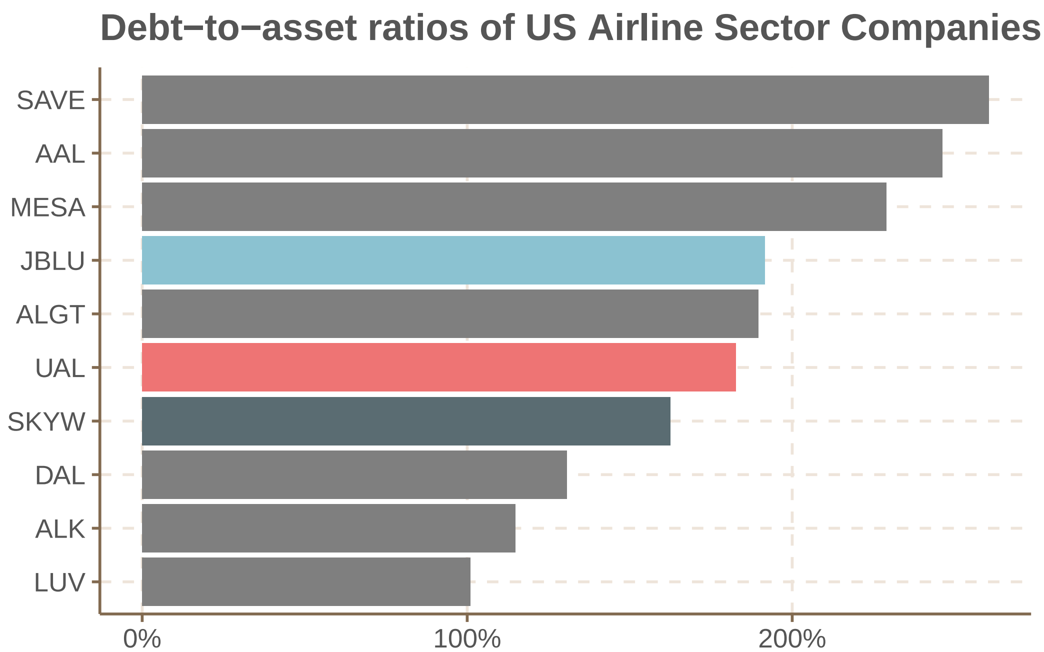
JetBlue (JBLU) shows a gradual increase in leverage ratios, reflecting its growth strategies post-pandemic.

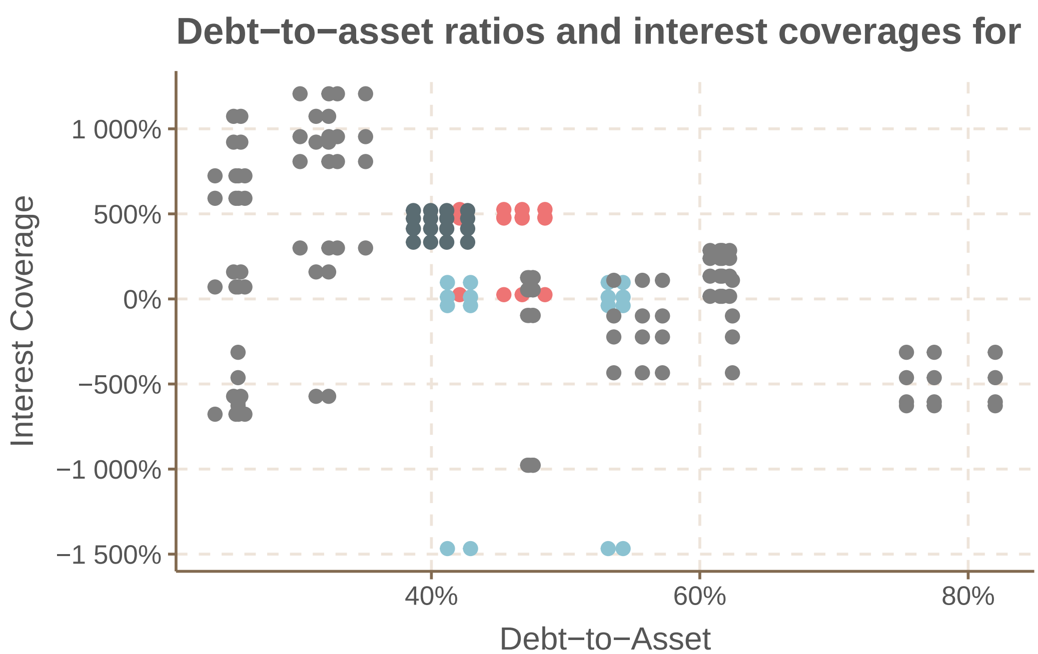
United Airlines (UAL) exhibits fluctuations in leverage ratios, highlighting efforts to balance debt management with operational needs during recovery phases.


Debt-to-Asset Ratios for UAL, JBLU and SKYW (2019 Q4 - 2025 Q2)
60%
50%
40%
30%
20%
10%
2020 Q1
2020 Q2
2020 Q3
2020 Q4
2021 Q1
2021 Q2
2021 Q3
2021 Q4
2022 Q1
2022 Q2
2022 Q3
2022 Q4
2023 Q1
2023 Q2
2023 Q3
2023 Q4
Year and Quarter


Debt-to-Equity Ratios for UAL, JBLU and SKYW (2019 Q4 - 2025 Q2)
900%
600%
300%
0%
2020 Q1
2020 Q2
2020 Q3
2020 Q4
2021 Q1
2021 Q2
2021 Q3
2021 Q4
2022 Q1
2022 Q2
2022 Q3
2022 Q4
2023 Q1
2023 Q2
2023 Q3
2023 Q4
Year and Quarter

8.2 Cross-Sectional Analysis of Debt to Asset Ratio in 2024





8.3 Efficiency and Profitability Ratios

8.3.1 Return on Assets and Return on Equity

The return on assets (ROA) and return on equity (ROE) ratios are key indicators of a company's profitability and efficiency in utilizing its assets and equity to generate earnings.

ROA measures how effectively a company uses its assets to produce net income, while ROE assesses the profitability relative to shareholders' equity.

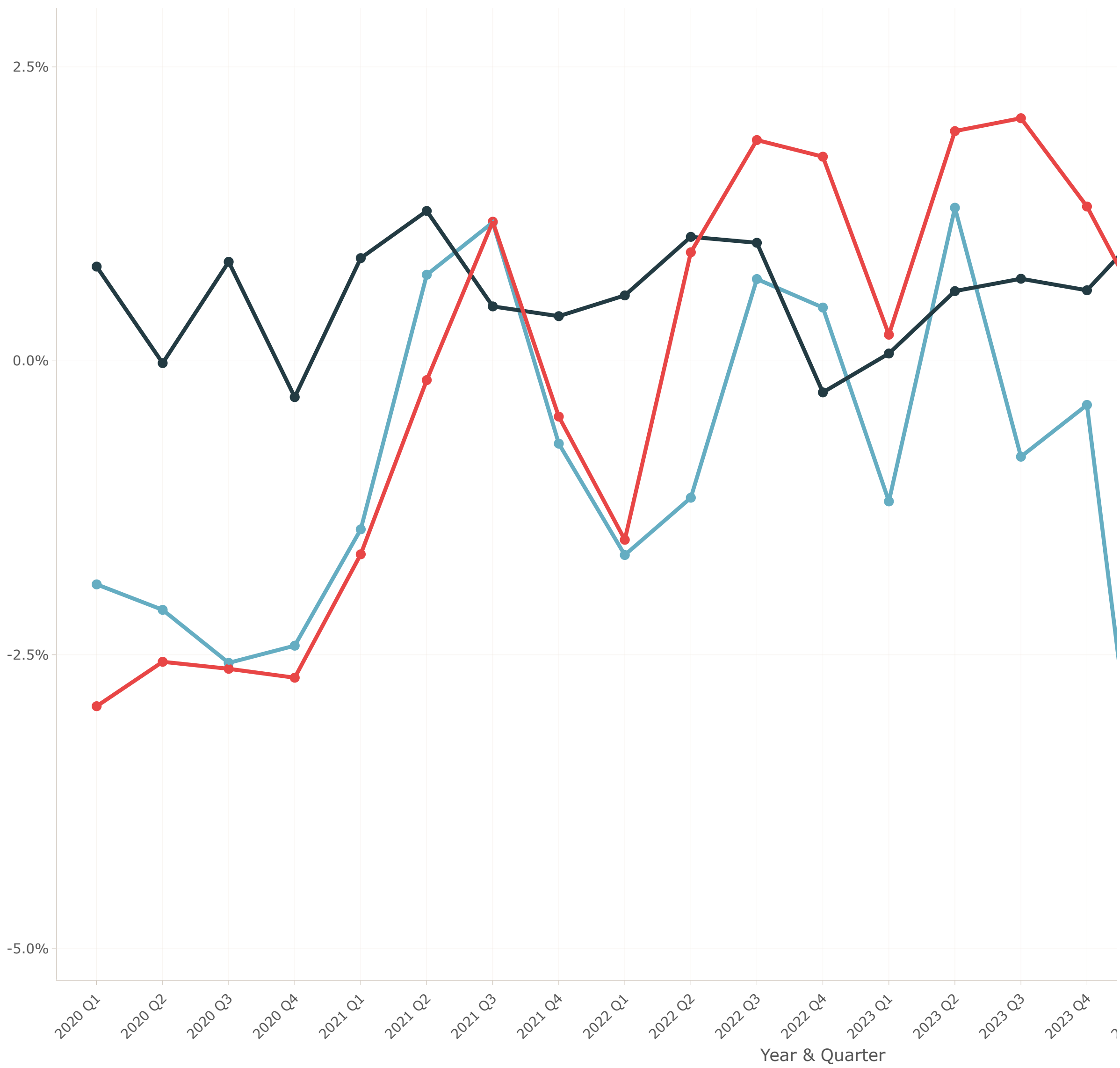
In the charts below, we analyze the ROA and ROE trends for United Airlines (UAL), JetBlue (JBLU), and SkyWest (SKW) from the fourth quarter of 2019 to the second quarter of 2025. We observe how these airlines have navigated the challenges of the airline industry, particularly in the context of the COVID-19 pandemic and its aftermath.

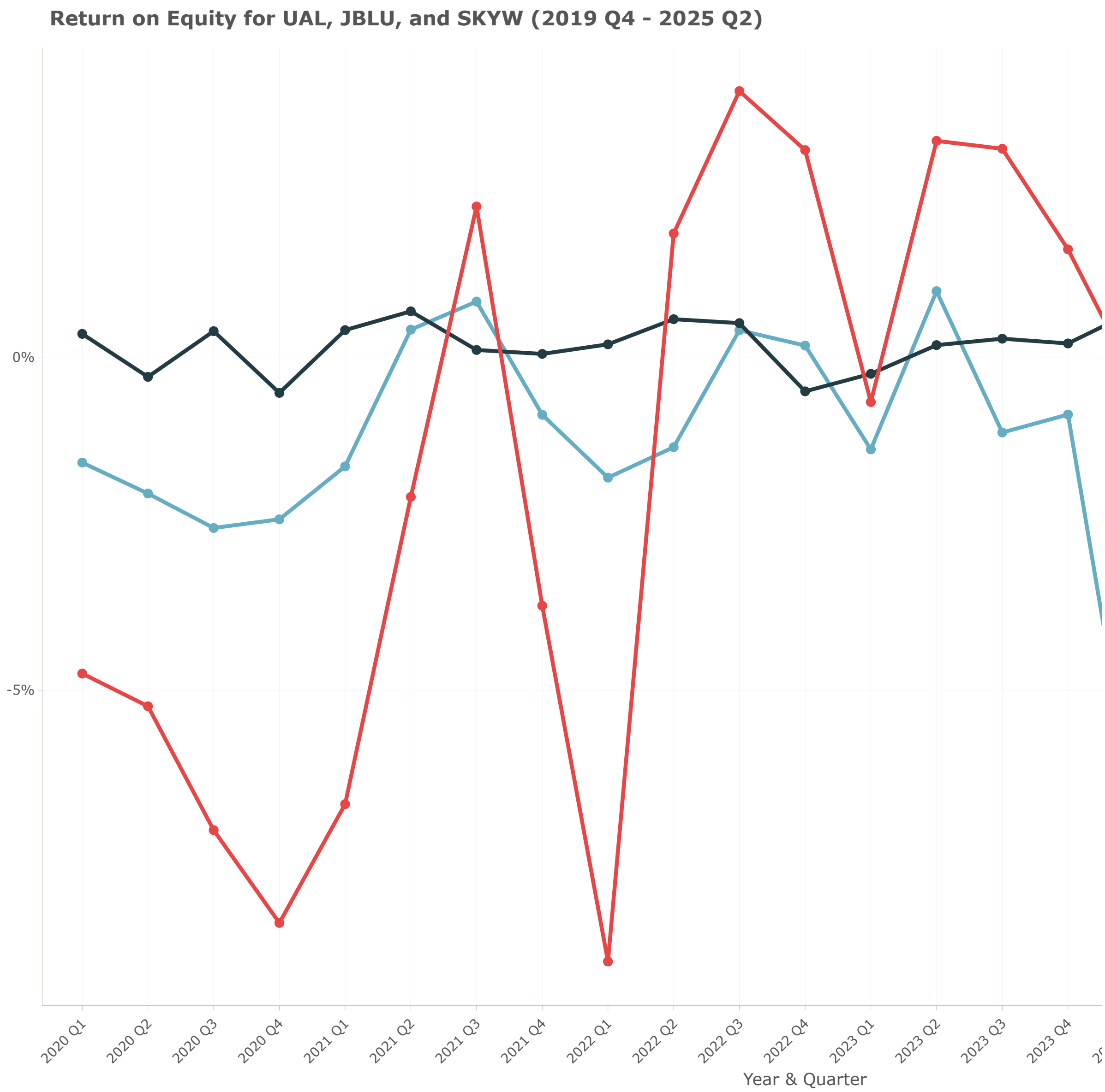
SkyWest (SKW) consistently demonstrates higher ROA and ROE compared to UAL and JBLU, indicating a more efficient use of assets and equity in generating profits.

JetBlue (JBLU) shows a gradual improvement in both ROA and ROE, reflecting its recovery and growth strategies post-pandemic.

United Airlines (UAL), while showing fluctuations, indicates efforts to stabilize and enhance profitability through various operational adjustments.

Return on Assets for UAL, JBLU, and SKYW (2019 Q4 - 2025 Q2)





8.3.2 Capital Structure Leverage and Common Earnings Leverage

The capital structure leverage ratio and common earnings leverage ratio are important metrics for assessing a company's financial leverage and risk profile.

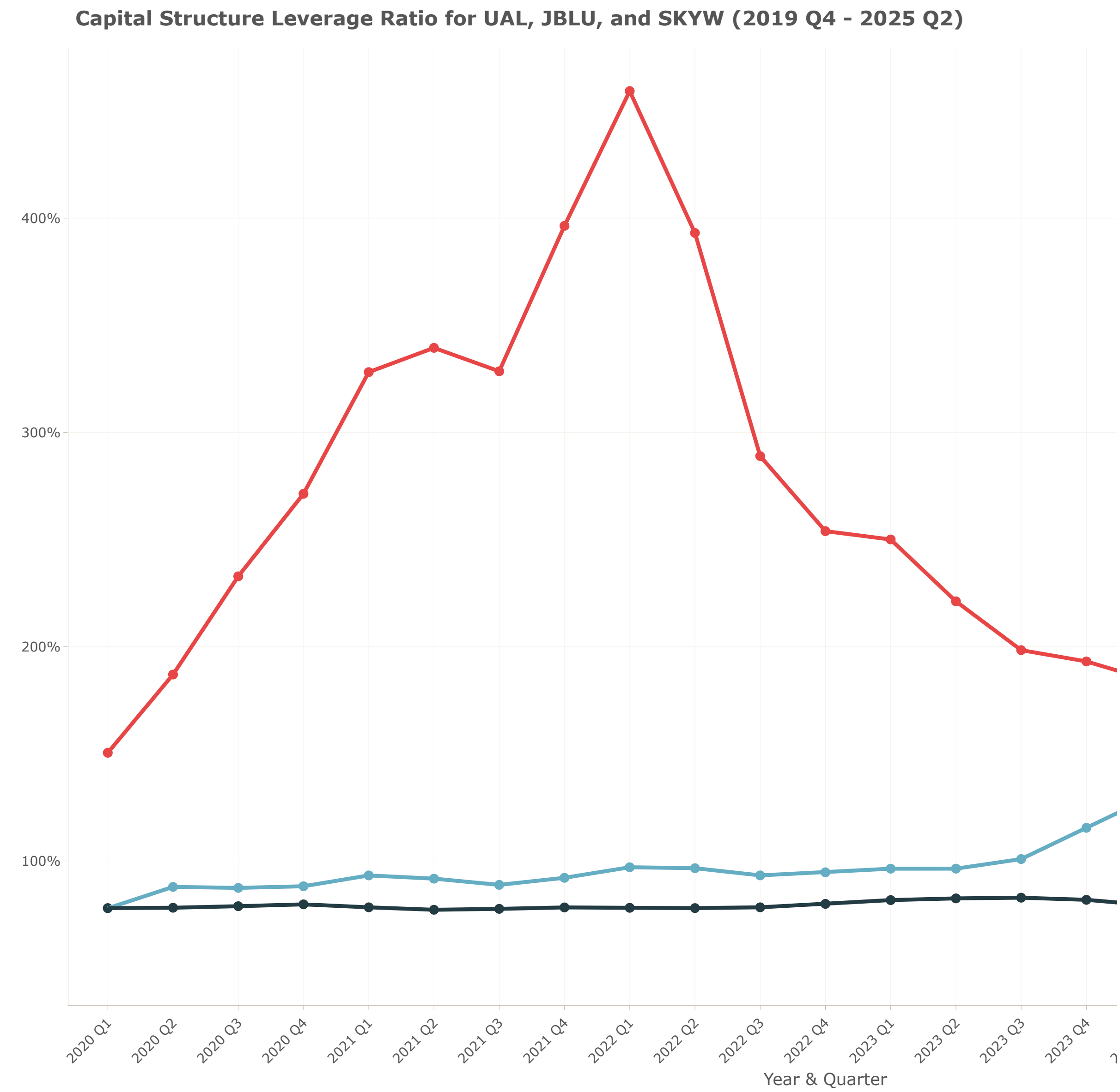
The capital structure leverage ratio indicates the extent to which a company utilizes debt in its capital structure, while the common earnings leverage ratio measures the sensitivity of a company's earnings to changes in its operating income.

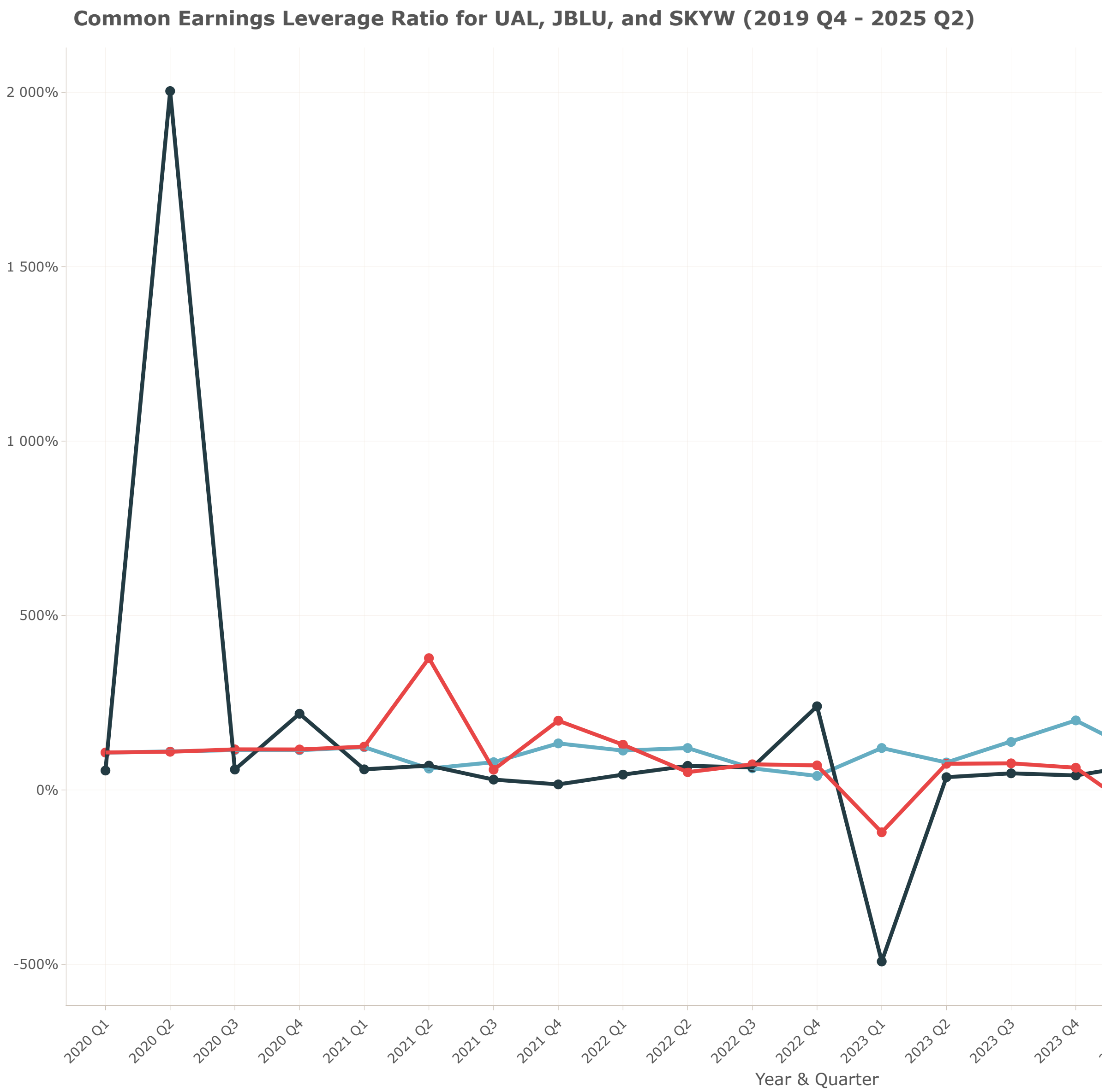
In the charts below, we analyze these leverage ratios for United Airlines (UAL), JetBlue (JBLU), and SkyWest (SKW) from the fourth quarter of 2019 to the second quarter of 2025. We observe how these airlines have managed their financial leverage in response to industry challenges, particularly in the context of the COVID-19 pandemic and its aftermath. S

SkyWest (SKW) consistently maintains lower leverage ratios compared to UAL and JBLU, indicating a more conservative approach to debt financing.

JetBlue (JBLU) shows a gradual increase in leverage ratios, reflecting its growth strategies post-pandemic.

United Airlines (UAL) exhibits fluctuations in leverage ratios, highlighting efforts to balance debt management with operational needs during recovery phases.


Capital Structure Leverage Ratio for UAL, JBLU, and SKYW (2019 Q4 - 2025 Q2)
400%
300%
200%
100%
2020 Q1
2020 Q2
2020 Q3
2020 Q4
2021 Q1
2021 Q2
2021 Q3
2021 Q4
2022 Q1
2022 Q2
2022 Q3
2022 Q4
2023 Q1
2023 Q2
2023 Q3
2023 Q4
Year & Quarter



8.3.3 Efficiency Ratios Over Time

The efficiency ratios analyzed include Asset Turnover, Inventory Turnover, and Receivables Turnover. Asset Turnover measures how effectively a company utilizes its assets to generate revenue.

Inventory Turnover assesses how efficiently inventory is managed and sold, while Receivables Turnover evaluates the effectiveness of credit and collection policies. These ratios provide insights into operational efficiency and resource management.

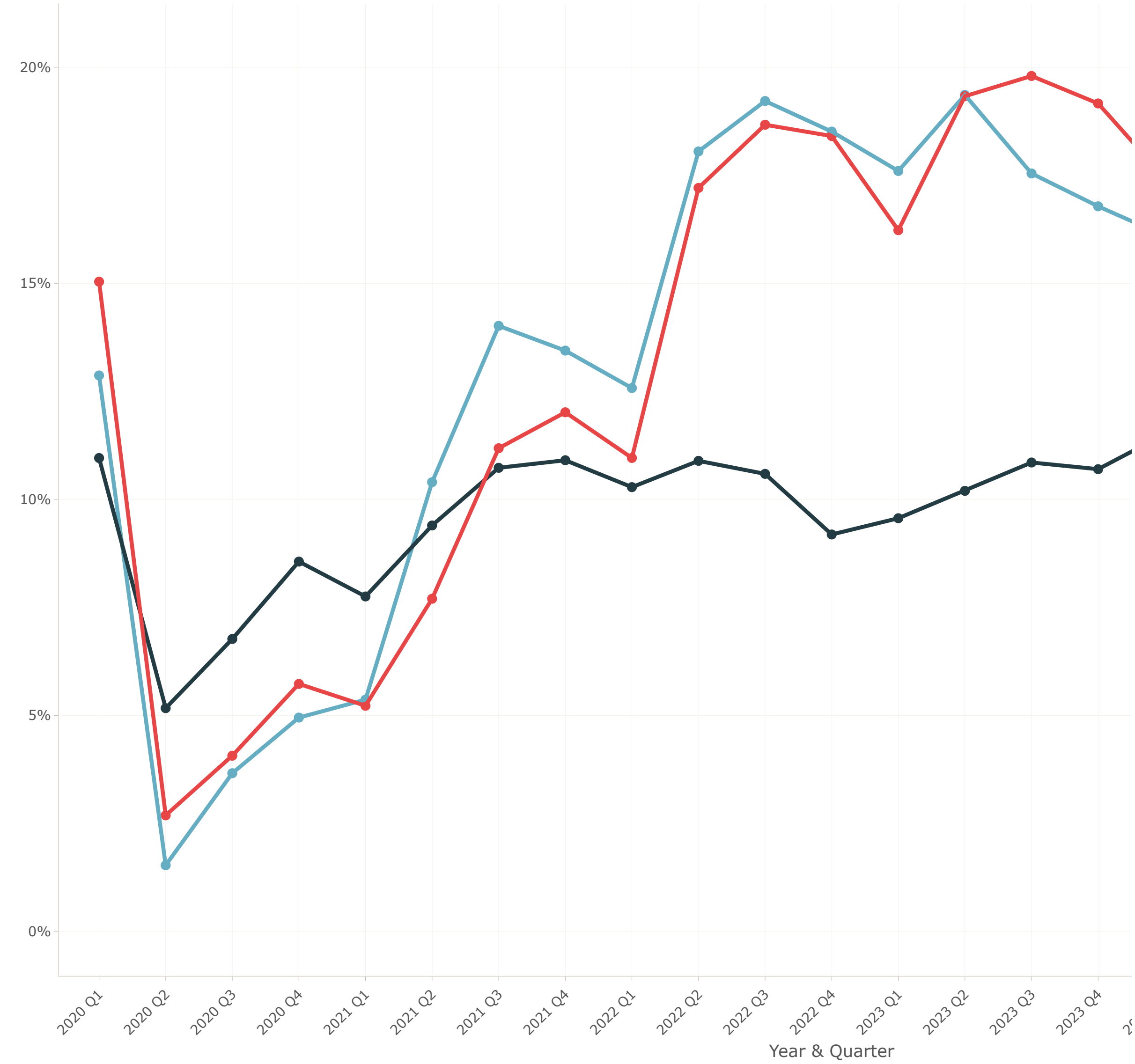
In the charts below, we analyze these efficiency ratios for United Airlines (UAL), JetBlue (JBLU), and SkyWest (SKW) from the fourth quarter of 2019 to the second quarter of 2025. We observe how these airlines have optimized their operations in response to industry challenges, particularly in the context of the COVID-19 pandemic and its aftermath.

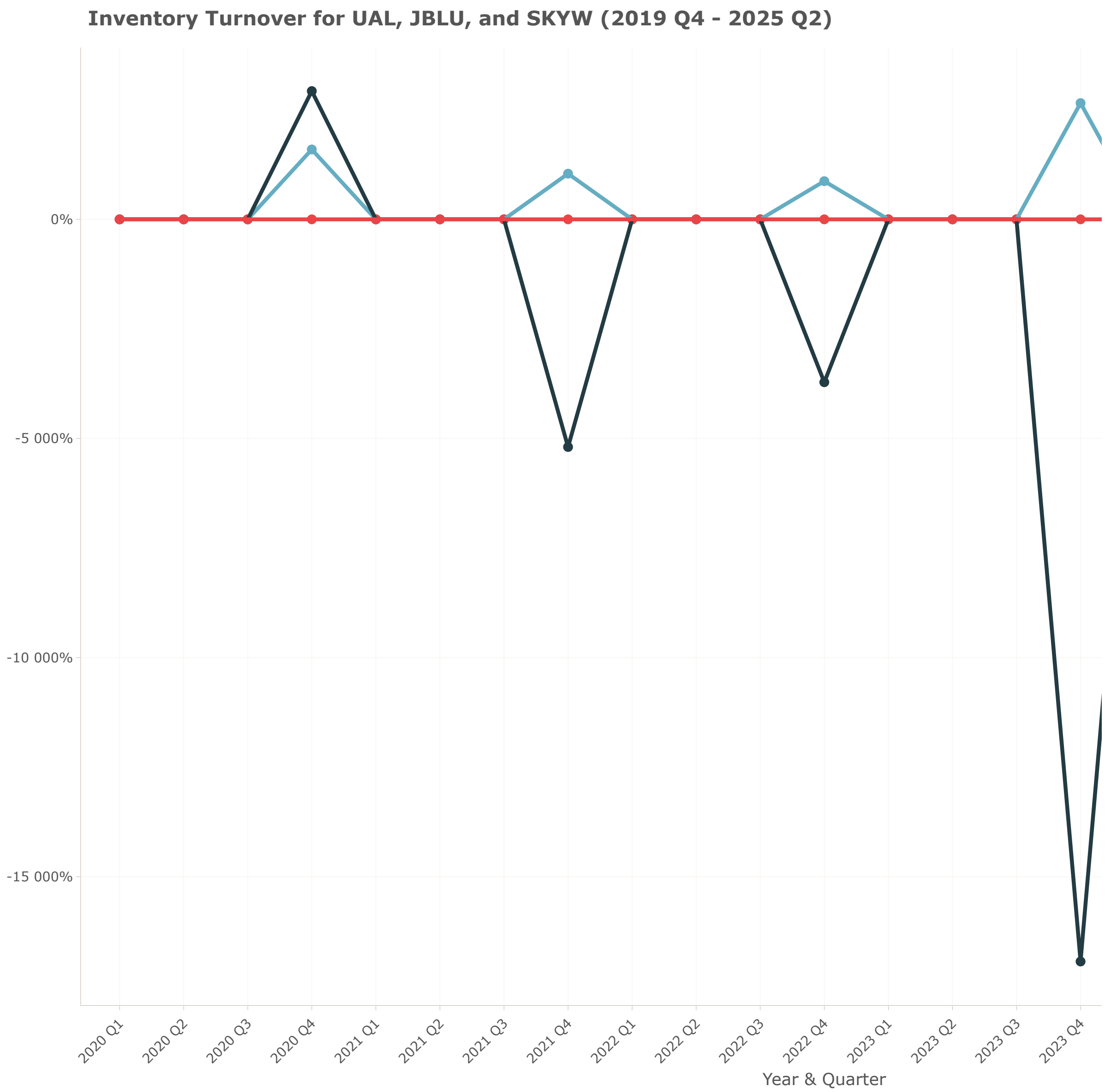
SkyWest (SKW) consistently demonstrates higher efficiency ratios compared to UAL and JBLU, indicating more effective asset and resource management.

JetBlue (JBLU) shows improvements in efficiency ratios, reflecting its recovery and growth strategies post-pandemic.

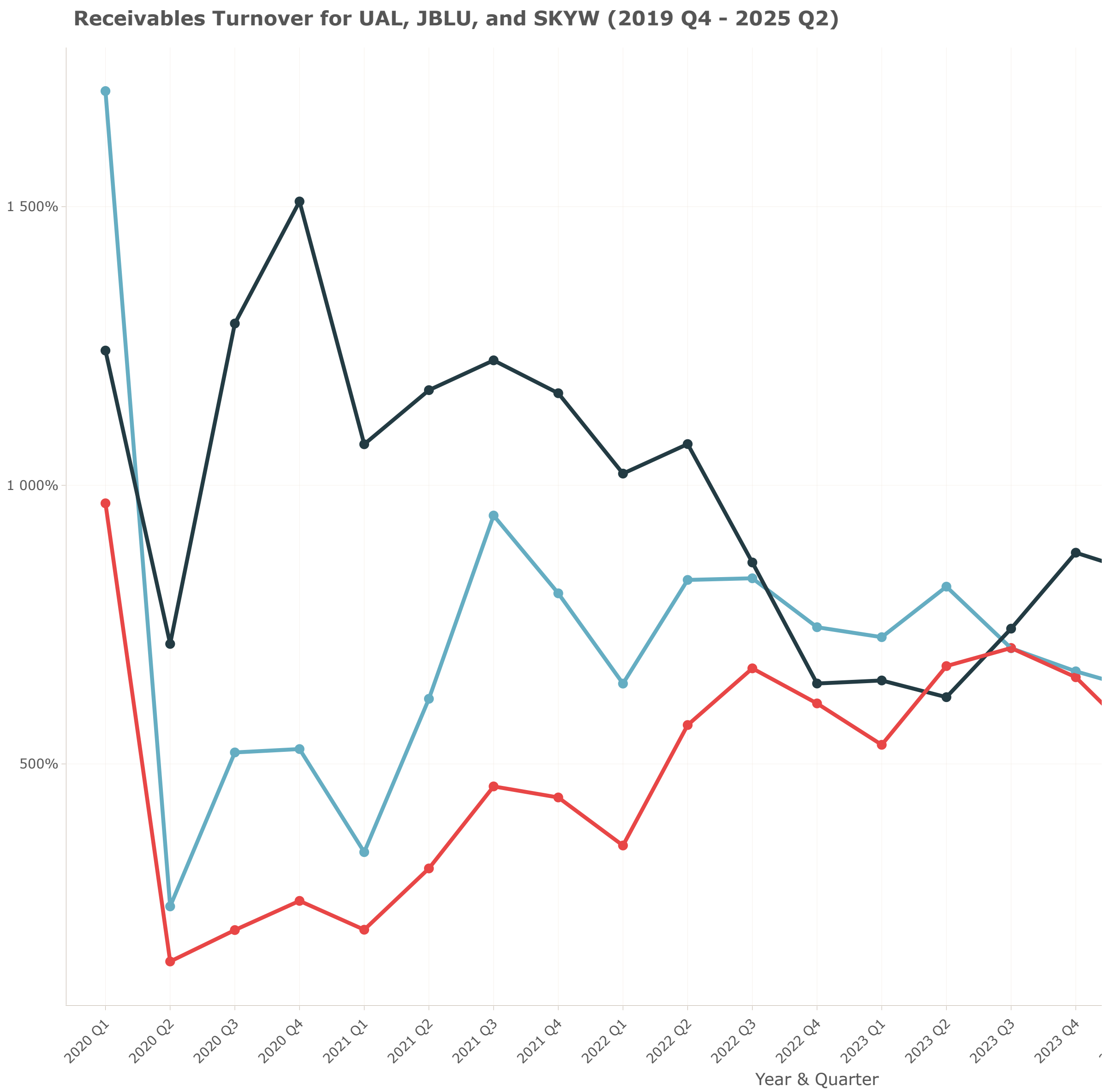
United Airlines (UAL) exhibits fluctuations in efficiency ratios, highlighting efforts to enhance operational performance during recovery phases.

Asset Turnover for UAL, JBLU, and SKYW (2019 Q4 - 2025 Q2)





Inventory Turnover for UAL, JBLU, and SKYW (2019 Q4 - 2025 Q2)
0%
-5 000%
-10 000%
-15 000%
2020 Q1
2020 Q2
2020 Q3
2020 Q4
2021 Q1
2021 Q2
2021 Q3
2021 Q4
2022 Q1
2022 Q2
2022 Q3
2022 Q4
2023 Q1
2023 Q2
2023 Q3
2023 Q4
Year & Quarter



8.3.4 Profitability Ratios Over Time

The profitability ratios analyzed include Gross Margin, Profit Margin, and After-Tax Return on Equity (ROE).

Gross Margin indicates the percentage of revenue that exceeds the cost of goods sold, reflecting the efficiency of production and pricing strategies.

Profit Margin measures the overall profitability by showing the percentage of revenue that remains as profit after all expenses, taxes, and costs have been deducted.

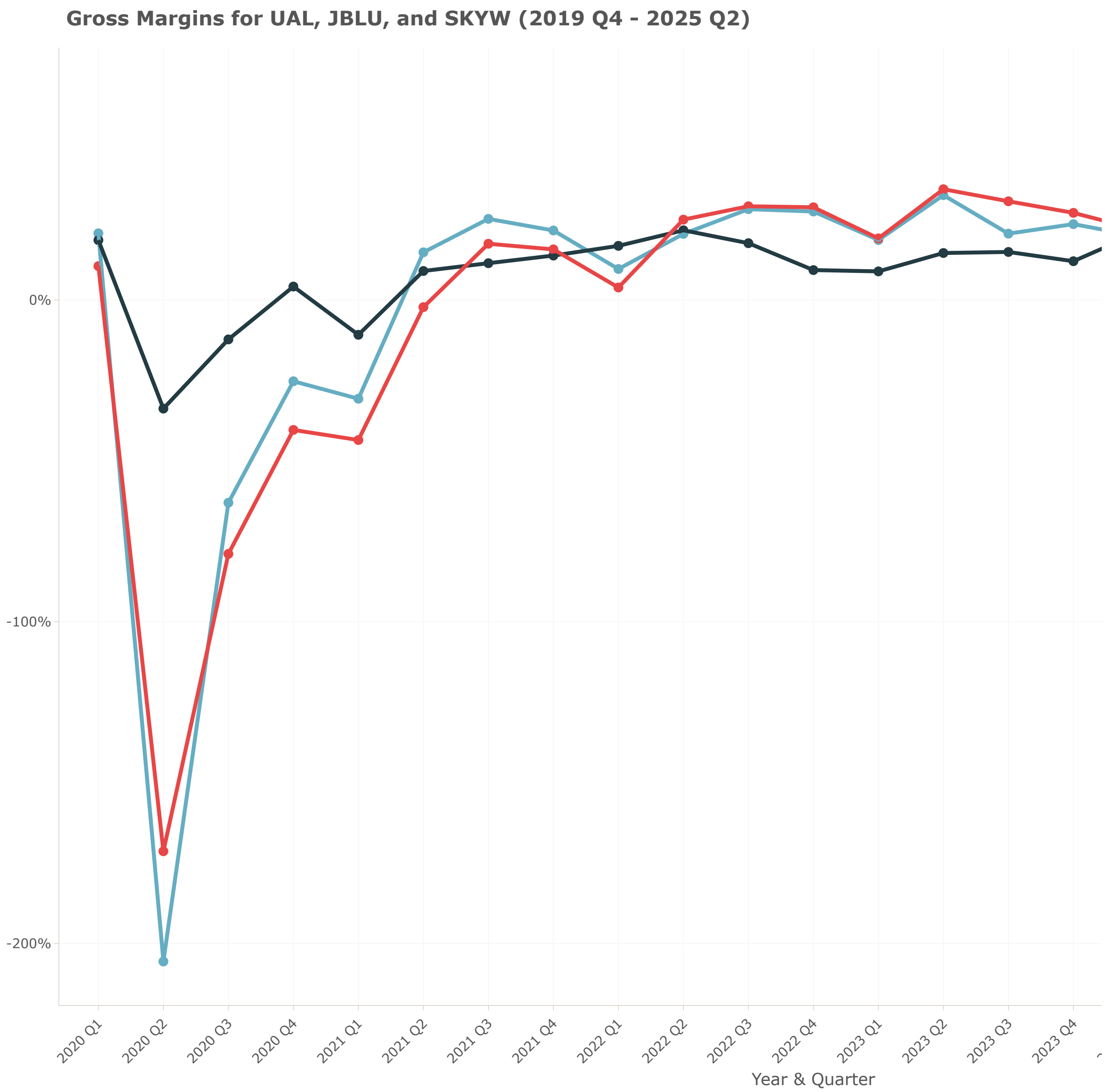
After-Tax ROE assesses how effectively a company generates profit from its shareholders' equity after accounting for taxes, providing insight into financial performance and shareholder value creation.

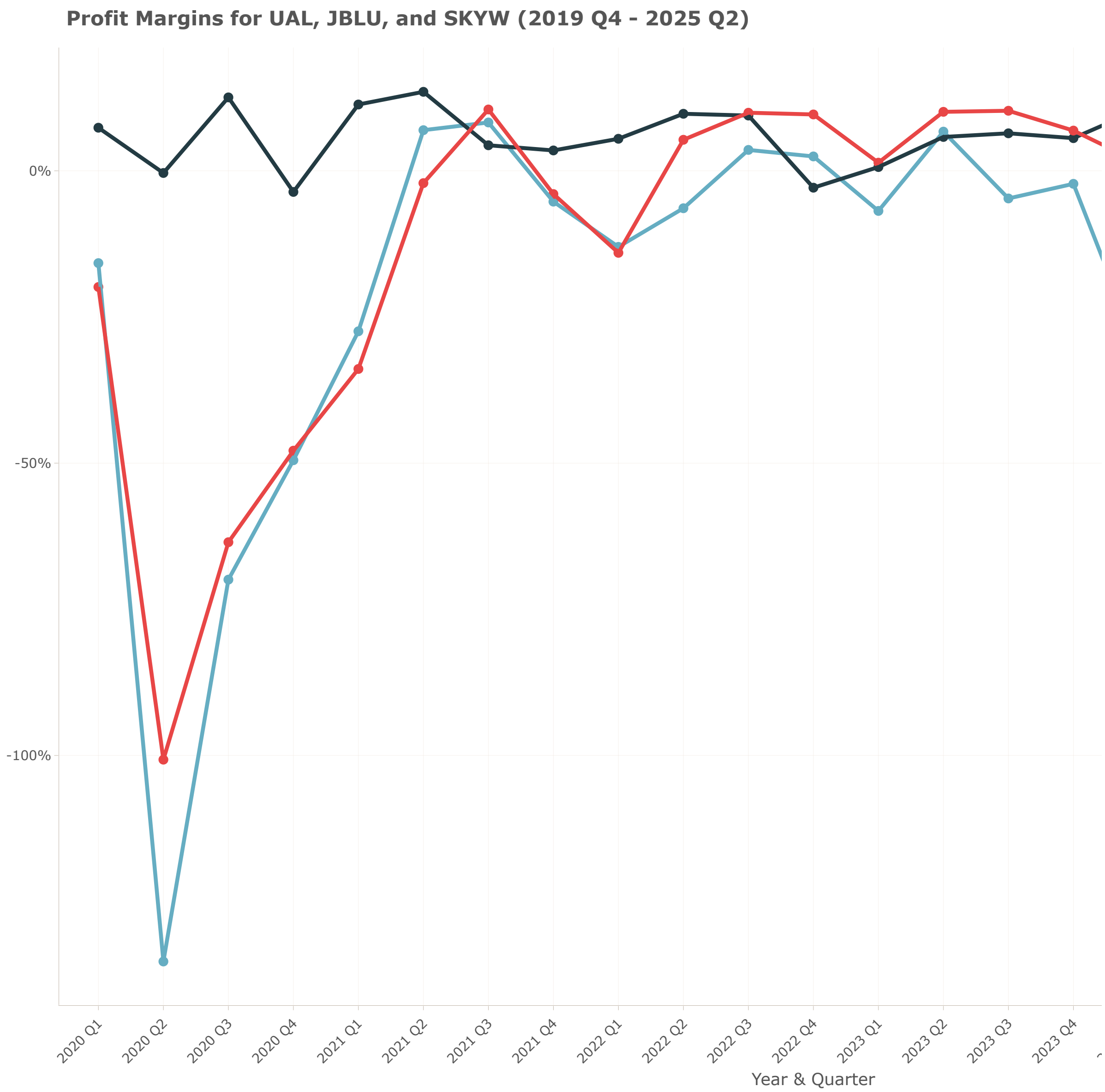
These ratios are crucial for evaluating the financial health and operational efficiency of companies. In the charts below, we analyze these profitability ratios for United Airlines (UAL), JetBlue (JBLU), and SkyWest (SKW) from the fourth quarter of 2019 to the second quarter of 2025. We observe how these airlines have managed their profitability in response to industry challenges, particularly in the context of the COVID-19 pandemic and its aftermath.

SkyWest (SKW) consistently demonstrates higher profitability ratios compared to UAL and JBLU, indicating more effective cost management and revenue generation.

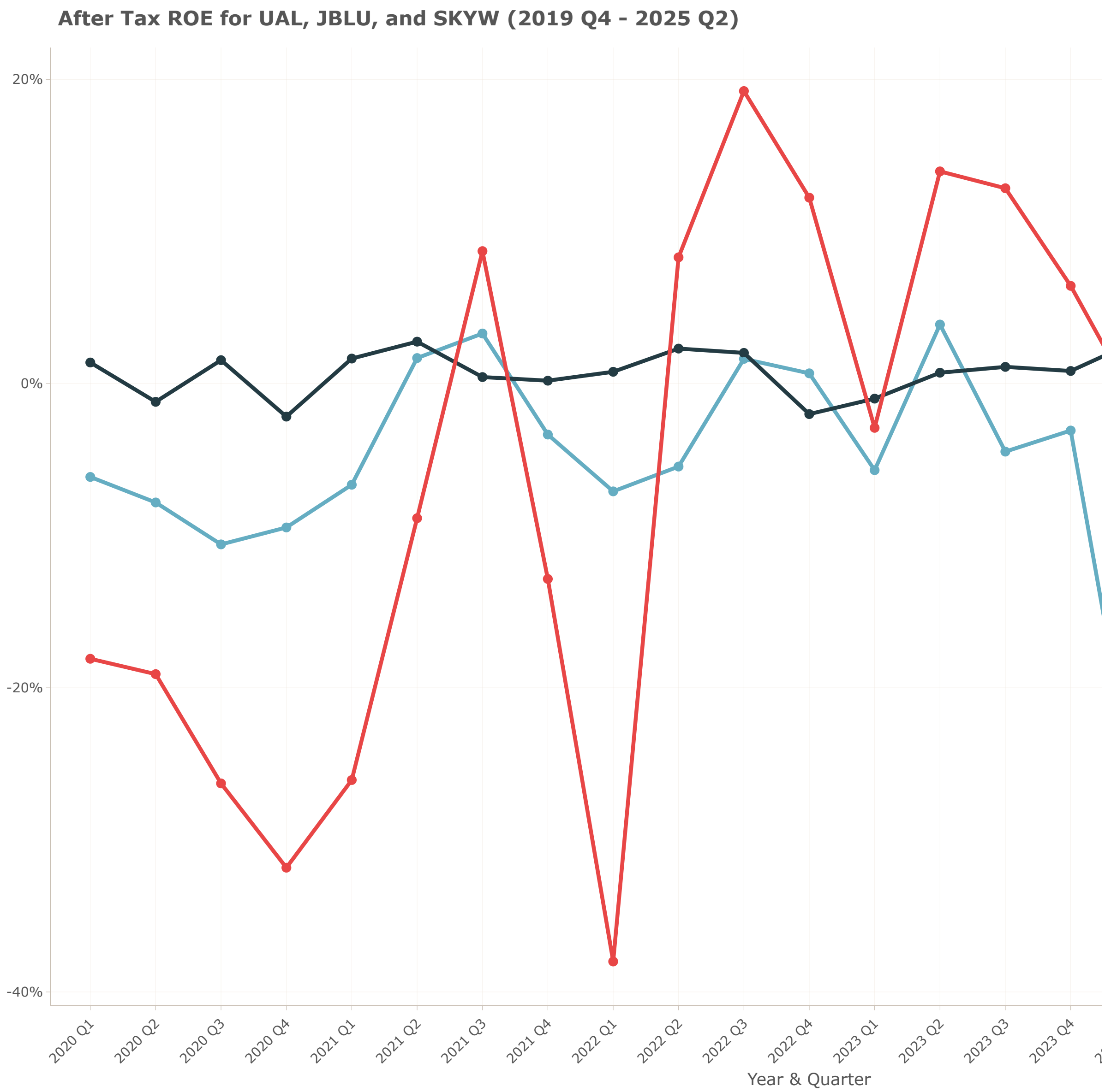
JetBlue (JBLU) shows improvements in profitability ratios, reflecting its recovery and growth strategies post-pandemic.

United Airlines (UAL) exhibits fluctuations in profitability ratios, highlighting efforts to enhance financial performance during recovery phases.


Gross Margins for UAL, JBLU, and SKYW (2019 Q4 - 2025 Q2)
0%
-100%
-200%
2020 Q1
2020 Q2
2020 Q3
2020 Q4
2021 Q1
2021 Q2
2021 Q3
2021 Q4
2022 Q1
2022 Q2
2022 Q3
2022 Q4
2023 Q1
2023 Q2
2023 Q3
2023 Q4
Year & Quarter



Profit Margins for UAL, JBLU, and SKYW (2019 Q4 - 2025 Q2)
0%
-50%
-100%
2020 Q1
2020 Q2
2020 Q3
2020 Q4
2021 Q1
2021 Q2
2021 Q3
2021 Q4
2022 Q1
2022 Q2
2022 Q3
2022 Q4
2023 Q1
2023 Q2
2023 Q3
2023 Q4
Year & Quarter



8.4 Common Size Analysis - Income Statement

The common-size analysis standardizes financial statements by expressing each line item as a percentage of a base figure, allowing for easier comparison across companies and time periods.

In the income statement, each item is expressed as a percentage of total revenue. The net income ratio, gross profit ratio, and operating income ratio are key metrics derived from this analysis.

The net income ratio indicates the percentage of revenue that remains as profit after all expenses, taxes, and costs have been deducted. A higher net income ratio suggests better profitability and efficiency in managing expenses relative to revenue.

The gross profit ratio reflects the percentage of revenue remaining after accounting for the cost of goods sold, indicating how efficiently a company produces and sells its products.

The operating income ratio shows the percentage of revenue left after covering operating expenses, providing insight into the company's operational efficiency.

By analyzing these ratios over time and across different airlines, stakeholders can assess financial health, operational performance, and profitability trends within the airline industry.

8.4.1 Net Income Ratio Over Time

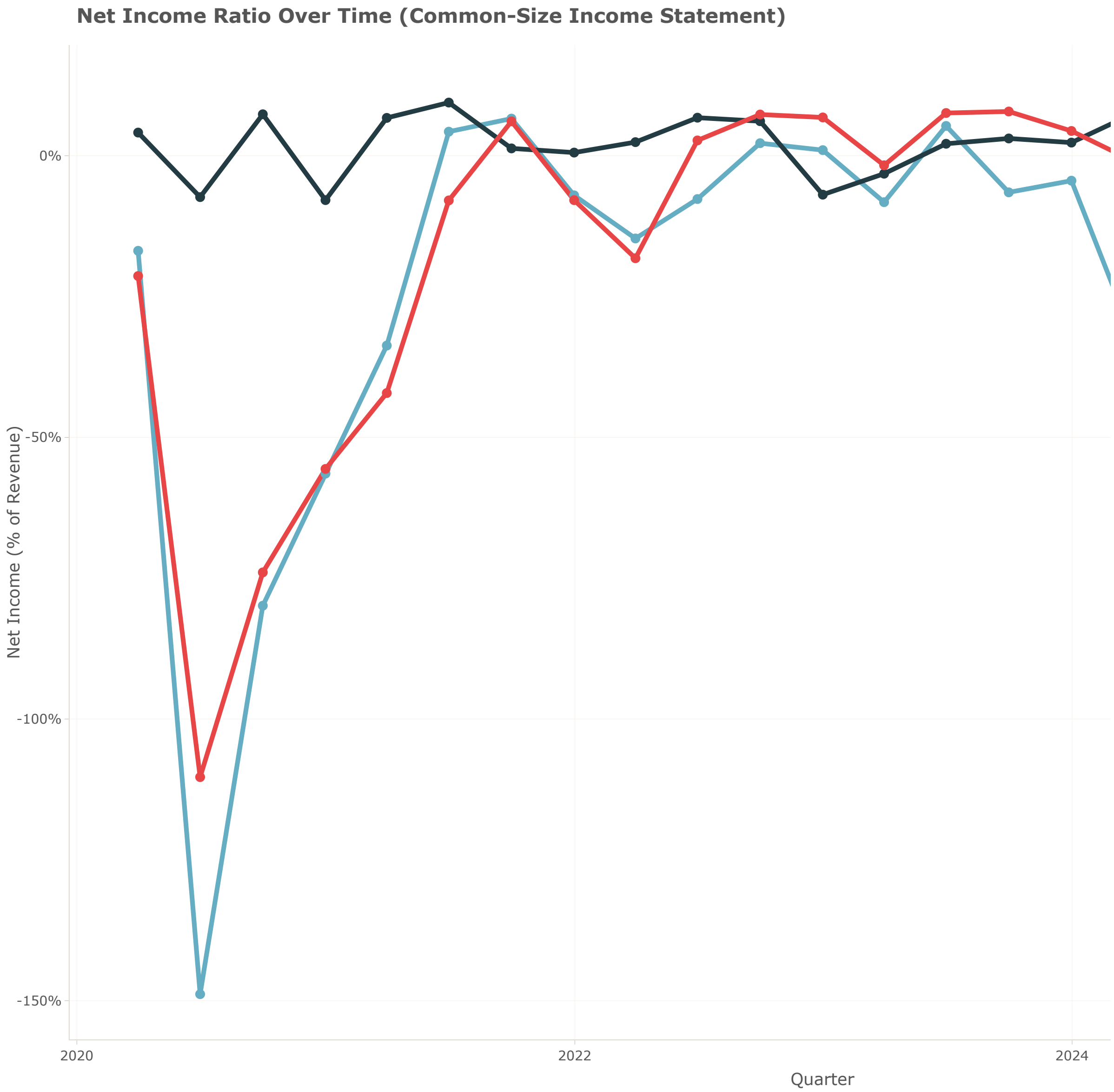


Figure 8.1: Net Income Ratio for UAL, JBLU and SKYW (2019 Q4 - 2025 Q2)

8.4.2 Expense Composition (% of Revenue)

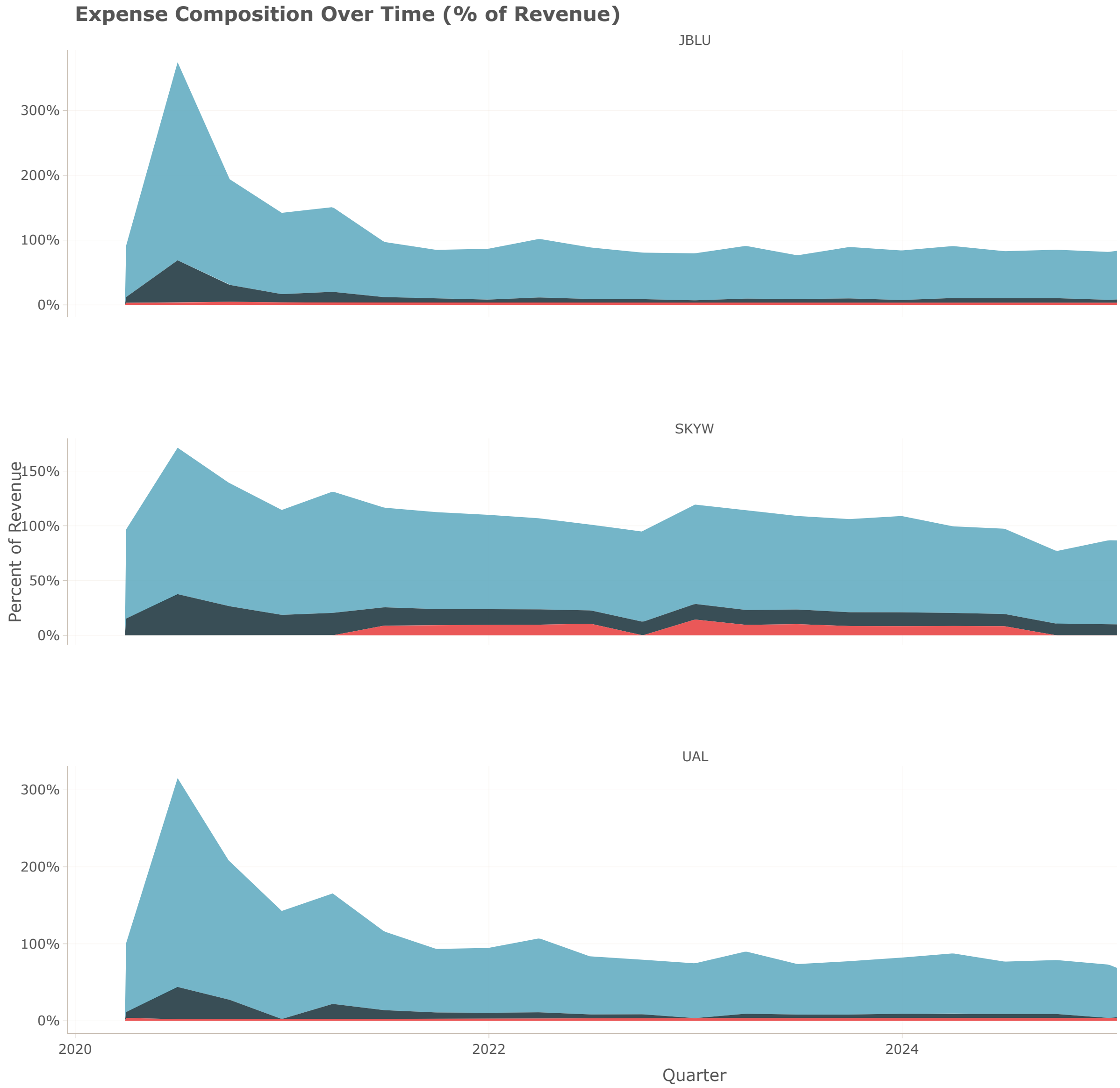


Figure 8.2: Expense Composition for UAL, JBLU and SKYW (2023 Q4)

8.4.3 Margin Comparison (Gross vs Operating vs Net)

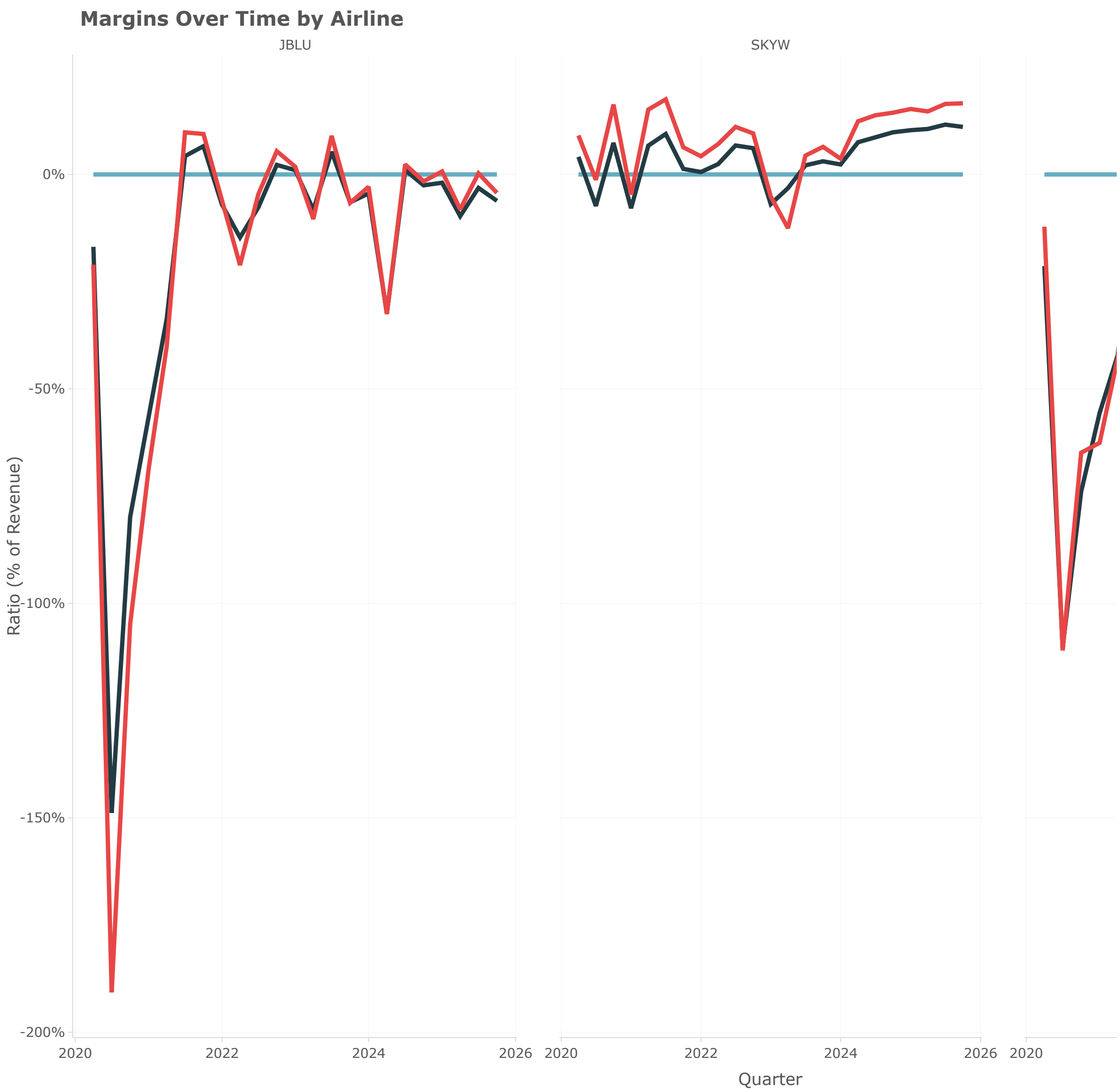


Figure 8.3: Margin Comparison for UAL, JBLU and SKYW (2019 Q4 - 2025 Q2)

8.5 Common Size Analysis - Balance Sheet

The common-size analysis of the balance sheet provides insights into a company's financial structure by expressing each line item as a percentage of total assets. This standardization allows for easier comparison across companies and time periods.

The capital structure, asset composition, and liquidity ratios are key components of this analysis. The capital structure illustrates the proportion of liabilities, equity, and cash in relation to total assets, highlighting how a company finances its operations.

The asset composition reveals the distribution of different asset types, such as cash, property, and intangible assets, providing insights into resource allocation.

By analyzing these ratios over time and across different airlines, stakeholders can assess financial health, operational efficiency, and strategic positioning within the airline industry.

8.5.1 Capital Structure: Liabilities, Equity and Cash

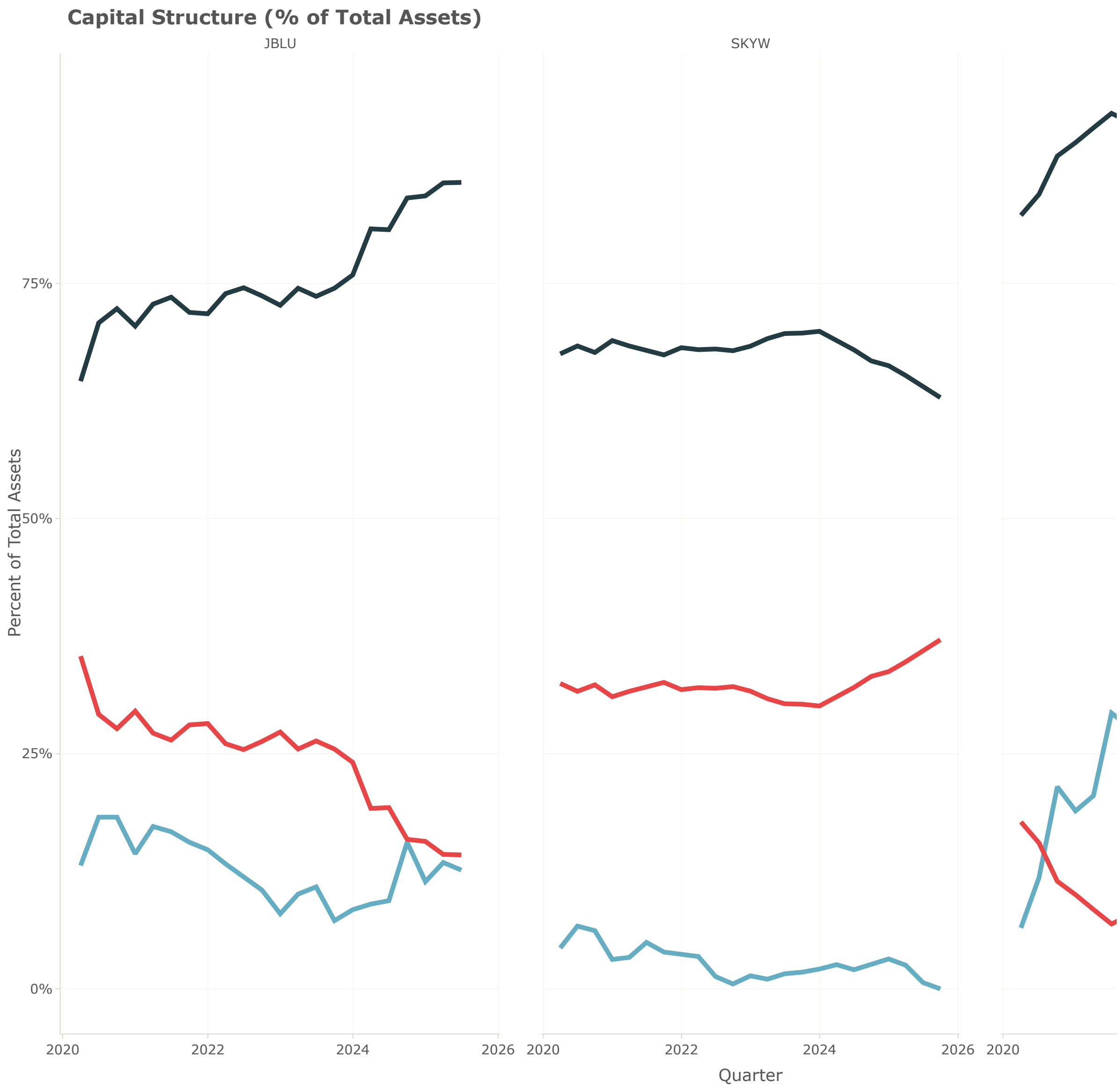


Figure 8.4: Capital Structure for UAL, JBLU and SKYW (2019 Q4 - 2025 Q2)

8.5.2 Asset Composition (% of Total Assets)

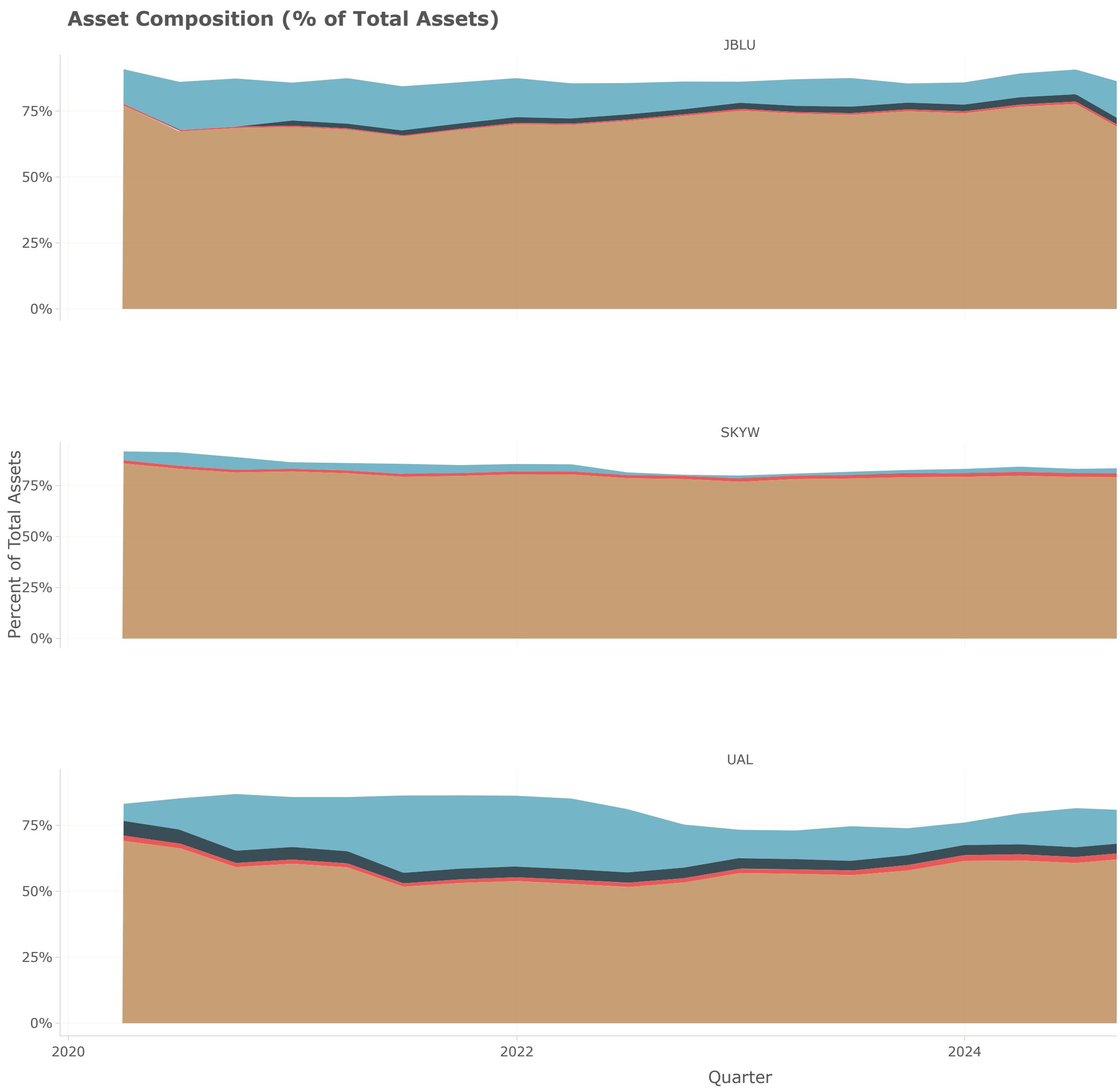


Figure 8.5: Asset Composition for UAL, JBLU and SKYW (2019 Q4 - 2025 Q2)

8.6 Common Size Analysis - Cash Flow Statement

The cash flow statement common size analysis provides insights into how effectively a company generates cash from its operations, invests in assets, and finances its activities.

The Cash Flow Quality, Cash Flow Composition, and Free Cash Flow ratios are key indicators of financial health and operational efficiency.

The Cash Flow Quality ratio measures the proportion of net income that is supported by cash flow from operations.

The Cash Flow Composition chart illustrates the proportion of cash flows from operating, investing, and financing activities as a percentage of total cash inflows.

Free Cash Flow indicates the cash available after capital expenditures, which is crucial for growth and shareholder returns.

8.6.1 Cash Flow Quality (CFO/Net Income)

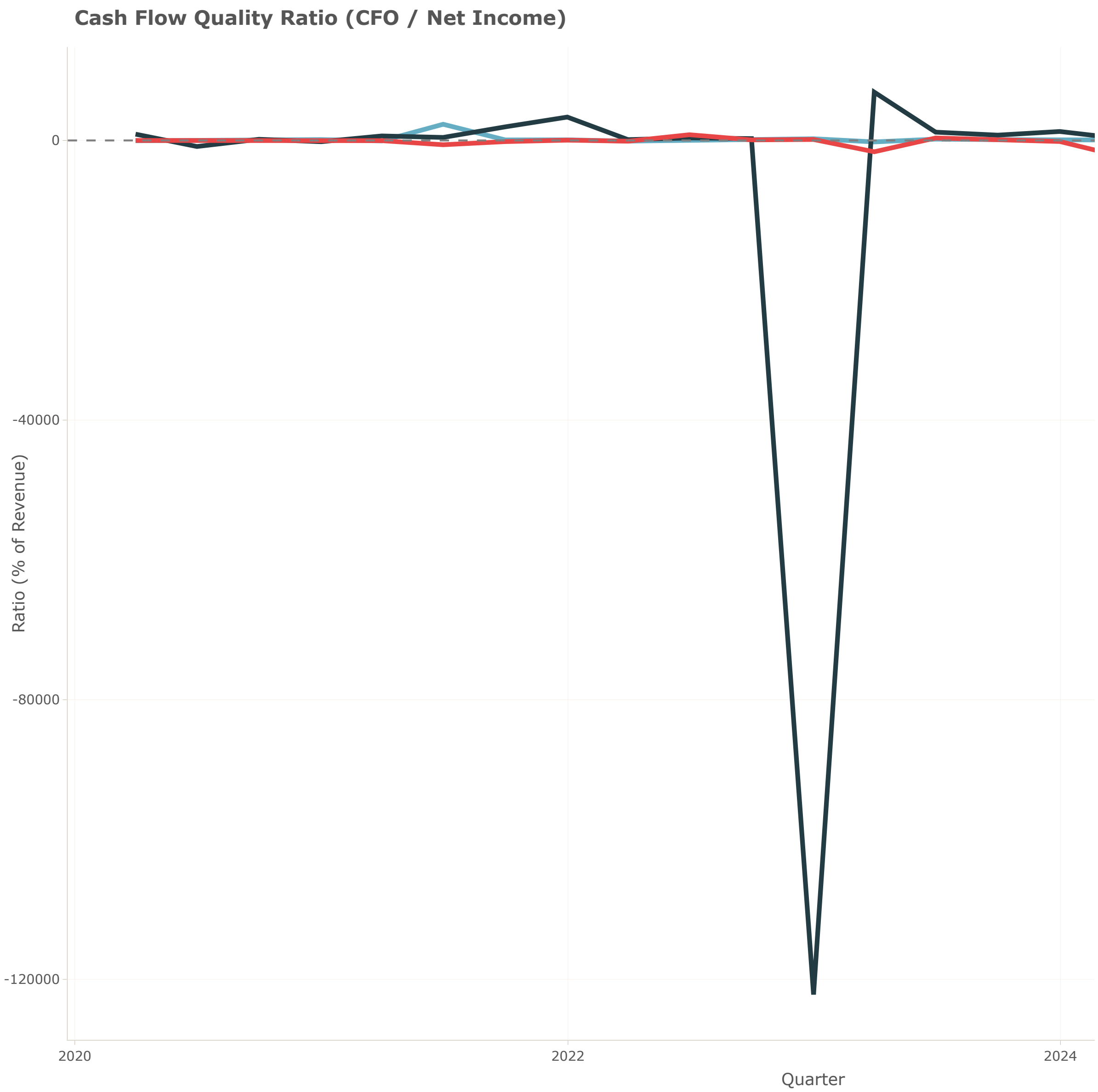


Figure 8.6: Cash Flow Quality for UAL, JBLU and SKYW (2019 Q4 - 2025 Q2)

8.6.2 Cash Flow Composition (Operating, Investing, Financing)

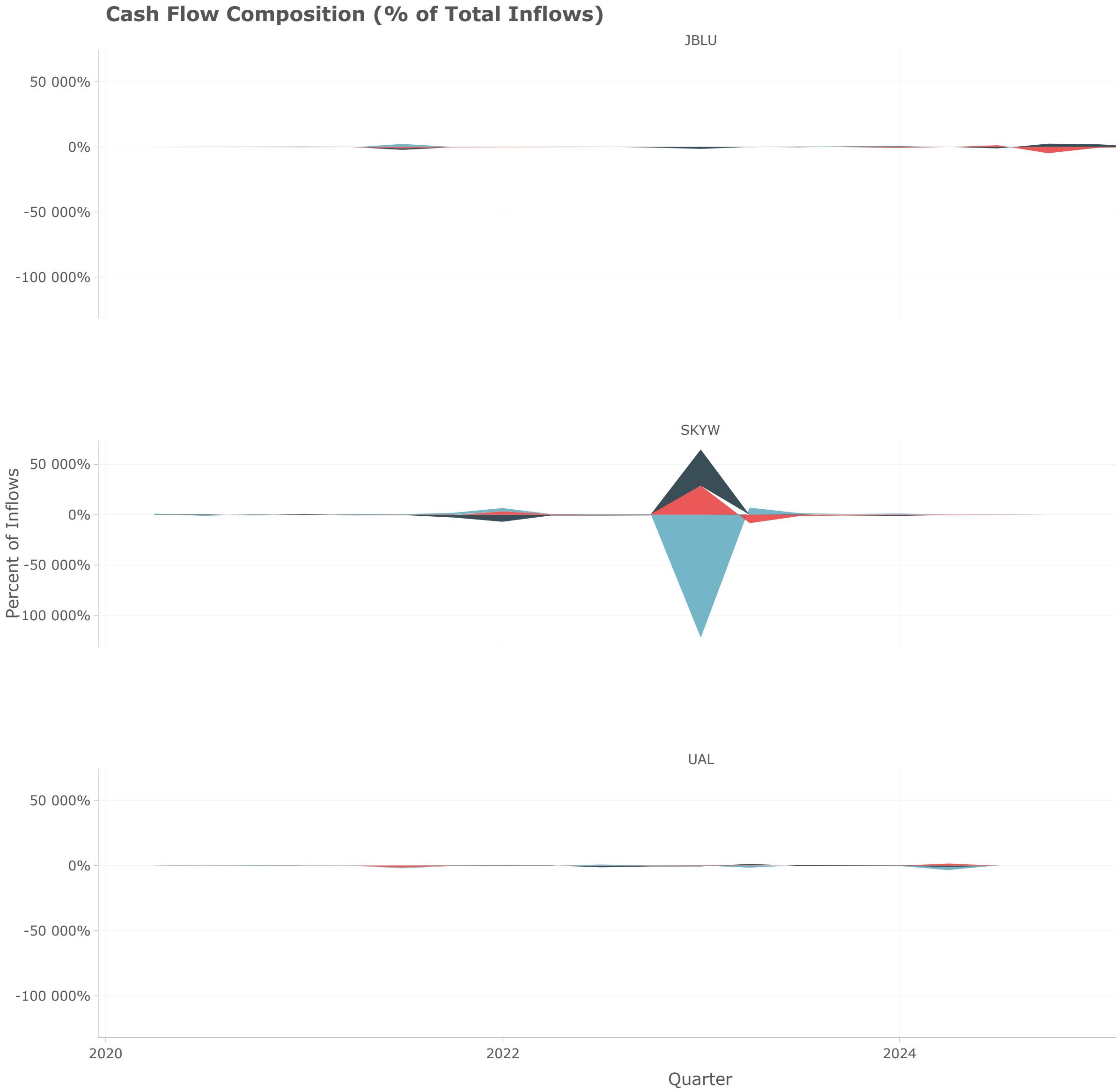


Figure 8.7: Cash Flow Composition for UAL, JBLU and SKYW (2019 Q4 - 2025 Q2)

8.6.3 Free Cash Flow (% of Net Income)

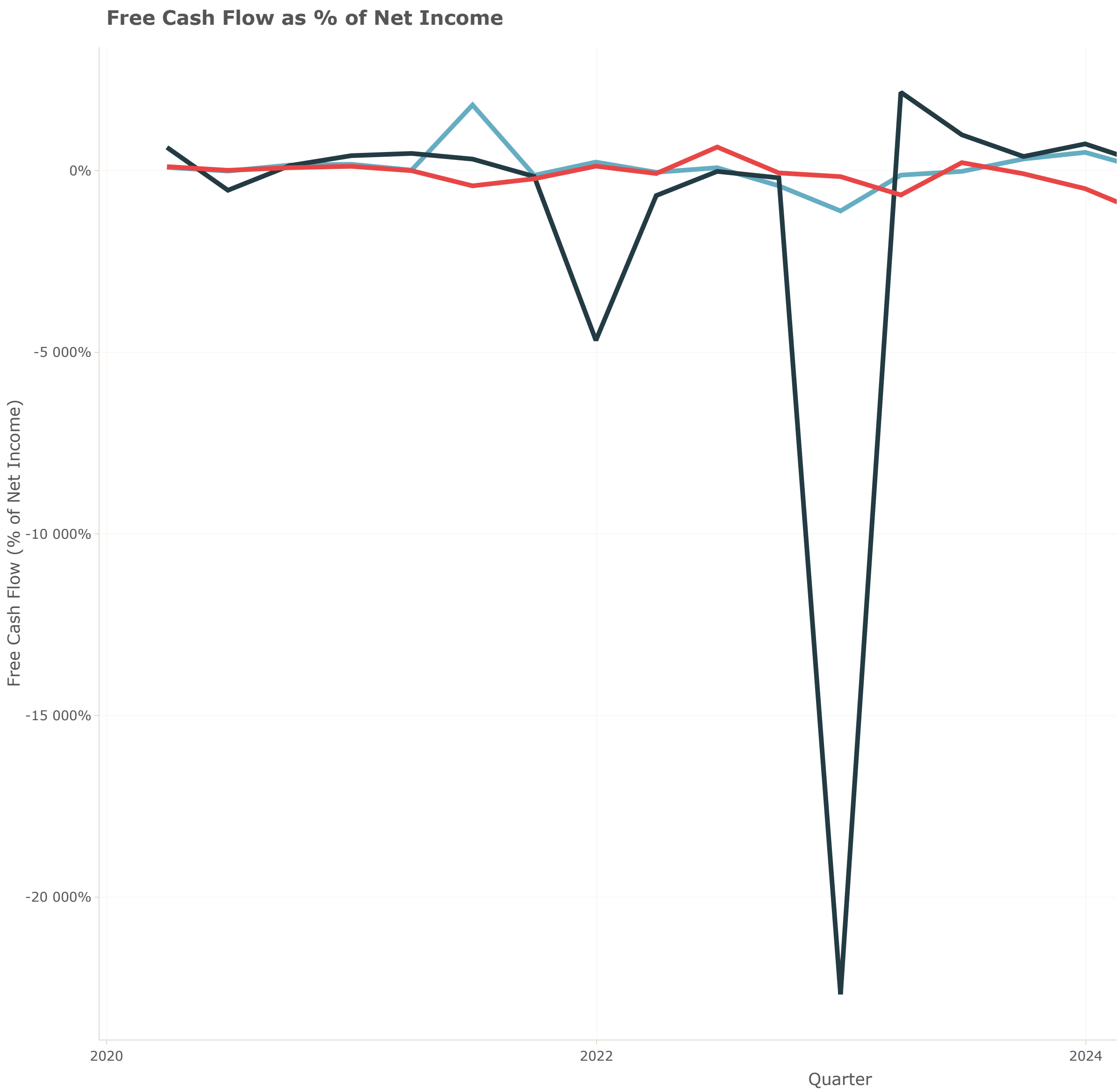


Figure 8.8: Free Cash Flow for UAL, JBLU and SKYW (2019 Q4 - 2025 Q2)

8.7 Net Income Ratio by year and airline

The heatmap below visualizes the average Net Income Ratio for each airline across different years, providing insights into their profitability trends over time.

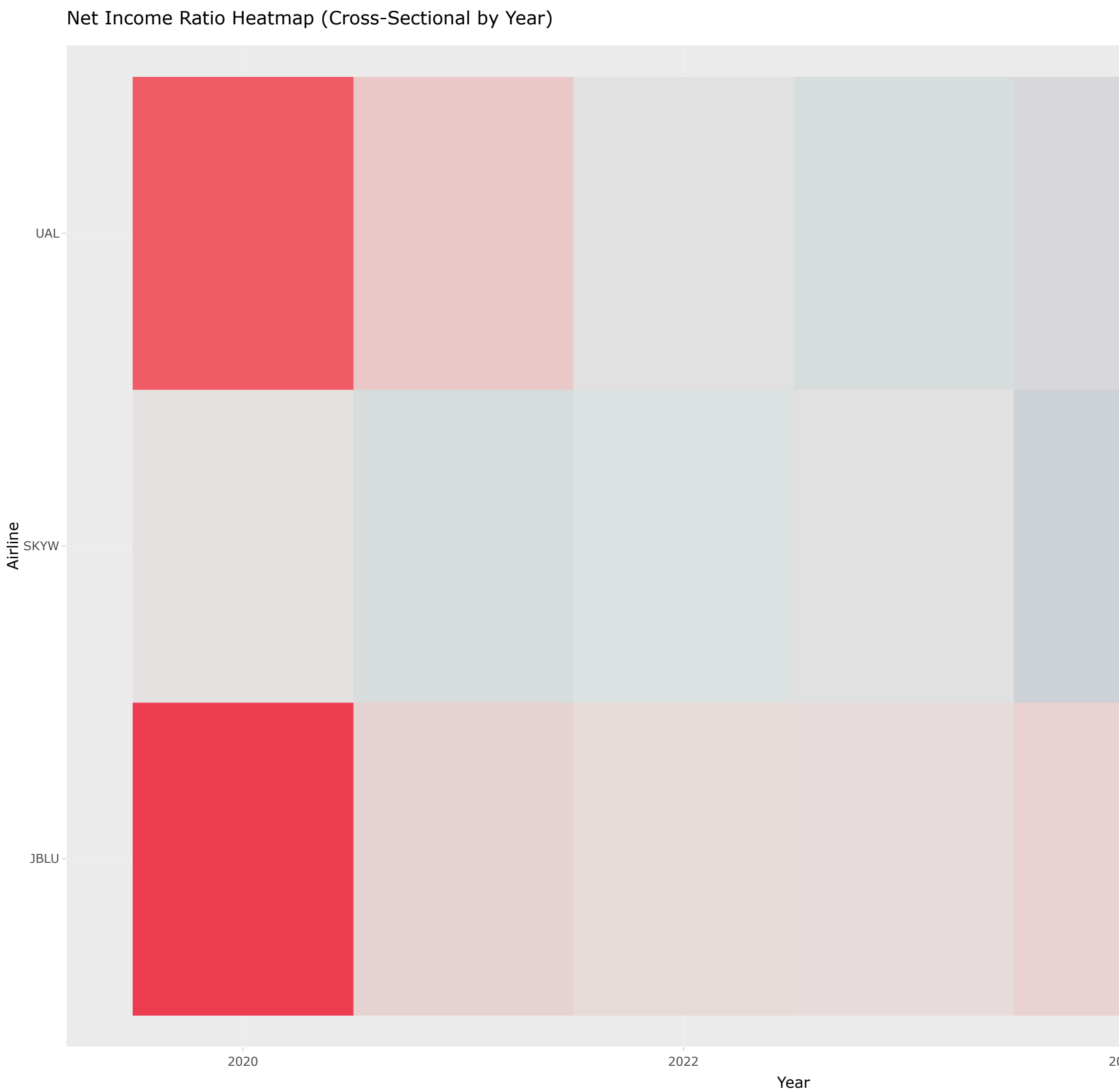


Figure 8.9: Net Income Ratio by Year and Airline (2019 - 2024)

8.8 Bankruptcy Prediction Model

8.8.1 Altman Z-Score for Service Industry Over Time

The Altman Z-Score is a widely used metric for predicting the likelihood of bankruptcy. A score above 2.6 indicates a low risk of bankruptcy, while a score below 1.1 suggests a high risk.

Between these values lies a gray area where the risk is moderate.

Below is the Altman Z-Score for the service industry, specifically for United Airlines (UAL), JetBlue (JBLU), and SkyWest (SKW) from the fourth quarter of 2019 to the second quarter of 2025. We observe that UAL and JBLU have scores fluctuating in the high risk zone, while SKW consistently maintains a score above 1.1, indicating a moderate risk of bankruptcy.

Figure 8.10: Altman Z-Score - Service Industry for for UAL, JBLU and SKYW (2019 Q4 - 2025 Q2)

8.9 Operating Leverage Ratios

8.9.1 Operating Leverage Over Time

These ratios help assess how efficiently a company utilizes its fixed assets and working capital to generate revenue.

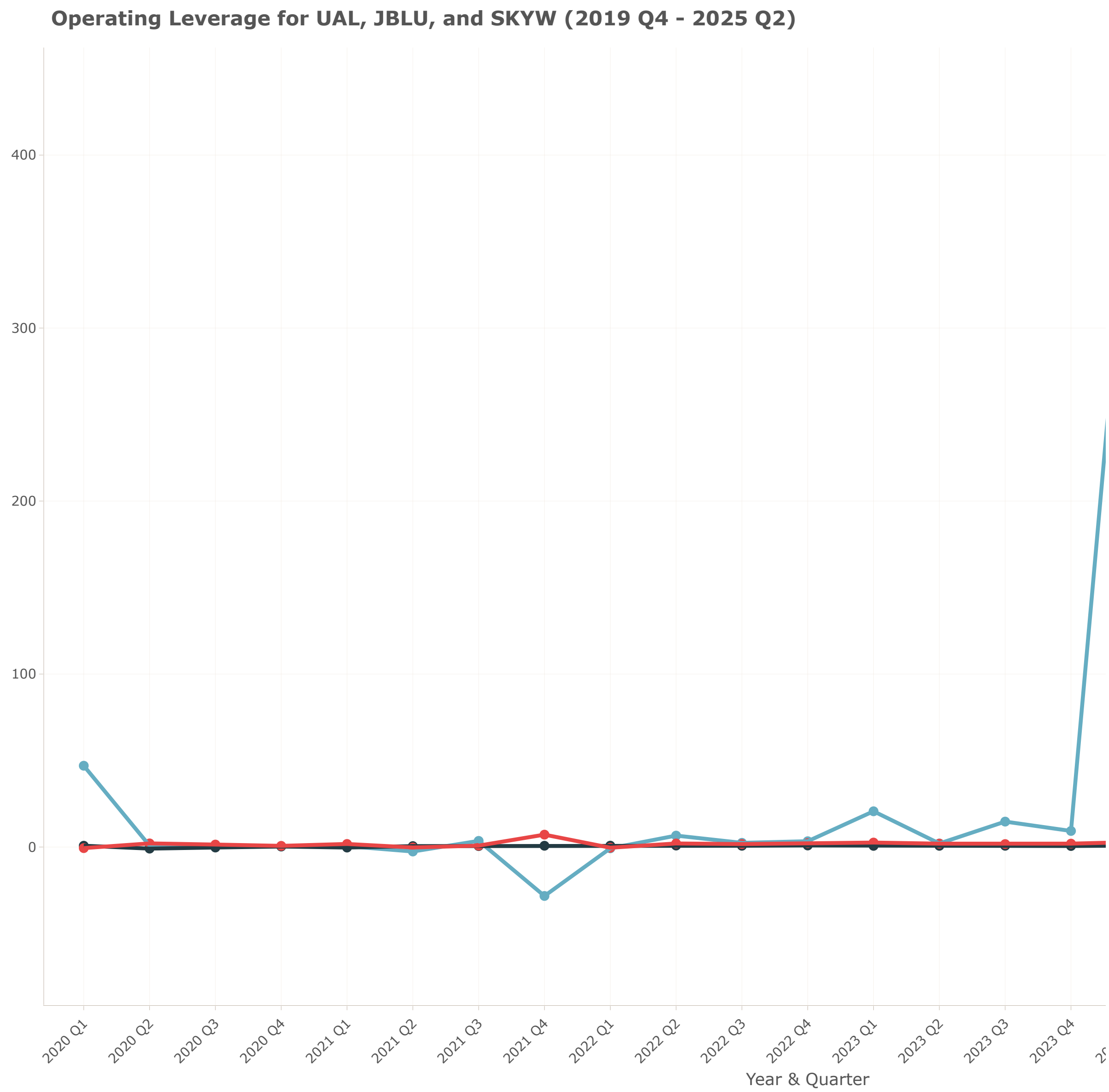
The operating leverage ratio indicates the sensitivity of operating income to changes in sales revenue.

Fixed asset turnover measures how effectively a company uses its fixed assets to generate sales, while working capital turnover evaluates how efficiently a company utilizes its working capital to support sales.

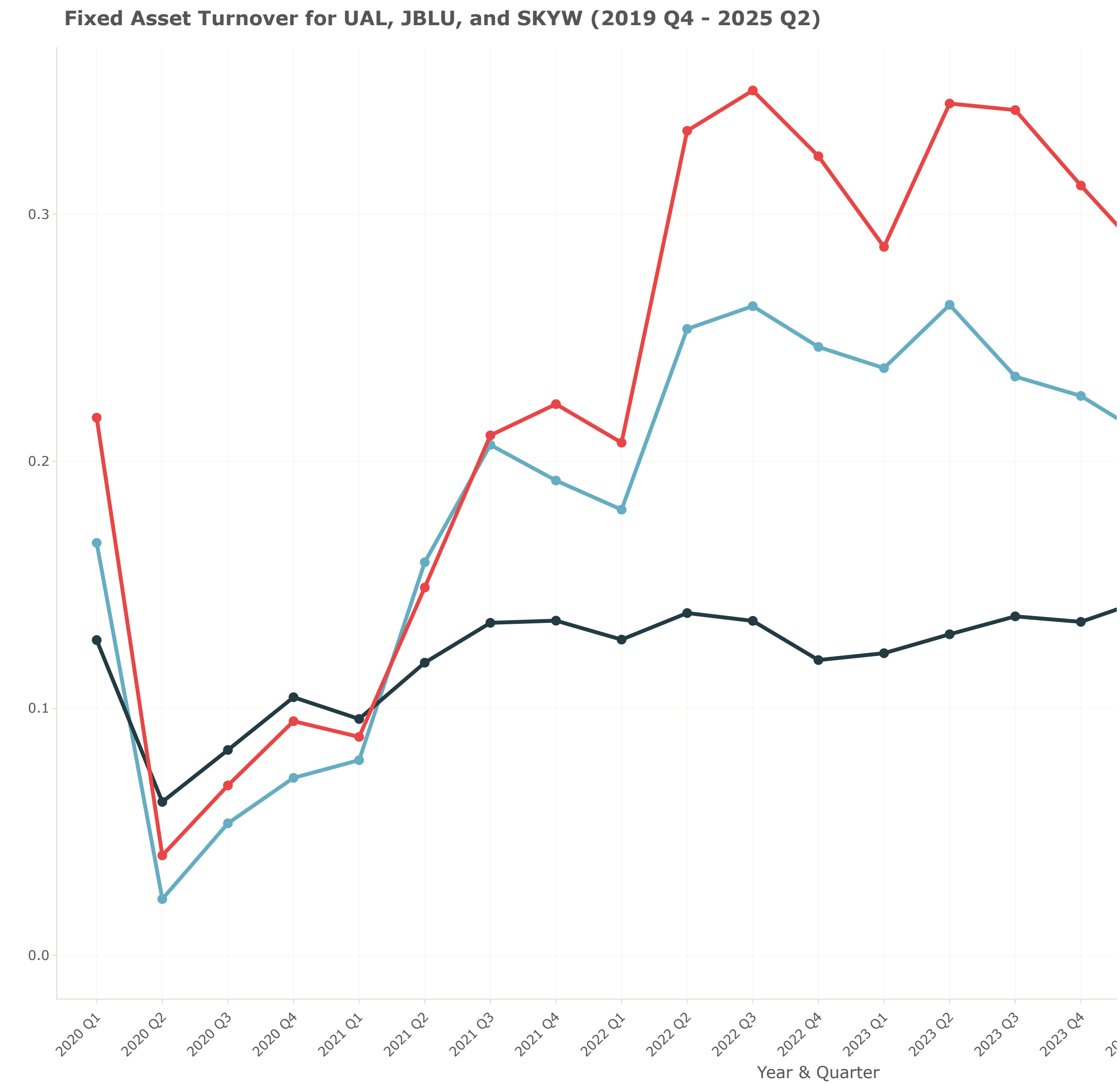
Working capital is calculated as current assets minus current liabilities.

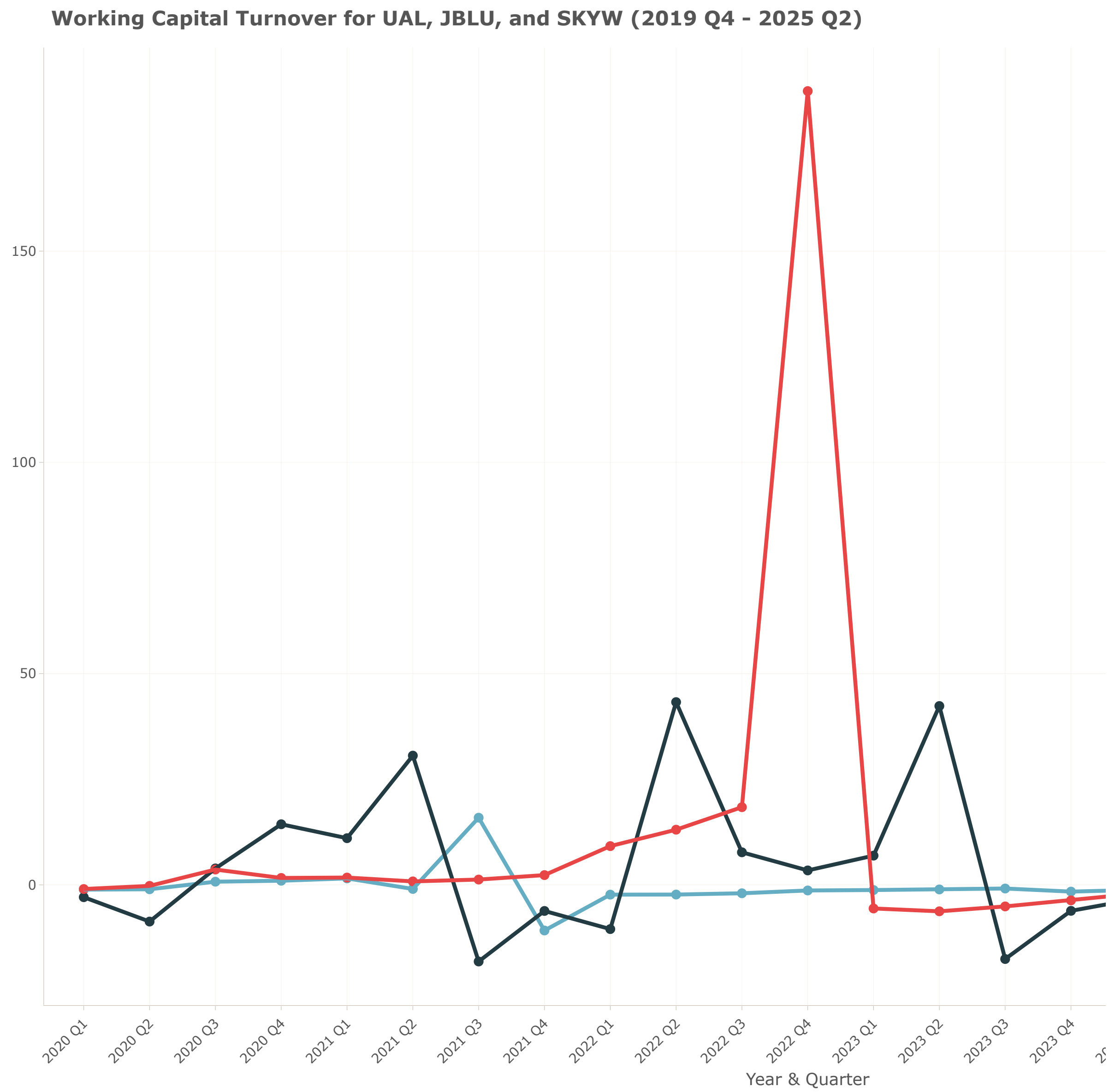
Below charts illustrate these ratios for United Airlines (UAL), JetBlue (JBLU), and SkyWest (SKW) from the fourth quarter of 2019 to the second quarter of 2025.

We observe that SkyWest (SKW) consistently demonstrates higher efficiency in utilizing its fixed assets and working capital compared to UAL and JBLU, indicating more effective resource management.



Operating Leverage for UAL, JBLU, and SKYW (2019 Q4 - 2025 Q2)
400
300
200
100
0
2020 Q1
2020 Q2
2020 Q3
2020 Q4
2021 Q1
2021 Q2
2021 Q3
2021 Q4
2022 Q1
2022 Q2
2022 Q3
2022 Q4
2023 Q1
2023 Q2
2023 Q3
2023 Q4
Year & Quarter


Fixed Asset Turnover for UAL, JBLU, and SKYW (2019 Q4 - 2025 Q2)
0.3
0.2
0.1
0.0
2020 Q1
2020 Q2
2020 Q3
2020 Q4
2021 Q1
2021 Q2
2021 Q3
2021 Q4
2022 Q1
2022 Q2
2022 Q3
2022 Q4
2023 Q1
2023 Q2
2023 Q3
2023 Q4
Year & Quarter



Working Capital Turnover for UAL, JBLU, and SKYW (2019 Q4 - 2025 Q2)
150
100
50
0
2020 Q1
2020 Q2
2020 Q3
2020 Q4
2021 Q1
2021 Q2
2021 Q3
2021 Q4
2022 Q1
2022 Q2
2022 Q3
2022 Q4
2023 Q1
2023 Q2
2023 Q3
2023 Q4
Year & Quarter